**Before the Public Service Commission**

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY**

# Rebuttal Testimony

**of**

**The Revenue Requirements Panel**

**Case 23-G-0225**

**Date**: **September 22, 2023**

**Rebuttal Testimony of the Revenue Requirements Panel (KEDNY)**

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**Rebuttal Testimony of the Revenue Requirements Panel (KEDNY)**

## I. Introduction

**Q. Please introduce the members of the Revenue Requirements Panel.**

A. The Panel consists of James M. Molloy, Paula Leaverton, Mark W. Stiner, John E. O'Shaughnessy, and Sam Dunton.

**Q. Is this the same Panel that previously submitted testimony in this proceeding?**

A. Yes. The defined terms in the Panel's direct and corrections and updates testimonies have the same definitions here.

## II. Purpose of Testimony

**Q. What is the purpose of your rebuttal testimony?**

A. The Panel responds to various adjustments proposed by Staff and intervenors in their direct testimonies dated September 1, 2023. In particular, the Panel addresses the following subjects: (i) proposed revenue adjustments; (ii) proposed O&M adjustments; (iii) proposed adjustments to taxes other than income taxes; (iv) federal and state income tax adjustments; and (v) rate base adjustments and proposed changes to depreciation.

**Q. Does the Company respond to each of Staff and the intervenors' proposed adjustments and recommendations?**

A. No. In this testimony, as well as the rebuttal testimony of the other Company panels and witnesses, the Company is only responding to certain issues. Where the Company accepts an adjustment or agrees with an issue, such acceptance or agreement is explicitly acknowledged. The Company's silence on a particular adjustment or recommendation

should not be construed as acceptance or waiver of a particular issue or as creating precedent for any future proceeding. The Company relies on its direct and corrections and updates testimonies as support and justification for those items not specifically addressed in its rebuttal testimony.

**Q. How has the Panel organized its rebuttal testimony?**

A. The rebuttal testimony addresses proposed adjustments following the general order in which the adjustments are presented in the Staff Revenue Requirements Panel's ("SRRP") Exhibit __ (SRRP-1), Schedule 7.

**Q. Does the Panel sponsor any exhibits?**

A. Yes. The Panel sponsors the following exhibits that were prepared by or under the supervision and direction of one or all members of the Panel and that, in all cases, refer to KEDNY:

- Exhibit __ (RRP-1R) Summary Revenue Requirements
- Exhibit __ (RRP-2R) O&M Expenses – Labor (Schedule 1), Injuries and Damages (Schedule 2), Rate Case Expense (Schedule 3)
- Exhibit __ (RRP-3R) Earnings Report/Earnings Capitalization
- Exhibit __ (RRP-4R) Relevant Portions of Company Information Request ("IR") Responses

**Q. In rebuttal, the Panel references various IR responses. Where can those responses be found?**

A. The IR responses referenced by the Panel have been compiled in Exhibit __ (RRP-4R) except for those responses included as exhibits to Staff's or another party's direct testimony. Because of the size of some of the responses, the Company included only relevant pages and attachments.

## III. Overall Revenue Requirement

**Q. Is the Company proposing any changes to the revenue requirement in this filing?**

A. Yes. The Company's corrections and updates filing reflected a revenue requirement increase of $450.1 million. Based on the Company's review of the direct testimony filed by Staff and intervenors, as well as discovery submitted since the time of the corrections and updates filing, the Company has accepted several adjustments and reflected certain updates to the revenue requirement. Exhibit __ (RRP-1R) sets forth the Company's position on each of the adjustments proposed by Staff. As explained in the rebuttal testimony of the Rate Design Panel ("RDP"), the revenue requirements shown in Exhibit __ (RRP-1R) reflect the removal of Net Utility Plant ("NUP") surcharge revenues consistent with the SRRP's presentation. This update results in a presentation change to the Company's incremental revenue requirement, but does not impact the Company's total revenue requirements.

**Q. What is the updated Rate Year revenue requirement?**

A. The updated revenue requirement increase is $504.3 million. This update reflects the removal of the NUP surcharge revenues and downward adjustments to O&M expense, rate base, depreciation, and taxes, as discussed below.

## IV. Operating Revenues Adjustments

**Q. Please summarize Staff's proposed adjustments to Operating Revenues.**

A. Staff proposed three adjustments to KEDNY's Operating Revenues, which are reflected in Exhibit __ (SRRP-1), Schedule 7. The Company's response to these adjustments is discussed in the rebuttal testimonies of the RDP and Gas Load Forecasting Panel ("GLFP").

## V. O&M Expense Adjustments

**Q. Please summarize Staff's proposed adjustments to O&M expense.**

A. Staff's proposed adjustments to O&M expense are shown in Exhibit __ (SRRP-1), Schedules 2 and 7.

### A. Consultants

**Q. Does the Company have any adjustments to Consultants expense?**

A. Yes. In preparing its response to IR No. NRDC-36, included in Exhibit __ (RRP-4R), the Company discovered it mistakenly included costs paid to Guidehouse for the development of the CLCPA Study required by the Joint Proposal approved in the 2019 KEDLI and

KEDNY Rate Cases. The Company has corrected this error, as shown in the revenue requirement reflected in Exhibit __ (RRP-1R), Schedule 7.

**B. Contractors**

**Q. Does the Company have any adjustment to Contractors expense?**

A. Yes. In preparing its response to IR No. DPS-982, included in Exhibit __ (RRP-4R), the Company determined that $60,750 related to Neighborhood Heating Fund administrative fees should be removed from the Historic Test Year. This adjustment is reflected in Exhibit __ (RRP-1R), Schedule 7.

**C. Hardware**

**Q. Please describe the SRRP's adjustments to Hardware expense.**

A. The SRRP proposes (at 16-19) to disallow $0.625 million in expenses incurred from IBM Corp. for platform/infrastructure as a service for the Company's Maximo production and product support. The SRRP argues that these costs are non-recurring expense because the Company did not incur any charges from IBM from 2018 to 2021 or year-to-date in 2023.

**Q. Does the Company agree with Staff's proposed adjustment?**

A. No, as stated in the Company's response to IR Nos. DPS-785 and DPS-786, included in Exhibit __ (SRRP-3), the Company anticipates the IBM costs will continue to occur in the Rate Year as the costs are part of a Software as a Service ("SaaS") (Infrastructure/Platform) contractual arrangement that will be renewed once the current contract expires the following year.

**Q. Does the Panel have other concerns with Staff's proposed adjustment?**

A. Yes. Staff's view of what constitutes a recurring expense is too narrowly focused. The costs paid to IBM are merely one item within the broader category of Hardware expense that is needed to ensure the Company's information technology ("IT") infrastructure is up-to-date and able to keep pace with evolving customer and stakeholder needs. As shown in the Company's response to IR No. DPS-430, included in Exhibit __ (RRP-4R), the Company's has experienced significant increases in Hardware expense year-over-year for the five-year period from 2018 through the Historic Test Year. The Company must perform this work each year so that its systems remain secure and capable of performing the functions needed to provide safe and reliable service to customers. Such work would be expected of any major company with an IT portfolio as large as the Company's – especially given the potential benefits that could accrue to customers from this work. Staff's removal of costs incurred from IBM inappropriately isolates a single line item in a large IT portfolio, and ignores the overall IT work being performed each year by the Company.

**D. <u>Software</u>**

**Q. Please describe the SRRP's adjustments to Software expense.**

A. The SRRP recommends (at 19-23) adjusting the Company's Rate Year forecast for expenses incurred from Microsoft Corporation to reflect a five-year average of costs from Microsoft, reducing the Company's forecast by $0.467 million. The SRRP recommends this adjustment for two reasons: (i) the amounts incurred from Microsoft have varied significantly in recent years; and (ii) the transition from an out of the box Microsoft product

to a subscription-based product is complete, and the Company is no longer incurring costs related to this transition.

**Q. Does the Company agree with Staff's proposed adjustment?**

A. No, software costs are undertaken for several reasons, including to address legal or regulatory requirements, maintain IT system reliability, upgrade or replace aging systems, address technologies that are out of vendor or version support, or provide service enhancements. Specific to Microsoft vendor charges incurred, although the Company completed a base level transition to Office 365 ("O365") and will no longer incur transition-related expenses, the Company still believes that the current costs are reflective of future spending. The O365 transition costs in question will subsequently be replaced with Phase 2 O365 enablement costs to improve collaboration, productivity, and data security. The scope of work in Phase 2 will include, but is not limited to:

- Ensuring O365 is current by deploying Microsoft upgrades;
- Furthering unstructured data governance, access, and data control to enable employees to securely access business data wherever they work from any device while helping to prevent unauthorized access;
- Implementing Advanced Information Protection to restrict access to sensitive information;
- Deploying Microsoft Cyberthreat protection upgrades to protect against ransomware and other cyberthreats;
- Modernizing legacy features (classic sites/Infopath);
- AI Content Management Services; and

- Microsoft Graph enablement and script conversion.

Further, similar to Hardware expenses discussed above, Staff construes recurring Software expenses too narrowly. The Company manages a large IT portfolio that requires continual updates and investments to meet the needs of customers and other stakeholders. In fact, as shown in the Company's response to IR No. DPS-356, included in Exhibit __ (RRP-4R), the Company's software costs have risen significantly year-over-year from 2018 through the Historic Test Year due to the volume of IT work being undertaken by the Company. This work is needed to keep the Company's systems up to date and allow the Company to continue to provide safe and reliable service to customers. In removing the costs incurred from Microsoft, Staff cherry-picks a single line item and ignores the overall IT work being performed by the Company. Therefore, although this specific item may not recur, the Company will continue to incur similar Software expenses every year.

**Q. Does the Panel have other concerns with the SRRP's proposed adjustments to Hardware and Software expense?**

A. Yes. Other than Staff's view of what constitutes a recurring expense is too narrowly focused, the Company also has a concern with both the Hardware and Software adjustments as the Historic Test Year amounts for Hardware and Software are already embedded within the Other Initiatives IT Exhibit ___ (RRP-3CU), Schedule 39. Specifically, the Company forecasts incremental IT OPEX/RTB by conducting a bottoms up forecast and then comparing that forecast to the costs in the Historic Test Year (adjusted for inflation), with the difference reflected as incremental Rate Year IT OPEX/RTB. As a result, if the SRRP's adjustment were adopted, the difference between the Historic Test

Year IT OPEX/RTB costs and the bottoms up forecast would increase, resulting in the need to increase the incremental Rate Year IT OPEX/RTB forecast in Exhibit ___ (RRP-3CU), Schedule 39 by the same amount of the SRRP's adjustment. This is another reason to reject the SRRP's adjustment.

**E. Service Company Rents**

**Q. Please describe the Staff IT Panel's ("SITP") adjustments to Service Company Rent expense.**

A. The SITP makes two adjustments to the Company's forecast Service Company Rent expense. First, the SITP recommends a downward adjustment of $1.675 million to Service Company Rents to reflect the rate of return ("ROR") recommended by Staff. Second, the SITP recommends a downward adjustment of $8.027 million to Service Company Rents to reflect Staff's recommended adjustments to the IT projects proposed by the Company.

**Q. Does the Company agree with Staff's proposed adjustment?**

A. No. The Company disagrees with the SITP's adjustment related to the Company's rate of return ("ROR") for the reasons discussed in the rebuttal testimonies of the Capital Structure Panel and Company witness Joshua C. Nowak. The Company also disagrees with the SITP's adjustment to reflect the Staff's adjustments to the Company's proposed IT projects for the reasons discussed in the rebuttal testimony of the IT and Digital ("IT&D") Panel.

**F. Labor**

**Q. Please describe the SRRP's adjustments to total labor expense.**

A. The SRRP made two adjustments to the Company's forecast labor expense. First, the SRRP (at 24-31) reduced the Company's labor expense by 6.03 percent to account for, what Staff claims, is the difference between the Company's actual headcount and the headcount included in rates authorized in the 2016 and 2019 KEDNY and KEDLI Rate Cases. This results in a reduction to labor expense of $5.350 million for KEDNY. Second, the SRRP (at 39-40) removed the Company's 0.5 percent wage increase related to career path progressions, resulting in a downward adjustment of $0.413 million.

**Q. Please explain the SRRP's adjustment to staffing levels.**

A. The SRRP compared the staffing levels underlying the approved labor expense in the 2016 and 2019 KEDNY and KEDLI Rate Cases to the levels at the end of the historic test years in the subsequent rate case filings. The SRRP calculated the headcount difference in each case to arrive at an understaffing percentage. The SRRP applied the average percentage differential between the two cases of 6.03 percent to KEDNY's labor expense in this case as a proxy to capture what it claims is the Company's understaffing levels. The adjustment is specific to FTEs who are employed by KEDNY and does not include Service Company employees who may charge their time to KEDNY.

**Q. Does the Company agree with the SRRP's proposal?**

A. No. The Company fully supported the need for the incremental FTEs included in this rate filing. The Company provided testimony and exhibits describing the work the FTEs will

perform, the specific Commission objectives with which the work aligns, where the FTEs sit on the Company's organizational charts, and the expected hiring dates for the FTEs, among other things. In proposing the adjustment, the SRRP made no showing to demonstrate why the positions were not needed. In fact, for the most part, the other Staff witnesses support the Company's proposed incremental FTEs. Instead, the SRRP makes an arbitrary adjustment citing staffing levels in past rate cases.

But prior staffing levels are irrelevant to the hiring needs the Company is facing in the current case. The types of programs and priorities change year over year, as do societal conditions such as the pandemic and the economic market. For instance, actual inflation was much higher than the level set in rates in the 2019 KEDNY and KEDLI Rate Cases but the SRRP is not proposing to make an upwards adjustment to account for the difference. The SRRP's adjustment would not only deny the Company full funding for the FTEs supported by the other Staff witnesses, but also would negate a portion of the headcount on payroll at the end of the Historic Test Year. This is completely unreasonable. There is simply no basis to assume there will be open positions in the Rate Year.

**Q. Are there reasons other than those cited by the SRRP that account for differences in staffing levels between the time of the last rate cases and the end of the subsequent historic test years?**

A. Yes. The SRRP looked at one side of the coin by focusing on operating company labor charges and ignoring labor that is charged to KEDNY and KEDLI from the Service Company. Specifically, the Service Company employs staff in centralized functions who

allocate their time to operating companies based on the work performed. Approximately 51 percent of Rate Year labor at KEDNY is forecast to be provided by Service Company employees. As such, Service Company labor cannot be ignored in any staffing analysis.

To that end, the level of Service Company staffing increased significantly between the 2016 and 2019 KEDNY and KEDLI Rate Cases, and further increased in this case. As a result, more work is being performed by Service Company employees in support of KEDLI and, therefore, more Service Company labor costs are being allocated to KEDLI than were reflected in the prior rate allowances.

Another reason why there will generally be a disconnect between the FTEs forecast in a prior rate case and current staffing levels is due to productivity and other savings reflected in rates. The 2016 and 2019 KEDNY and KEDLI Rate Cases reflected productivity adjustments ranging from 1.0 percent to 2.0 percent. One of the ways to achieve productivity savings is through changes in headcount due to efficiencies that are subsequently embedded in the historic test year in the following rate filing. The SRRP's position ignores this reality. In effect, its proposed adjustment amounts to a double count of the productivity adjustments and other savings that are subsequently embedded in the Historic Test Year.

Exhibit __ (RRP-2R), Schedule 1 is an analysis performed by the Company comparing staffing levels in the 2016 and 2019 KEDNY and KEDLI Rate Cases and the subsequent historic test years with the addition of Service Company labor. The result of the analysis

shows that staffing on average is 1.3 percent higher for KEDNY than the amount approved in rates in the 2019 KEDNY and KEDLI Rate Cases.

**Q. Does the Company have any final comments regarding the SRRP's staffing adjustment?**

A. Yes. The Company submits that its methodology to calculate labor expense, which uses as a base the number of actual employees on payroll as of December 31, 2022 (the end of the Historic Test Year), adjusted for known changes, is the more accurate method to use to set rates. The Company's methodology specifically accounts for vacancies/understaffing that existed as of the end of the Historic Test Year, ensuring a fair and reasonable forecast of labor.

**Q. Does the Company agree with the SRRP's proposed removal of wage increases related to career path progressions?**

A. No, the Company does not agree for several reasons. First, the 0.5 percent increase for career path progressions ensures that the Company's compensation will continue to remain competitive with the median level of its peers. The proposed 0.5 percent career path progression increase, taken alone or with the overall 4.0 percent increase to management wages, would not cause the Company's management compensation to exceed the median compensation of the peer group, much less fall outside the 10 percent allowable range from the median compensation for the peer group.

Second, the Company proactively approaches compensation programs that are market competitive and reasonable to attract and retain skilled employees. The Company, as an employer, is focused on attracting and retaining qualified talent despite the current challenges in the labor market. Without the ability to provide compensation increases for promotions and career path progression for employees that move into more experienced senior levels, it would be hard to attract, retain and motivate employees. It is in the best interest of the Company, its customers, and other stakeholders to allow the Company's compensation to remain competitive through the proposed career path progression increases.

Third, retroactively removing the 0.5 percent wage increase implemented on July 1, 2023, including wage increases already paid by the Company to its employees, would adjust a known and measurable change reflected in the Company's filing. The Company has already paid this increase as it was determined to be a prudent cost by the Company.

Finally, the 0.5 percent promotional increase is supported by the Company's market research. The Company uses market data from several sources to evaluate all elements of its compensation program, including promotional increases. This market data projects that promotional increases will be between 0.8 percent and 2.1 percent for promotional increases in 2023; therefore, the 0.5 percent spent by the Company is well below the market projections. The 2022-2023 World at Work Salary Budget Survey found that the mean promotional increase in 2022 was 2.1 percent and the median increase was 1.0 percent. The World at Work survey also found that 96 percent of organizations estimated that

spending on promotional increases in 2023 would be similar to or greater than it was in 2022. The Mercer Compensation Survey projects that the median promotional increase budget in the United States will be 1.0 percent in 2023 and that the median increase will be 1.3 percent. Mercer also projected that the median and mean 2023 promotional increase budgets in the energy industry will be 1.0 percent and 1.1 percent, respectively. Aon/Radford's 2022 Salary Increase and Turnover Study found that the 2022 mean promotional increase was 0.9 percent for all industries and 0.7 percent for the energy industry, and it projected that the mean promotional increase for 2023 would be 0.9 percent for all industries and 0.8 percent for the energy industry. Finally, the 2022-2023 Payscale Salary Budget Survey found that average promotional increases in the United States were 1.7 percent in 2022 and are expected to be 1.8 percent in 2023. The market data evaluated by the Company shows that promotional increases for 2023 are expected to be between 0.8 percent and 2.1 percent. This demonstrates that the Company's 0.5 percent career progression increase is reasonable, as it is below the actual 2022 and expected 2023 promotional increases in the labor market.

**Q. Did the Company make any other adjustments to labor expense in its rebuttal filing?**

A. Yes, as discussed in the Company's response to IR No. WE ACT-091, included as Exhibit 59 to WE ACT witness Jessel's testimony, a journal entry booked during the Historic Test Year for US GAAP purposes that reclassified below-the-line labor expense was inadvertently included in the Company's revenue requirement. The Historic Test Year is used as the means to forecast Rate Year allocations (*e.g.*, expense/capital/other, overtime, miscellaneous pay). The Company has removed the impact of this journal entry in its

rebuttal filing, which reduces KEDNY labor expense in the Rate Year by $0.394 million. The adjustment is reflected in Exhibit __ (RRP-1R), Schedule 7.

**Q. Do the adjustments proposed by Staff or made by the Company impact any other areas of the filing?**

A. Yes, both of Staff's proposed adjustments as well as the Company's adjustment impact productivity expense and payroll taxes, as flow-through adjustments from labor expense. Additionally, changing labor expense impacts the burden rates for incremental FTEs. The impact of the Company's adjustment is reflected in Exhibit __ (RRP-1R), Schedule 7.

**G. <u>Transportation</u>**

**Q. Please explain the adjustment to KEDNY transportation expense recommended by the SRRP.**

A. The SRRP recommends (at 40-45) adjusting KEDNY's transportation expense to align vehicle replacements for the period of January 2023 through the Rate Year with the pace of vehicles the Company replaced in the Historic Test Year. Based on the detail provided by the SRRP in Exhibit __ (SRRP-4) (at 15-16), the SRRP's proposed adjustment results in 172 fewer vehicle replacements from the forecast of 550 in this period. The SRRP's reduction in vehicle replacements results in a downward adjustment of $2.081 million to KEDNY's forecast lease expense, from $6.653 million to $4.572 million. After adjusting for a change in auction credits for the reduced vehicle replacements and allocating the adjustment between capital and expense, the SRRP's net adjustment reduces the Company's revenue requirement by $0.863 million.

**Q. Please explain the SRRP's rationale for the adjustment.**

A. The SRRP states (at 44) that the proposed reduction of replacement vehicles is based on KEDNY's historic pace of replacing vehicles and the Company's ability to continue maintaining and using vehicles beyond expiration of a lease agreement. The SRRP further explains that the adjustment will enable the Company to account "for any delays in the Company's anticipated replacement schedule."

**Q. Does the Company agree with the basis for the SRRP's reduction in replacement vehicles?**

A. No. The Company's response to IR No. DPS-528, included in Exhibit __ (RRP-4R), provided a three-year lookback of replacement vehicles placed in service from Calendar Year 2020 through Calendar Year 2022. Based on those figures, the Company demonstrated the effect that COVID-19 had on the global supply chain and the resulting impact on the Company's vehicle replacement schedule in 2020 and 2021. In those years, the Company was only able to replace 46 of the forecast 190 vehicles in 2020, and only 95 of the forecast 270 vehicles in 2021. The response to IR No. DPS-528 also shows the improvement in the Company's ability to replace vehicles on pace with its forecast in 2022. In that year, 186 vehicles were replaced, exceeding the forecast of 155 replacements by 20 percent. Additionally, the Company explained in its response that positive manufacturer and vendor sentiment regarding increases in inventory, coupled with the pace of replacements in 2022, indicate that proposed forecast replacements is a realistic target.

**Q. Does the Company agree with the SRRP's assertion that maintaining existing vehicles beyond their lease term is a viable alternative to replacing them?**

A. No. Continuing to rely on an aging fleet by maintaining them is not a long-term solution that the Company can reasonably rely on, either to provide safe and reliable service or reduce lease expense. Maintenance costs rise and unpredictable service needs increase when vehicles are extended beyond their useful life, and service quality will be negatively impacted as a result. The Company is also continuing to deal with supply disruptions stemming from COVID-19 and remains behind its replacement schedule as a result. Further, Staff's recommendation to reduce the Company's replacement schedule could create continuing issues in the future, as the Company's vendors will reduce the available vehicles allocated to it each year. This would further constrain the Company's ability to replace vehicles as needed to provide safe and reliable service to customers.

**H. <u>Energy Efficiency</u>**

**Q. Did Staff propose any changes to the Company's revenue requirement in the outer years?**

A. Yes. The Staff Efficiency Panel ("SEP") (at 15) proposed that the Company update the budgets included in the revenue requirement for Calendar Years 2026 through 2030 to align with the provisional budgets in accordance with the Commission's July 20, 2023, Order Directing Energy Efficiency And Building Electrification Proposals, in Case 18-M-0084.

**Q. Does the Company agree with Staff's proposed adjustment?**

A. Yes.

## I. Injuries and Damages

**Q. Do the Company's revenue requirements include any updates to Injuries and Damages?**

A. Yes. The Company inadvertently omitted inflation actuals for the first quarter of 2023 in forecasting expense for Injuries and Damages. The correct forecast, including quarter one 2023 inflation, is set forth in Exhibit __ (RRP-2R), Schedule 2.

## J. Savings

**Q. Please describe the SRRP's adjustments to Savings.**

A. The SRRP adjusts (at 46-51) the Company's proposed savings to remove the costs to achieve savings related to the Evolution Program, resulting in a reduction to O&M expense of $1.888 million. In the response to IR No. DPS-870, the Company reflected an update to the costs to achieve of $0.192 million. This update has been made here in rebuttal and results in total costs to achieve of $2.080 million.

Staff states that recovery of costs to achieve should be disallowed for three reasons: (i) the Commission did not authorize deferral of costs to achieve, and the Company did not request authority to defer these costs; (ii) the Company is seeking recovery of costs to achieve incurred during the current rate plan, but do not propose to provide customers with the

savings experienced during that time; and (iii) the costs are one-time costs and will not recur during the Rate Year.

**Q. Does the Company agree with Staff's proposed adjustment?**

A. No. The costs to achieve were incurred to deliver the forecast savings included in the case. It is therefore unreasonable to disallow those costs without also removing the savings. If it is truly the SRRP's position that the costs to achieve reflected in the Rate Year should be disallowed, then the Evolution Program savings delivered as a result of those costs should be removed. Indeed, this result would be completely consistent with positions taken by Staff in previous rate proceedings that the costs of new initiatives should not be reflected in rates if the savings are not included. Specifically in the 2010 Niagara Mohawk rate case, Staff testified:

> Q. Please explain why you recommend, as an alternative, removing both the savings and the costs for these initiatives from the rate year forecast.
>
> A. . . .. [I]f the rate year cost estimates are removed, the expected associated savings should not be reflected. **It is not reasonable to exclude costs and include expected savings, or vice versa.**

*See* Case 10-E-0050, Evidentiary Transcript dated September 14, 2010, Tr. 2852, lines 13-16; Tr. 2854, lines 3-7 (DMM #299) (emphasis added).

The Company's revenue requirements reflect the savings at the same level that was incurred in the Historic Test Year with inflation added. As such, customers will receive the benefit of the savings achieved prior to the Rate Year going forward. The Company is unaware of any Commission precedent disallowing costs to achieve because they were

incurred on a one-time basis to enable a utility to deliver savings over a multi-year period. In fact, such a position would be illogical and serve as a disincentive for future savings efforts.

**K. Productivity**

**Q. Does the Company agree with Staff's adjustment to productivity?**

A. The Company agrees that productivity should be adjusted to reflect the labor adjustments adopted in this proceeding. Staff's adjustment, however, reflects labor adjustments that the Company disagrees with, as discussed above.

**L. Rate Case Expense**

**Q. Did the Company update the Rate Case expense total?**

A. In a July 5, 2023 letter, the Administrative Law Judges directed the Company to issue a notice regarding the Rate Case Hearing Public Statement Hearing. This resulted in the additional rate case expense of $0.055 million for KEDNY, and when amortized over the four years of the Rate Plan, has a $0.014 million impact to the Rate Year. Please see Exhibit __ (RRP-2R), Schedule 3 for details.

**M. Uncollectibles**

**Q. Please describe the SRRP's adjustment to Uncollectible expense.**

A. The SRRP recommends (at 51-57) modifying the Company's proposed three-year average uncollectible rate to reflect the average decline in the write-off rate experienced by

KEDNY during the three-year period. This results in a reduction in Uncollectible expense of $1.998 million.

**Q. Does the Company agree with this adjustment?**

A. No. This adjustment is addressed in the rebuttal testimony of the Customer Panel.

**Q. Does the SRRP recommend any other adjustments to Uncollectible expense?**

A. Yes, the SRRP recommends (at 57) adjusting the Company's Uncollectible expense to reflect Staff's revenue forecast.

**Q. Does the Company agree with this adjustment?**

A. The Company agrees that Uncollectible expense should be set based on the revenue forecast adopted in this proceeding. However, for the reasons discussed above and in the rebuttal testimonies of the RDP and GLFP, the Companies do not agree with Staff's proposed revenue forecast.

**N. <u>Economic Development</u>**

**Q. Did Staff update the Economic Development forecast to reflect the change made in the Company's corrections and updates filing?**

A. In the Staff Consumer Services Panel ("SCSP") testimony (at 98), Staff refers to and does not take issue with the annual economic development program funding levels of $1.819 million per year proposed in the Company's direct testimony. However, the Company's corrections and updates testimony includes a proposed adjustment of those annual rate

allowances, to $1.381 million, to correctly reflect the Company's deferred economic development costs. The Company's corrections and updates amount should be used to calculate the Company's rate allowance for economic development costs.

**O. Other Initiatives: Information Technology**

**Q. Please describe Staff's adjustments to the Company's Other Initiatives for IT.**

A. Staff proposes two adjustments to the Company's IT programs: (i) correction of IT operating expense forecast per IR No. DPS-669; and (ii) adjusting IT operating expense and run the business costs to reflect Staff's IT&D capital forecast.

**Q. Does the Company agree with these adjustments?**

A. Partially. The Company agrees with Staff's adjustment to reflect a correction in the Company's operating expense forecast, per the Company's response to IR No. DPS-669, set forth in Exhibit __ (RRP-4R). The Company disagrees with Staff's adjustment to reduce IT operating expense and run the business costs for the reasons discussed in the rebuttal testimony of the IT&D Panel.

**P. Other Initiatives: Other Programs**

**Q. What adjustments does Staff recommend for the Company's Other Programs?**

A. Staff recommends removing the following programs proposed by the Company: (i) the Weatherization Safety Program; (ii) the Disadvantaged Community Outreach Model; (iii) the Language Access Plan Pilot; (iv) the Digital Building Replica Pilot; (v) the LMI Outreach and Education Program; and (vi) the Prepaid/Credit/Debit Card No-Fee Model.

**Q. Does the Company agree with Staff's recommendation to remove these programs?**

A. No, as discussed in the rebuttal testimony of the Customer Panel, the Company disagrees with Staff's proposal to remove these programs.

**Q. <u>Other Initiatives: Full Time Equivalents ("FTEs")</u>**

**Q. What adjustments does Staff recommend for the Company's FTEs?**

A. Staff recommends removing various FTEs related to programs supported by the Customer Panel, the Gas Safety Panel, and the Gas Infrastructure and Operations Panel ("GIOP").

**Q. Does the Company agree with Staff's recommendation to remove these FTEs?**

A. No, as discussed in the rebuttal testimonies of the three aforementioned panels, the Company disagrees with Staff's proposal to remove these FTEs.

**R. <u>Other Initiatives: Gas Infrastructure and Operations/Gas Safety</u>**

**Q. What adjustments does Staff recommend for the Company's Gas Infrastructure and Operations and Gas Safety programs?**

A. Staff proposes to remove the following programs: (i) AMI Network (SPP at 70-71; SPSP at 62); (ii) ACI Residential Methane Detectors ("RMD") (SPP at 70-71; SPSP at 62); (iii) Gas Safety Public Awareness Program (SCSP at 101-08); and (iv) the Tools & Equipment program (SGIOP at 68-70). Staff also recommends (SPSP at 83) removing the Company's proposed funding for Damage Prevention Enhancements and shifting that funding to the Connected RMD program proposed by Staff.

**Q. Does the Company agree with Staff's proposed adjustments?**

A. No, the Company does not agree with these adjustments. The Company responds to Staff recommendations related to the AMI Network, ACI Residential Methane Detectors, Connected RMD, Gas Safety Public Awareness, and Damage Prevention Enhancements programs in the rebuttal testimony of the Gas Safety Panel and responds to Staff's recommendations related to the Tools & Equipment program in the GIOP rebuttal testimony.

## R. Funds for Advocacy, Political Activity, or Marketing

**Q. Please describe WE ACT's position regarding funds used for advocacy, political activity, and marketing.**

A. WE ACT witness Sonal Jessel states that the Company has used customer funds for political activities. Ms. Jessel argues (at 69-80) that expenses incurred by the Company to prepare and deliver testimony to the New York City Council Committee on Environmental Protection and to prepare and submit comments to the Climate Action Council on the draft Scoping Plan should not be included in the Company's revenue requirements because such expenses constitute legislative lobbying and regulatory advocacy. WE ACT also opposes the recovery of expenses related to the development of National Grid's Clean Energy Vision Report ("CEV Report"), arguing that the CEV Report is political advertising.

**Q. Why do the Companies disagree with WE ACT's contentions regarding lobbying activities?**

A. WE ACT incorrectly contends that certain activities engaged in by the Company and its employees constitute lobbying and should be recorded below the line. For example, WE

ACT contends that time spent preparing and delivering testimony before a public meeting at the invitation of the New York City Council Committee on Environmental Protection is lobbying and should be recorded below the line. Similarly, WE ACT claims that time spent participating in public meetings of the Climate Action Council or in preparing comments submitted at the request of the Council on the Draft Scoping Plan is lobbying and should be recorded below the line. Such activities are specifically exempted from the definition of lobbying under New York State and New York City rules. Participating as a witness, attorney, or other representative in a public, on-the-record proceeding is exempted from the definition of lobbying under New York Legislative Law § 1-c(c)(A) and New York City Administrative Code § 3-211(c)(3)(iii). Likewise, responding to an official's or an agency's request for information or comments is exempted under New York Legislative Law § 1-c(c)(E) and New York City Administrative Code § 3-211(c)(3)(v). WE ACT also contends that time spent by the Company preparing comments to DEC and NYSERDA regarding their work to develop a Cap and Invest program are excludable lobbying costs. Not only is such work not lobbying because it was done based on direct requests from the agencies for information and comments, but it was also performed entirely in 2023 and could not have been reflected in the Historic Test Year. In summary, WE ACT's claims regarding the Companies' costs of participating in public proceedings and other are activities incorrectly characterized as lobbying are flawed and should be disregarded.

**Q. Please respond to WE ACT's arguments regarding recovery of costs related to the CEV Report.**

A. The Company disagrees with WE ACT and believes that costs related to the CEV Report are properly included in revenue requirements. The Commission's Statement of Policy on Advertising and Promotional Practices of Public Utilities, issued February 25, 1977 ("Advertising Policy Statement"), states on page 11:

> Some forms of utility institutional advertising clearly are in the public interest and their costs are a legitimate expense of doing business. These include…reports on matters of interest to the public concerning the utility's service — such as service difficulties and progress in overcoming them, projections of new capacity additions, plans for new or improved means of providing service, and the like. Expenses incurred by utilities for this type of advertising are clearly properly recoverable in rates.

The purpose of the CEV Report is to provide information to the Company's customers and the public regarding National Grid's plans to maintain and evolve its electric and natural gas systems to meet state and federal energy policy goals and requirements while continuing to provide safe, reliable, and affordable service to customers. In describing its purpose, the CEV Report states that "[t]his report describes National Grid's vision and the steps we are taking to leverage our existing gas and electric networks to achieve fossil-free heat fairly, affordably, and reliably for our customers and communities." As it reports on the Company's ability to meet customers' needs amid continuously evolving energy policy, the CEV Report falls within the definition of informational institutional advertising and is properly recoverable in rates.

## VI. Taxes Other Than Revenue and Income Taxes

### A. Property Taxes

**Q. Please summarize Staff's recommendations regarding the Companies' forecast of property tax expense.**

A. In the direct testimony of the SRRP (at 58-61), Staff evaluates the Companies' methodology of developing an applied growth rate of 11.35 percent for KEDLI and 11.37 percent for KEDNY. The SRRP states (at 61) that it does not agree with KEDLI's forecast of 11.35 percent growth, arguing that "[i]nherent in KEDLI's growth rate, or a contributing factor to KEDLI's annual growth in property tax, is the decline in KEDLI's obsolescence." Staff argues that "since KEDLI's EO percentage cannot go below zero, applying a growth rate that factors in any decline in EO, inadvertently overstates KEDLI's expected growth factor, and thereby overstates KEDLI's Rate Year forecast of property tax expense." Staff asserts (SRRP at 62-63), instead, that "[t]he growth rate should be based on KEDLI's changes in property tax expense excluding the percentage decline of EO, since KEDLI's base to forecast the Rate Year reflects zero percent EO." Staff concludes by stating (SRRP at 63) "As shown in Exhibit __ (SRRP-4), from Fiscal Year 2021 to Fiscal Year 2023, KEDLI experienced property tax expense, exclusive of EO, of $228.848 million, $224.082 million, and $247.823 million respectively, or an average increase of 4.07 percent. Therefore, we propose using this 4.07 percent growth rate to forecast KEDLI's Rate Year property tax expense."

**Q. How did the Company evaluate Staff's adjustment to the KEDLI growth rate?**

A. First, we validated Staff's calculation of the growth rate based on expense excluding changes in obsolescence. We agree that economic obsolescence cannot go below 0 percent and KEDLI's growth rate may be lower than 11.37 percent, however this change should be equitably applied to KEDNY in the same manner.

**Q. What is the result when applying Staff's methodology evenly to both KEDLI and KEDNY?**

A. Based on the three-year average taxes without obsolescence as provided in the response to IR No. DPS-823 (attached hereto as Exhibit __ RRP-4R), this would raise KEDNY's growth rate from 11.37 percent to 17.17 percent. Making this change would increase KEDNY's Rate Year expense by $31.550 million. A consistent approach would mean either raising KEDNY's growth rate to 17.17 percent and correspondingly lowering KEDLI's to 4.07 percent or using the growth rates of 11.35 percent for KEDLI and 11.37 percent for KEDNY, as proposed by the Companies.

**B. <u>Payroll Taxes</u>**

**Q. Does the Company agree with the SRRP's adjustment to payroll taxes?**

A. The Company agrees that payroll taxes should be adjusted to reflect the labor forecast adopted in this proceeding. The SRRP's adjustment to payroll tax, however, reflects labor adjustments that the Company disagrees with, as discussed above.

## VII. Federal and State Income Taxes

**Q. Is the Company proposing any adjustments related to federal or state income taxes?**

A. No, except for the flow-through effects of all of the revenue requirement changes the Company is presenting in this rebuttal filing.

## VIII. Rate Base

### A. Net Plant and Depreciation Expense – Plant in Service Model

**Q. How did Staff forecast the Company's gas net utility plant in service and depreciation expense?**

A. Staff used the Company's plant in service model and applied its proposed capital plan adjustments, flow-through adjustments for cost of removal, and depreciation rates to the model.

**Q. What is the rate base and depreciation expense impact of Staff's proposed forecast?**

A. Staff's proposed adjustments, in total, decrease the Company's Rate Year net utility plant in service by $25.063 million and decrease depreciation expense by $6.257 million.

**Q. Does the Company agree with Staff's proposed adjustments to net utility plant in service and depreciation expense?**

A. No. The Company's GIOP and IT&D Panel responds to Staff's proposed adjustments to the Company's capital plan. Company Witness Ned W. Allis addresses Staff's proposed depreciation rates.

**Q. Did the Company make any other adjustments to net utility plant in service and depreciation expense in its rebuttal filing?**

A. Yes. The Company made adjustments to net utility plant and depreciation for the Greenpoint Guard Booth Station, which was agreed to in IR No. DPS-916, set forth in Exhibit __ (RRP-4R). The $1.3 million capital expenditure reduction in FY24 produced a Rate Year revenue requirement decrease of $0.112 million. The Company also adjusted capital expenditures for the Operator Qualification ITS system, as was agreed to in DPS-866, set forth in Exhibit __ (RRP-4R). This produced a rate year revenue requirement increase of $0.6 million.

**Q. Did any other party propose adjustments to the Company's depreciation expense?**

A. Yes. New York City Witness David Garrett also proposes adjustments to the Company's depreciation expense. Company witness Ned W. Allis addresses Mr. Garrett's proposed adjustments in his rebuttal testimony.

**B. <u>Accumulated Deferred Income Tax</u>**

**Q. Please describe Staff's adjustments to Accumulated Deferred Income Tax ("ADIT").**

A. Staff adjusts the Company's ADIT to reflect the impact on Staff's recommended changes to the Company's plant additions and depreciation expense and recommends that the Company formally calculate the ADIT impacts for the final plant-in-service and depreciation amounts determined in this proceeding.

**Q. Does the Company agree with Staff' recommendation?**

A. The Company agrees that ADIT should be calculated based on the final plant-in-service and depreciation expense adopted in this proceeding. However, the Company disagrees with Staff's proposed adjustments to plant-in-service and depreciation expense for the reasons discussed in the rebuttal testimonies of the GIOP and Company witness Ned W. Allis.

**Q. Describe the changes to ADIT resulting from the Company's update.**

A. The Rate Year ADIT was reduced by approximately $16.2 million as a result of the downward adjustment to the Earnings Base Capitalization Adjustment ("EBCAP") described below and in response to IR No. DPS 983.

**C. <u>Earnings Base Capitalization</u>**

**Q. Please describe Staff's proposed adjustment to EBCAP.**

A. Staff adjusted the Company's EBCAP to correct the Company's inadvertent exclusion of non-cash accounts associated with the accounting for capital leases, as set forth in the Company's response to IR No. DPS-983, set forth in Exhibit __ (RRP-4R). This resulted in a downward adjustment of $24.186 million for KEDNY.

**Q. Does the Company agree with this adjustment?**

A. Yes, the Company agrees with this adjustment for the reasons discussed in the Company's response to IR No. DPS-983. Please see Exhibit __ (RRP-3R), Schedule 1 for details.

## IX. Regulatory Assets and Liabilities

### A. New and Existing Deferrals

**Q. Does the SRRP recommend any changes to the Company's currently existing deferrals or the new deferrals proposed by the Company in this proceeding?**

A. Yes. The SRRP (at 78-79) recommends discontinuing the Company's paving expense deferral. The SRRP also opposes the Company's proposed reconciliations for property taxes (SRRP at 64), uncollectible expense (SRRP at 79-82), and late payment charge revenues (SRRP at 82-83).

**Q. Does the Company agree that the paving expense deferral should be discontinued?**

A. No. The Company believes the paving expense deferral remains necessary, as paving expenses represent a significant and variable portion of the unit cost increases that the Company is experiencing for main installation unit. Although operational and financial impacts of New York City's paving rules are reflected in the historic average unit costs used to develop the Company's forecast, volatility in the supply chain and labor markets continue to cause substantial variability in paving expense. Therefore, the Company believes that this symmetrical reconciliation, which protects customers as well as the Company, should continue.

**Q. Why does Staff oppose the property tax reconciliation proposed by the Company?**

A. Staff opposes the use of a property tax reconciliation in the context of a one-year rate proceeding (SRRP at 64).

**Q. Do you agree with the SRRP's recommendation to eliminate the property tax reconciliation mechanism in a one-year rate proceeding?**

A. No. The SRPP's proposal to eliminate the property tax reconciliation mechanism places an undue level of risk on the Company and its customers. Because of the variability of forecasting property taxes and the impact of factors outside of the Company's control (*e.g.*, property tax rates, assessments, obsolescence rates, effects of the COVID-19 pandemic), a symmetrical property tax reconciliation mechanism that insulates the Company and customers from such variations is reasonable, appropriate, and in the best interest of customers and the Company, even for a one-year case.

**Q. Did any other parties comment on the Company's proposed property tax reconciliation mechanism?**

A. Yes, NYC Witness Michele Chait (at 36) opposed the Company's proposed changes to the property tax reconciliation mechanism and recommended retaining the current property tax reconciliation mechanism.

**Q. Does the Company agree with Ms. Chait's proposal?**

A. No, the Company believes the proposed changes to the property tax reconciliation mechanism are needed for the reasons discuss in the Panel's direct testimony.

**Q. What is the Company's position with regard to the reconciliation mechanisms related to uncollectible expense and late payment charge revenues?**

A. The Company's positions regarding the uncollectible expense reconciliation mechanism and the late payment charge revenue reconciliation mechanism are discussed in the rebuttal testimonies of the Customer Panel and RDP, respectively. These panels respond to the arguments made by the SRRP and NYC Witness Chait with respect to these reconciliation mechanisms.

**Q. Do any other Company witness discuss the need for deferral treatment related to potential significant incremental expenses identified during rebuttal?**

A. Yes. The Company's GIOP and Gas Safety Panel discuss the need for deferral treatment related to the Roadway Excavation Quality Assurance Act and PHMSA's recent notice of proposed rulemaking regarding leak detection and repairs.

## X. <u>Flow-Through Adjustments</u>

**Q. Has the Company reflected any additional flow-through adjustments in its revenue requirement?**

A. Yes. Changes to O&M expense have an impact on working capital requirements. Additionally, any change in rate base results in a change to return on rate base. Moreover, there are flow-through adjustments resulting from changes to the Company's revenue requirement, including adjustments for purchase gas, revenue taxes, productivity, payroll taxes, uncollectible expense, income taxes, and deferred taxes. The flow-through adjustments are reflected in the appropriate sections of the Panel's Exhibits.

## XI. Term of Rate Plan

**Q. NRDC Witness Napoleon (at 53) recommends that any rate plan approved in this proceeding be for one or two years only. Does the Panel agree with this recommendation?**

A. No. The Commission has recognized several benefits that result from longer-term rate plans. For example, in adopting a three-year rate plan in the Company's prior rate case, the Commission found that the three-year term would: (i) allow the Companies to focus on managing their gas businesses rather than expending resources on additional annual rate filings; (ii) provide rate stability and certainty to customers; (iii) enable the Companies to smooth rate increases over several years; and (iv) benefit market participants seeking to provide new or enhanced products and services by allowing certainty in long-term planning efforts. Additionally, the Company believes that NRDC's concerns regarding longer-term rate plans can be eliminated or mitigated through the settlement process.

## XII. Conclusion

Q. Does this conclude the Panel's rebuttal testimony?

A. Yes, it does.

## List of Exhibits


| | |
|---|---|
| Exhibit __ (RRP-1R) | Summary Revenue Requirements |
| Exhibit __ (RRP-2R) | Schedule: O&M Expenses – Labor |
| | Schedule 2: Injuries and Damages |
| | Schedule 3: Rate Case Expense |
| Exhibit __ (RRP-3R) | Earnings Report/Earnings Capitalization |
| Exhibit __ (RRP-4R) | Relevant Portions of Company Information Request ("IR") Responses |

Exhibit_____(RRP-1R)

Rebuttal

Summary Revenue Requirements, By Component, for the

Historic Test Year Ended December 31, 2022 and

Rate Years Ending March 31, 2025,

March 31, 2026, March 31, 2027, and March 31, 2028 Summary

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Statement of Operating Income - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

| | C&U Filing Rate Year Ending March 31, 2025 | Adj. # | Staff Adjustments | Company Adjustments to Staff Amounts | Rebuttal Rate Year Ending March 31, 2025 | Base Revenue Increase Required | Rate Year Ending March 31, 2025 with Base Revenue Requirement |
|---|---|---|---|---|---|---|---|
| Operating Revenues | $ 2,147,237 | 1 | $ (24,530) | $ (29,421) | $ 2,093,286 | $ 522,653 | $ 2,615,939 |
| Deductions | | | | | | | |
| Purchased Gas Costs | $ 626,201 | 2 | $ 6,731 | $ (6,731) | $ 626,201 | $ - | $ 626,201 |
| Revenue Taxes | 75,544 | 3 | (1,322) | (899) | 73,323 | 18,307 | 91,630 |
| Total Deductions | $ 701,745 | | $ 5,409 | $ (7,630) | $ 699,524 | $ 18,307 | $ 717,831 |
| Gross Margin | $ 1,445,492 | | $ (29,939) | $ (21,791) | $ 1,393,762 | $ 504,346 | $ 1,898,108 |
| Total Operation & Maintenance Expenses | $ 730,861 | 4 | $ (62,452) | $ 61,004.71 | $ 729,414 | $ 4,379 | $ 733,793 |
| Amortization of Regulatory Deferrals | 36,692 | | - | - | 36,692 | - | 36,692 |
| Depreciation, Amort. & Loss on Disposition | 211,016 | 5 | (6,257) | 6,233 | 210,992 | - | 210,992 |
| Taxes Other Than Revenue & Income Taxes | 301,836 | 6 | (440) | 411 | 301,806 | - | 301,806 |
| Total Operating Revenue Deductions | $ 1,280,405 | | $ (69,149) | $ 67,648 | $ 1,278,904 | $ 4,379 | $ 1,283,283 |
| Operating Income Before Income Taxes | $ 165,087 | | $ 39,210 | $ (89,439) | $ 114,858 | $ 499,967 | $ 614,825 |
| Income Taxes | | | | | | | |
| Federal Income Taxes | $ (35,339) | 7 | $ 6,860 | $ (17,209) | $ (45,688) | $ 95,097 | $ 49,409 |
| State Income Taxes | (1,667) | 8 | 3,400 | (8,528) | (6,795) | 47,122 | 40,327 |
| Total Income Taxes | $ (37,006) | | $ 10,260 | $ (25,737) | $ (52,483) | $ 142,219 | $ 89,736 |
| Operating Income After Income Taxes | $ 202,093 | | $ 28,951 | $ (63,702) | $ 167,341 | $ 357,748 | $ 525,089 |
| Rate Base | $ 7,353,223 | 9 | $ (51,753) | $ 42,433 | $ 7,343,902 | | $ 7,343,902 |
| Rate of Return | 2.75% | | | | 2.28% | | 7.15% |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Operation & Maintenance Expenses - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

| | C&U Filing Rate Year Ending March 31, 2025 | Adj. # | Staff Adjustments | Rate Year As Adjusted by Staff | Company Adjustments to Staff Amounts | Company Rebuttal Rate Year Ending March 31, 2025 |
|---|---|---|---|---|---|---|
| Operation & Maintenance Expenses: | | | | | | |
| Departmental Items: | | | | | | |
| Consultants | $ 18,548 | | $ - | $ 18,548 | $ (487) | $ 18,061 |
| Contractors | 85,974 | | - | 85,974 | (65) | 85,909 |
| Donations | - | | - | - | - | - |
| Employee Expenses | 3,776 | | - | 3,776 | - | 3,776 |
| Hardware | 960 | 4a | (625) | 335 | 625 | 960 |
| Software | 21,991 | 4b | (467) | 21,524 | 467 | 21,991 |
| Other | 5,260 | | - | 5,260 | - | 5,260 |
| Rents | 4,650 | | - | 4,650 | - | 4,650 |
| Service Company Rents | 74,301 | 4c | (9,702) | 64,599 | 9,702 | 74,301 |
| Construction Reimbursement | (365) | | - | (365) | - | (365) |
| FAS 106 | 0 | | - | 0 | - | 0 |
| FAS 112 | 335 | | - | 335 | - | 335 |
| Health Care | 20,796 | | - | 20,796 | - | 20,796 |
| Group Life Insurance | 872 | | - | 872 | - | 872 |
| Other Benefits | 826 | | - | 826 | - | 826 |
| Pension | - | | - | - | - | - |
| Thrift Plan | 10,682 | | - | 10,682 | - | 10,682 |
| Workers Comp | 2,120 | | - | 2,120 | - | 2,120 |
| Materials | 10,107 | | - | 10,107 | - | 10,107 |
| Legal | 2,048 | | - | 2,048 | - | 2,048 |
| Accounting | 2,532 | | - | 2,532 | - | 2,532 |
| Postage | 11,231 | | - | 11,231 | - | 11,231 |
| Total Labor | 186,244 | 4d | (5,762) | 180,482 | 5,368 | 185,850 |
| Transportation | 9,010 | 4e | (863) | 8,147 | 863 | 9,010 |
| Energy Efficiency Program | 34,719 | | - | 34,719 | - | 34,719 |
| Injuries & Damages | 9,923 | | - | 9,923 | (4) | 9,919 |
| Savings | (9,028) | 4f | (1,888) | (10,916) | 2,080 | (8,836) |
| Productivity Adjustment | (4,313) | 4g | 134 | (4,179) | (125) | (4,304) |
| Rate Case Expense | 358 | | - | 358 | 14 | 372 |
| Regulatory Assessment Fees | 8,818 | | - | 8,818 | - | 8,818 |
| Uncollectible Accounts | 17,847 | 4h | (2,228) | 15,619 | 1,775 | 17,394 |
| Site Investigation & Remediation Expenses | 100,000 | 4i | (21,041) | 78,959 | 21,041 | 100,000 |
| Economic Development | 1,382 | | - | 1,382 | - | 1,382 |
| Low Income Program | 46,895 | | - | 46,895 | - | 46,895 |
| Incentive Program | - | | - | - | - | - |
| Paving | 15,592 | | - | 15,592 | - | 15,592 |
| Joint Facilities | - | | - | - | - | - |
| Other Initiatives: FOH | 1,063 | | - | 1,063 | - | 1,063 |
| Other Initiatives: IT | 9,561 | 4j | (9,380) | 181 | 9,049 | 9,230 |
| Other Initiatives: Other Programs | 4,082 | 4k | (4,749) | (667) | 4,749 | 4,082 |
| Other Initiatives: FTEs | 8,889 | 4l | (2,902) | 5,988 | 2,906 | 8,893 |
| Other Initiatives: GIOP&GSP | 13,176 | 4m | (2,980) | 10,196 | 3,046 | 13,242 |
| Sub Total - Departmental | $ 730,861 | | $ (62,452) | $ 668,409 | $ 61,005 | $ 729,414 |
| TOTAL | $ 730,861 | | $ (62,452) | $ 668,409 | $ 61,005 | $ 729,414 |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Taxes Other Than Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

| | C&U Filing Rate Year Ending March 31, 2025 | Adj. # | Staff Adjustments | Rate Year As Adjusted by Staff | Company Adjustments to Staff Amounts | Company Rebuttal Rate Year |
|---|---|---|---|---|---|---|
| Real Estate Taxes | | | | | | |
| Real Property | $ 41,169 | | $ - | $ 41,169 | $ - | $ 41,169 |
| Special Franchise | 245,936 | | - | 245,936 | - | 245,936 |
| Total Real Estate Taxes | $ 287,105 | | $ - | $ 287,105 | $ - | $ 287,105 |
| Payroll Taxes | $ 13,795 | 6 | $ (440) | $ 13,354 | $ 411 | $ 13,765 |
| Other | $ 936 | | $ - | $ 936 | $ - | $ 936 |
| Total Taxes Other Than Revenue and Income Taxes | $ 301,836 | | $ (440) | $ 301,396 | $ 411 | $ 301,806 |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

FEDERAL INCOME TAX - Company Rebuttal Position

| | Adj. # | Federal Taxable Income | Deferrable Basis | Federal Taxable Income | At the Statutory Federal Tax Rate | DFIT Reversals | Net FIT Before Rev Req |
|---|---|---|---|---|---|---|---|
| Net Income Before Federal & State Income Taxes | | $ 114,858 | | $ 114,858 | $ 24,120 | | |
| Interest | | (179,926) | | (179,926) | (37,784) | | |
| Total Pretax Income / (Loss) | | $ (65,068) | | $ (65,068) | $ (13,664) | | $ (13,664) |
| New York State Income Taxes | | $ 6,795 | | $ 6,795 | $ 1,427 | | $ 1,427 |
| Flow-through AFUDC Equity | | (4,417) | | (4,417) | (928) | | (928) |
| Flow-through AFUDC Equity Depreciation | | 1,679 | | 1,679 | 353 | | 353 |
| Flow-through Unamortized Debt | | - | | - | - | | - |
| Flow-through Bond Redemption | | - | | - | - | | - |
| Meals and Entertainment | | 35 | | 35 | 7 | | 7 |
| Gain On Redemption Bonds | | - | | - | - | | - |
| Other -2 | | - | | - | - | | - |
| Other - 3 | | - | | - | - | | - |
| Tax Only Item - NYS & MTA Tax Rate Change 2016 | | - | | - | - | | - |
| Tax Only Item - NYS & MTA Tax Rate Change 2021 | | - | | - | - | | - |
| Tax Only Item - Fed Tax Rate Change 2018 (excess ADIT amortization) | | - | | - | (32,883) | | (32,883) |
| Excess ADIT Amortization (10 Years) | | | | | - | | - |
| TOTAL FEDERAL INCOME TAX EXPENSE | 7 | $ (60,976) | $ - | $ (60,976) | $ (45,688) | $ - | $ (45,688) |
| Federal Income Tax Rate: | 21.0% | | | | | | |

STATE INCOME TAX - Company Rebuttal Position

| | Adj. # | State Taxable Income | Deferrable Basis | State Taxable Income | At the Statutory State Tax Rate | DSIT Reversals | Net SIT Before Rev Req |
|---|---|---|---|---|---|---|---|
| Net Income Before Federal & State Income Taxes | | $ 114,858 | | $ 114,858 | $ 10,825 | | |
| Interest | | (179,926) | | (179,926) | (16,958) | | |
| Total Pretax Income / (Loss) | | $ (65,068) | | $ (65,068) | $ (6,133) | | $ (6,133) |
| New York State Income Taxes | | $ - | | $ - | $ - | | - |
| Flow-through AFUDC Equity | | (4,417) | | (4,417) | (416) | | (416) |
| Flow-through AFUDC Equity Depreciation | | 1,679 | | 1,679 | 158 | | 158 |
| Flow-through Depreciation | | - | | - | - | | - |
| Flow-through Unamortized Debt | | - | | - | - | | - |
| Flow-through Bond Redemption | | - | | - | - | | - |
| Meals and Entertainment | | 35 | | 35 | 3 | | 3 |
| Gain On Redemption Bonds | | - | | - | - | | - |
| Other -2 | | - | | - | - | | - |
| Other - 3 | | - | | - | - | | - |
| Tax Only Item - NYS & MTA Tax Rate Change 2016 | | - | | - | (407) | - | (407) |
| Tax Only Item - NYS & MTA Tax Rate Change 2021 | | - | | - | - | | - |
| Tax Only Item - Fed Tax Rate Change 2018 (excess ADIT amortization) | | - | | | - | | |
| TOTAL FEDERAL INCOME TAX EXPENSE | 8 | $ (67,771) | $ - | $ (67,771) | $ (6,795) | $ - | $ (6,795) |
| State Income Tax Rate | 9.43% | | | | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Income Taxes - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

FEDERAL INCOME TAX - As Adjusted by Staff

| | Adj. # | Federal Taxable Income | Deferrable Basis | Federal Taxable Income | At the Statutory Federal Tax Rate | DFIT Reversals | Net FIT Before Rev Req |
|---|---|---|---|---|---|---|---|
| Net Income Before Federal & State Income Taxes | | $ 204,297 | | $ 204,297 | $ 42,902 | | |
| Interest | | (178,886) | | (178,886) | (37,566) | | |
| Total Pretax Income / (Loss) | | $ 25,411 | | $ 25,411 | $ 5,336 | | $ 5,336 |
| New York State Income Taxes | | $ (1,733) | | $ (1,733) | $ (364) | | $ (364) |
| Flow-through AFUDC Equity | | (4,417) | | (4,417) | (928) | | (928) |
| Flow-through AFUDC Equity Depreciation | | 1,679 | | 1,679 | 353 | | 353 |
| Flow-through Unamortized Debt | | - | | - | - | | - |
| Flow-through Bond Redemption | | - | | - | - | | - |
| Meals and Entertainment | | 35 | | 35 | 7 | | 7 |
| Gain On Redemption Bonds | | - | | - | - | | - |
| Other -2 | | - | | - | - | | - |
| Other - 3 | | - | | - | - | | - |
| Tax Only Item - NYS & MTA Tax Rate Change 2016 | | - | | - | - | | - |
| Tax Only Item - NYS & MTA Tax Rate Change 2021 | | - | | - | - | | - |
| Tax Only Item - Fed Tax Rate Change 2018 (excess ADIT amortization) | | - | | - | (32,883) | | (32,883) |
| Excess ADIT Amortization (10 Years) | | | | | - | | - |
| TOTAL FEDERAL INCOME TAX EXPENSE | 7 | $ 20,974 | $ - | $ 20,974 | $ (28,479) | $ - | $ (28,479) |
| Federal Income Tax Rate: | 21.0% | | | | | | |

STATE INCOME TAX - As Adjusted by Staff

| | Adj. # | State Taxable Income | Deferrable Basis | State Taxable Income | At the Statutory State Tax Rate | DSIT Reversals | Net SIT Before Rev Req |
|---|---|---|---|---|---|---|---|
| Net Income Before Federal & State Income Taxes | | $ 204,297 | | $ 204,297 | $ 19,255 | | |
| Interest | | (178,886) | | (178,886) | (16,860) | | |
| Total Pretax Income / (Loss) | | $ 25,411 | | $ 25,411 | $ 2,395 | | $ 2,395 |
| New York State Income Taxes | | $ - | | $ - | $ - | | $ - |
| Flow-through AFUDC Equity | | (4,417) | | (4,417) | (416) | | (416) |
| Flow-through AFUDC Equity Depreciation | | 1,679 | | 1,679 | 158 | | 158 |
| Flow-through Depreciation | | - | | - | - | | - |
| Flow-through Unamortized Debt | | - | | - | - | | - |
| Flow-through Bond Redemption | | - | | - | - | | - |
| Meals and Entertainment | | 35 | | 35 | 3 | | 3 |
| Gain On Redemption Bonds | | - | | - | - | | - |
| Other -2 | | - | | - | - | | - |
| Other - 3 | | - | | - | - | | - |
| Tax Only Item - NYS & MTA Tax Rate Change 2016 | | - | | - | (407) | - | (407) |
| Tax Only Item - NYS & MTA Tax Rate Change 2021 | | - | | - | - | | - |
| Tax Only Item - Fed Tax Rate Change 2018 (excess ADIT amortization) | | - | | | - | | |
| TOTAL FEDERAL INCOME TAX EXPENSE | 8 | $ 22,707 | $ - | $ 22,707 | $ 1,733 | $ - | $ 1,733 |
| State Income Tax Rate | 9.43% | | | | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Summary of Rate Base - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

| | C&U Filing Rate Year Ending March 31, 2025 | Adj. # | Staff Adjustments | Rate Year As Adjusted by Staff | Company Adjustments to Staff Amounts | Company Rebuttal Rate Year Ending March 31, 2025 |
|---|---|---|---|---|---|---|
| Net Utility Plant | $ 8,224,426 | 9a/9b | $ (25,063) | $ 8,199,363 | $ 24,090 | $ 8,223,453 |
| Regulatory Assets / Liabilities | 67,293 | | | 67,293 | (268) | 67,025 |
| Accumulated Deferred Income Taxes - Federal | (1,259,450) | 9c | 3,838 | (1,255,612) | 7,441 | (1,248,171) |
| Accumulated Deferred Income Taxes - State | (389,067) | 9d | 1,186 | (387,881) | 3,766 | (384,115) |
| Working Capital | | | | | | |
| Materials and supplies | $ 153,338 | | $ - | $ 153,338 | | $ 153,338 |
| Prepayments | 274,825 | | - | 274,825 | | 274,825 |
| O&M Cash Allowance (1/8 O&M exp) | 89,127.00 | 9e | (7,528) | 81,598.99 | 7,403.00 | 89,001.99 |
| Supply Cash Allowance (Sep 09 lead/lag study) | 60,723 | | - | 60,723 | | 60,723 |
| Change in Supply Cash Allowance (3.64% x RY Gas exp) | (19,510) | | - | (19,510) | | (19,510) |
| Subtotal Working Capital | $ 558,503 | | $ (7,528) | $ 550,975 | $ 7,403 | $ 558,378 |
| Subtotal Avg. Before EBCAP Adj. | $ 7,201,706 | | $ (27,567) | $ 7,174,138 | $ 42,432 | $ 7,216,571 |
| Excess Earnings Base Adjustment | $ 151,517.49 | 9f | $ (24,186) | $ 127,331.49 | $ (0.30) | $ 127,331.19 |
| Total Rate Base | $ 7,353,223.2233 | | $ (51,753.3920) | $ 7,301,469.8313 | $ 42,431.8823 | $ 7,343,901.7137 |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Capital Structure Forecast - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

Company's Rebuttal Capital Structure Forecast

| | Total Annual Avg | Weighting Percent | Cost | Weighted Cost | Pre-Tax Weighted Cost |
|---|---|---|---|---|---|
| Long Term Debt | $ 3,783,529 | 51.82% | 4.70% | 2.44% | 2.44% |
| Customer Deposits | 13,236 | 0.18% | 3.45% | 0.01% | 0.01% |
| Common Equity | 3,504,706 | 48.00% | 9.80% | 4.70% | 6.57% |
| Total | $ 7,301,470 | 100.00% | | 7.15% | 9.02% |

Staff Capital Structure

| | Total Annual Avg | Weighting Percent | Cost | Weighted Cost | Pre-Tax Weighted Cost |
|---|---|---|---|---|---|
| Long Term Debt | $ 3,783,529 | 51.82% | 4.70% | 2.44% | 2.44% |
| Customer Deposits | 13,236 | 0.18% | 3.45% | 0.01% | 0.01% |
| Common Equity | 3,504,706 | 48.00% | 9.10% | 4.37% | 6.11% |
| Total | $ 7,301,470 | 100.00% | | 6.82% | 8.56% |

Company Rebuttal

| OTHER REVENUE REQUIREMENT INPUTS | |
|---|---|
| Forecast Rate Year Rates To Apply To Rev Req | |
| Bad Debt % For Rev Req | 0.8388% |
| GRT Rate For Rev Req | 3.50% |
| Federal Income Tax Rate | 21.00% |
| NYS Income Tax Rate | 9.43% |
| General Inflation (from 12/31/2022 to 3/31/2025) | 6.59% |

Staff Rates

| OTHER REVENUE REQUIREMENT INPUTS | |
|---|---|
| Forecast Rate Year Rates To Apply To Rev Req | |
| Bad Debt % For Rev Req | 0.7437% |
| GRT Rate For Rev Req | 3.50% |
| Federal Income Tax Rate | 21.00% |
| NYS Income Tax Rate | 9.43% |
| General Inflation (from 12/31/2022 to 3/31/2025) | 6.59% |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Company Rebuttal to PSC Staff Direct Case
Company Rebuttal to Staff Adjustments for the Rate Year Ending March 31, 2025
($000's)

| | | Staff Direct Amount | | Company Adjustments to Staff Amounts | | Company Rebuttal Amount | |
|---|---|---|---|---|---|---|---|
| **Adj. 1** | **Operating Revenues** | | | | | | |
| (1) | To adjust revenues to reflect Staff's sales forecast | $ 26,623 | | $ (26,623) | | $ - | |
| (2) | To adjust revenues to include the RAC (DPS-778) | 2,500 | | - | | 2,500 | |
| (3) | To adjust revenue to reflect the flowthrough of LPC on the NUP Surcharge | - | | (577) | | (577) | |
| (4) | To adjust revenue tax tracking flowthrough | - | | (2,221) | | (2,221) | |
| (5) | To adjust revenue to remove the NUP Surcharge | (53,653) | $ (24,530) | - | $ (29,421) | (53,653) | $ (53,951) |
| **Adj. 2** | **Purchased Gas Costs** | | | | | | |
| | To adjust purchased gas tracking Staff's sales forecast | $ 6,731 | $ 6,731 | $ (6,731) | $ (6,731) | $ - | $ - |
| **Adj. 3** | **Revenue Taxes** | | | | | | |
| | To adjust revenue tax tracking flowthrough | | | $ (2,221) | | $ (2,221) | |
| | To adjust revenue tax tracking Staff's sales forecast | $ (1,322) | $ (1,322) | 1,322 | $ (899) | - | $ (2,221) |
| **Adj. 4** | **Operating and Maintenance Expenses** | | | | | | |
| | **Consultants** | | | | | | |
| | To adjust consultants expense to remove Guidehouse CLCPA Study (NRDC-36) | | $ - | $ (487) | $ (487) | $ (487) | $ (487) |
| | **Contractors** | | | | | | |
| | To remove Neighborhood Heating Fund Admin Fees (DPS-982) | | $ - | $ (65) | $ (65) | $ (65) | $ (65) |
| **a.** | **Hardware** | | | | | | |
| | To adjust hardware to reflect the removal of IBM Corp charges from the Historic Test Year | $ (625) | $ (625) | $ 625 | $ 625 | $ - | $ - |
| **b.** | **Software** | | | | | | |
| | To adjust software to reflect a 5-year average for vendor Microsoft Corp. | $ (467) | $ (467) | $ 467 | $ 467 | $ - | $ - |
| **c.** | **Service Company Rents** | | | | | | |
| (1) | To adjust service company rents expense to reflect Staff's ROR | $ (1,675) | | $ 1,675 | | $ - | |
| (2) | To adjust service company rents expense to reflect Staff's forecast of IT&D projects | (8,027) | $ (9,702) | 8,027 | $ 9,702 | - | $ - |
| **d.** | **Total Labor** | | | | | | |
| (1) | To reflect Staff's management wage increase for July 1, 2023 | $ (413) | | $ 413 | | $ - | |
| (2) | To adjust labor expense to reflect Staff's understaffing levels | (5,350) | | 5,350 | | - | |
| (3) | To remove MJE reclassing BTL labor (WE ACT-91) | - | $ (5,762) | (394) | $ 5,368 | (394) | $ (394) |
| **e.** | **Transportation** | | | | | | |
| | To reflect Staff's forecast of transportation lease expense | $ (863) | $ (863) | $ 863 | $ 863 | $ - | $ - |
| | **Injuries & Damages** | | | | | | |
| | Corrected inflation formula error | | $ - | $ (4) | $ (4) | $ (4) | $ (4) |
| **f.** | **Savings** | | | | | | |
| | To Include CTA Resevoir Woods Exit Fee (DPS-870) | $ - | | $ 192 | | $ 192 | |
| | To adjust savings removing the costs to achieve | (1,888) | $ (1,888) | 1,888 | $ 2,080 | - | $ 192 |
| **g.** | **Productivity Adjustment** | | | | | | |
| | To adjust productivity tracking Staff's labor forecast | $ 134 | | $ (134) | | $ - | |
| | Flowthrough from MJE reclassing BTL labor adjustment (WE ACT-91) | | $ 134 | 9 | $ (125) | 9 | $ 9 |
| | **Rate Case Expense** | | | | | | |
| | To adjust amortization for additional $55K Public Statement Hearing Cost | | $ - | $ 14 | $ 14 | $ 14 | $ 14 |
| **h.** | **Uncollectible Accounts** | | | | | | |
| (1) | To adjust uncollectibles expense tracking Staff's revenue forecast | $ (230) | | $ (223) | | $ (453) | |
| (2) | To adjust uncollectibles expense to reflect Staff's forecasting methodology | (1,998) | $ (2,228) | 1,998 | $ 1,775 | - | $ (453) |
| **i.** | **Site Investigation & Remediation Expenses** | | | | | | |
| | To adjust SIR expense to reflect Staff's forecast | $ (21,041) | $ (21,041) | $ 21,041 | $ 21,041 | $ - | $ - |
| **j.** | **Other Initiatives: IT** | | | | | | |
| (1) | To correct double count of IT OpEx per DPS-669 | $ (331) | | $ 0 | | $ (331) | |
| (2) | To reflect Staff's OPEX and RTB tracking Staff's IT&D capital forecast | (9,049) | $ (9,380) | 9,049 | $ 9,049 | - | $ (331) |
| **k.** | **Other Initiatives: Other Programs** | | | | | | |
| (1) | To adjust other initiatives - other programs: removing the Weatherization Safety Program | $ (750) | | $ 750 | | $ - | |
| (2) | To adjust other initiatives - other programs: removing the Disadvantaged Community Outreach Model | (250) | | 250 | | - | |
| (3) | To adjust other initiatives - other programs: removing the Language Access Plan Pilot | (125) | | 125 | | - | |
| (4) | To adjust other initiatives - other programs: removing the Digital Building Replica Pilot | (200) | | 200 | | - | |
| (5) | To adjust other initiatives - other programs: removing the LMI Outreach and Education Program | (250) | | 250 | | - | |
| (6) | To adjust other initiatives - other programs: removing the Prepaid/Credit/Debit Card No-Fee Model | (3,174) | $ (4,749) | 3,174 | $ 4,749 | - | $ - |
| **l.** | **Other Initiatives: FTEs** | | | | | | |
| (1) | To reflect Staff's management wage increase of 4% for July, 1 2023 | $ (25) | | $ 25 | | $ - | |
| (2) | To update flow through of labor overheads | - | | (4) | | (4) | |
| (3) | To correct formula error in corrections and Updates | - | | 8 | | 8 | |
| (4) | To reflect Staff's recommendation for incremental FTEs | (2,877) | $ (2,902) | 2,877 | $ 2,906 | - | $ 4 |
| **m.** | **Other Initiatives: GIOP&GSP** | | | | | | |
| (1) | To adjust other initiatives - other programs: removing the AMI Network | $ (1,000) | | $ 1,000 | | $ - | |
| (2) | To adjust other initiatives - other programs: removing the ACI - Residential Methane Detectors | (759) | | 759 | | - | |
| (3) | To adjust other initiatives - other programs: shifting dollars from DP to Staff's RMD program - partially offset by NRAs | (684) | | 684 | | - | |
| (4) | To adjust other initiatives - other programs: removing the Public Awareness | (288) | | 288 | | - | |
| (5) | To update Operator Qualification Program - Pipeline Safety - ITS System (DPS-866) | - | | 66 | | 66 | |
| (6) | To adjust other initiatives - other programs: removing the Tools & Equipment | (249) | $ (2,980) | 249 | $ 3,046 | - | $ 66 |
| | **Total Operating and Maintenance Expense Adjustment** | | **$ (62,452)** | | **$ 61,005** | | **$ (1,447)** |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Company Rebuttal to Staff Adjustments for the Rate Year Ending March 31, 2025
($000's)

| | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Adj. 5** | **Depreciation Expense** | | | | | | | | | | |
| (1) | To adjust depreciation expense tracking Staff's adjustments to utility plant | $ (498) | | | $ 498 | | | $ - | | | |
| (2) | To adjust depreciation expense to reflect Staff's depreciation rates | (5,758) | $ (6,257) | | 5,734 | $ 6,233 | | (24) | $ (24) | | |
| **Adj. 6** | **Taxes Other Than Revenue & Income Taxes** | | | | | | | | | | |
| | **Payroll Taxes** | | | | | | | | | | |
| | To adjust Payroll Taxes tracking Staff's Labor Forecast | $ (440) | | | $ 440 | | | $ - | | | |
| | Flowthrough from MJE reclassing BTL labor adjustment (WE ACT-91) | | $ (440) | | (30) | $ 411 | | (30) | $ (30) | | |
| | **Total Taxes Other Than Revenue & Income Taxes Adjustments** | | **$ (440)** | | | **$ 411** | | | **$ (30)** | | |
| **Adj. 7** | **Federal Income Taxes** | | | | | | | | | | |
| | To adjust current Federal Income Taxes, tracking Staff's adjustments | $ 6,860 | $ 6,860 | | $ (17,209) | $ (17,209) | | $ (10,349) | $ (10,349) | | |
| **Adj. 8** | **State Income Taxes** | | | | | | | | | | |
| | To adjust current State Income Taxes, tracking Staff's adjustments | $ 3,400 | $ 3,400 | | $ (8,528) | $ (8,528) | | $ (5,128) | $ (5,128) | | |
| | **Total Current Income Tax Adjustments** | | **$ 10,260** | | | **$ (25,737)** | | | **$ (15,477)** | | |
| **Adj. 9** | **Rate Base** | | | | | | | | | | |
| **a.** | **Utility Plant** | | | | | | | | | | |
| | Company's adjustment to utility plant-Greenpoint Guard booth (DPS-916) | | | | $ (934) | | | $ (934) | | | |
| | To adjust utility plant to reflect Staff's forecast of plant additions | $ (25,640) | $ (25,640) | | $ 25,640 | $ 24,707 | | $ - | $ (934) | | |
| **b.** | **Accumulated Depreciation** | | | | | | | | | | |
| (1) | To adjust accumulated depreciation to reflect Staff's depreciation rates | $ 2,841 | | | $ (2,881) | | | $ (40) | | | |
| (2) | To adjust accumulated depreciation to tracking Staff's adjustments to utility plant | (2,264) | $ 577 | | 2,264 | $ (617) | | - | $ (40) | | |
| | **Total Net Utility Plant Adjustment** | | **$ (25,063)** | | | **$ 24,090** | | | **$ (973)** | | |
| | **Regulatory Assets & Liabilities** | | | | | | | | | | |
| | To adjust for $55K additional Public Statement Hearing Cost | | | | $ 48 | | | $ 48 | | | |
| | To adjust Unamortized Debt Exp for new debt issuance in September 2023 | | $ - | | (316) | $ (268) | | (316) | $ (268) | | |
| **c.** | **Accumulated Deferred Income Taxes - Federal** | | | | | | | | | | |
| | To adjust ADIT tracking Staff's adjustment to plant-in-service and depreciation expense | $ 3,838 | $ 3,838 | | $ 7,441 | $ 7,441 | | $ 11,279 | $ 11,279 | | |
| **d.** | **Accumulated Deferred Income Taxes - State** | | | | | | | | | | |
| | To adjust ADIT tracking Staff's adjustment to plant-in-service and depreciation expense | $ 1,186 | $ 1,186 | | $ 3,766 | $ 3,766 | | $ 4,952 | $ 4,952 | | |
| **e.** | **Working Capital** | | | | | | | | | | |
| | To adjust working capital to reflect Staff's O&M adjustments | $ (7,528) | $ (7,528) | | $ 7,404 | $ 7,404 | | $ (124) | $ (124) | | |
| **f.** | **Excess Earnings Base (EB/CAP)** | | | | | | | | | | |
| | To adjust EBCAP to adjust for non-cash capital lease transactions per DPS-983 | $ (24,186) | $ (24,186) | | $ (0) | $ (0) | | $ (24,186) | $ (24,186) | | |
| | **Total Rate Base Adjustments** | | **$ (51,753)** | | | **$ 42,433** | | | **$ (9,321)** | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Depreciation Expense and Amortization of Regulatory Deferrals - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

| | C&U Filing Rate Year Ending March 31, 2025 | Adj. # | Staff Adjustments | Rate Year As Adjusted by Staff | Company Adjustments to Staff Amounts | Company Rebuttal Rate Year Ending March 31, 2025 |
|---|---|---|---|---|---|---|
| Depreciation Expense (acct 403) | $ 211,016 | 5 | $ (6,257) | $ 204,759 | $ 6,233 | $ 210,992 |
| Amortization Expense (acct 404-405) | - | | - | - | | - |
| Accretion Expense (acct 411.10) | - | | - | - | | - |
| (Gain) Loss on Disposition of Utility Plant (acct 411.7) | - | | - | - | | - |
| Total Depreciation & Amortization Expense | $ 211,016 | | $ (6,257) | $ 204,759 | $ 6,233 | $ 210,992 |

Summary of Amortization of Regulatory Deferrals

| | | | | | | |
|---|---|---|---|---|---|---|
| Amortization of Regulatory Deferrals | | | | | | |
| SIR Deferral | $ 18,521 | | $ - | 18,521 | $ - | $ 18,521 |
| Economic Development | (1,381) | | - | (1,381) | - | (1,381) |
| Net regulatory asset | 19,552 | | - | 19,552 | - | 19,552 |
| | $ 36,692 | | $ - | $ 36,692 | $ - | $ 36,692 |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Tax Deduction for Interest Expense - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

| | C&U Filing Rate Year Ending March 31, 2025 | Staff Adjustments | Rate Year As Adjusted by Staff | Company Adjustments to Staff Amounts | Company Rebuttal Rate Year Ending March 31, 2025 |
|---|---|---|---|---|---|
| Avg Rate Base Per Books | $ 7,201,706 | $ (27,567) | $ 7,174,138 | $ 42,432 | $ 7,216,571 |
| Plus: Forecast of Avg Interest Bearing CWIP | - | - | - | | - |
| Less: Rate Base Moved to GAC | - | - | - | | - |
| Less: Excess Earnings Adj (EBCAP) | (151,517) | 24,186 | (127,331) | 0 | (127,331) |
| | $ 7,353,223 | $ (51,753) | $ 7,301,470 | $ 42,432 | $ 7,343,902 |
| Weighted Cost of LTD Debt | 2.38% | 0.06% | 2.44% | 0.00% | 2.4400% |
| Weighted Cost of Cust Deposits | 0.01% | 0.00% | 0.01% | 0.00% | 0.0100% |
| | 2.39% | 0.06% | 2.45% | 0.00% | 2.4500% |
| Total Income Tax Interest Deduction | $ 175,742 | $ 3,144 | $ 178,886 | $ 1,040 | $ 179,926 |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Working Capital - Cash Allowance - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

| Description | C&U Filing Rate Year Ending March 31, 2025 | Staff Adjustments | Rate Year As Adjusted by Staff | Company Adjustments to Staff Amounts | Company Rebuttal Rate Year Ending March 31, 2025 |
|---|---|---|---|---|---|
| Total O&M Expense | $ 730,861 | $ (62,452) | $ 668,409 | $ 61,005 | $ 729,414 |
| Remove Major Non-Cash Items Included in O&M Expense: | | | | | |
| Bad Debt Expense | (17,847) | 2,228 | (15,619) | (1,775) | (17,394) |
| Other (Energy Efficiency, 18-a Assessment) | - | - | - | | - |
| Subtotal | $ (17,847) | $ 2,228.00 | $ (15,618.70) | $ (1,775.45) | $ (17,394) |
| Add Major Cash Items Not Included in O&M Expense: | | | | | |
| Other | $ - | $ - | $ - | $ - | $ - |
| Subtotal | $ - | $ - | $ - | $ - | $ - |
| Total Adjustments | $ (17,847) | $ 2,228.00 | $ (15,619) | $ (1,775) | $ (17,394) |
| Adjusted O&M Expense | $ 713,015 | $ (60,224) | $ 652,791 | $ 59,229 | $ 712,020 |
| Departmental Cash Allowance - 1/8 (45 days) | $ 89,127 | $ (7,528) | $ 81,599 | $ 7,403 | $ 89,002 |

The Brooklyn Union Gas Company d/b/a National Grid NY
PSC Case No. 23-G-0225
Comparison of Average Historic Rate Base and Capitalization - Company Rebuttal
For the Rate Year Ending March 31, 2025
($000's)

| | | TOTAL | Staff Adjustments | TOTAL | Company Adjustments | TOTAL |
|---|---|---|---|---|---|---|
| (A) | AVERAGE RATE BASE - PER BOOKS | $ 5,885,578 | $ - | $ 5,885,578 | | $ 5,885,578 |
| (B) | ADD: Average Interest-Bearing CWIP | 534,285 | - | 534,285 | | 534,285 |
| (C) | TOTAL EARNINGS BASE (A+B) | $ 6,419,863 | $ - | $ 6,419,863 | $ - | $ 6,419,863 |
| | Percent | 100.00% | | | | |
| (D) | AVERAGE CAPITALIZATION (CE excludes merger Goodwill, and may be adj for TCI if required): | | | | | |
| | Long Term Debt | $ 3,200,000 | $ - | $ 3,200,000 | | $ 3,200,000 |
| | Notes Payable | 0 | | 0 | | - |
| | Gas Supplier Refunds | 151 | | 151 | | 151 |
| | Customer Deposits | 14,821 | | 14,821 | | 14,821 |
| | Preferred Stock | 0 | | 0 | | - |
| | Common Equity (excludes merger GW; incl TCI adj) | 3,532,107 | | 3,532,107 | | 3,532,107 |
| | Avg. Allocated to Elec / Gas based on Earnings Base | $ 6,747,079 | $ - | $ 6,747,079 | | $ 6,747,079 |
| (E) | Add Dividends Declared But Unpaid (representing the timing difference between declaration and payment) | - | - | - | | - |
| (F) | SUBTOTAL (D+E) | $ 6,747,079 | $ - | $ 6,747,079 | $ - | $ 6,747,079 |
| | LESS Average Investments In: | | | | | |
| | Detailed Balance Sheet Accounts | $ 147,835 | $ 24,186 | $ 172,021 | | $ 172,021 |
| | Accumulated Def Inc Tax Adjustment | (32,859) | - | (32,859) | | (32,859) |
| | Goodwill | n/a | | | | |
| (G) | Total Deductions | $ 114,976 | $ 24,186 | $ 139,162 | $ - | $ 139,162 |
| (H) | Capitalization Dedicated to Public Service (F-G) | $ 6,632,103 | | $ 6,607,917 | | $ 6,607,917 |
| (J) | Excess Earnings Base (Total Earnings Base) less Average Capitalization Devoted to Service Current Customers) (C-H) | $ (212,241) | | $ (188,055) | | $ (188,055) |

Exhibit_____(RRP-2R)

Operation and Maintenance Expenses by Expense Type

for the Historic Test Year Ended December 31, 2022, and

Rate Years Ending March 31, 2025,

March 31, 2026, March 31, 2027, and March 31, 2028

# SCHEDULE 1

Total Labor

The Brooklyn Union Gas Company d/b/a National Grid NY
Labor and Incremental FTEs
Cases 23-G-0225/0226
Company Rebuttal

| | | Case Number | 2017 Case 16-G-0058/0059 | 2019 Case 19-G-0309/0310 | 2023 Case 23-G-0225/0226 |
|---|---|---|---|---|---|
| | | HTY | 9/30/2015 | 12/31/2018 | 12/31/2022 |
| Headcount per Labor Model | | | | | |
| OpCo | Mgmt | | 101 | 120 | 144 |
| | Rep | | 1,180 | 1,349 | 1,278 |
| Total OpCo FTEs | | | 1,281 | 1,469 | 1,422 |
| ServCo | Mgmt | | 4,005 | 5,307 | 5,900 |
| | Rep | | 1,554 | 1,595 | 1,381 |
| Total ServCo FTEs | | | 5,559 | 6,902 | 7,281 |
| Total OpCo + ServCo FTEs | | | 6,840 | 8,371 | 8,703 |
| ServCo to KEDNY Allocation | | | 11.11% | 12.26% | 12.38% |
| Allocated SC to NY FTEs | | | 618 | 846 | 901 |
| Total OpCo + Allocated ServCo FTEs | | | 1,899 | 2,315 | 2,323 |
| Incremental FTEs per Other Initiatives | | | | | |
| | OpCo | | 236 | 92 | |
| | ServCo | | 37 | | |
| | | | 273 | 92 | |

| | 2017 Case | 2019 Case |
|---|---|---|
| Final Approved FTEs | 2,172 | 2,407 |
| | HTY 2018 in 2019 Case | HTY 2022 in 2023 Case |
| subsequent rate case HTY actual FTEs | 2,315 | 2,323 |
| Over(under) Staffing | 143 | (84) |
| Over(under) Staffing Rate | 6.2% | -3.6% |
| Average Rate | | 1.3% |

# SCHEDULE 2

Injuries & Damages

NY Gas Rate Case - Brooklyn Union Gas/KEDNY
Injuries and Damages
Normalized Historical Insurance Data
Insurance Payments Made to NGUSA
Calendar Year 2022
LIST OF INSURANCE POLICIES

| | | | | | Calendar Year 2022 | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Line of Coverage | Policy Period | Insurer | Total Premium Paid | NGUSA Share Only | CY22 | Alloc. Code | Alloc. % | CY22 Allocated to KEDNY | Annual Premium | Year to start Inflating from | Inflation Rate | FY 2025 |
| Property/ Business Interruption | 04/01/23-04/01/24 | National Grid Insurance USA Ltd. (NGI USA) | 8,295,192 | 8,295,192 | 6,221,394 | Manual | 17.049% | 1,060,706 | 1,414,274 | FY2024 | 2.15% | 1,444,731 |
| | | | | | | | Total PDBI | 1,060,706 | | | | 1,444,731 |
| Property Terrorism | 04/01/23-04/01/24 | National Grid Insurance USA Ltd. (NGI USA) | 608,681 | 608,681 | 456,511 | Manual | 19.7280% | 90,060 | 120,080 | FY2024 | 2.15% | 122,666 |
| | | | | | | | Total Terrorism | 90,060 | | | | 122,666 |
| Directors & Officers | 12/01/22-12/01/23 | AEGIS | 748,927.60 | 748,928 | 62,411 | GT53 | 15.360% | 9,586 | 115,035 | CY2023 | 2.77% | 118,220 |
| Directors & Officers | 12/01/22-12/01/23 | EIM | 424,814.00 | 424,814 | 35,401 | GT53 | 15.360% | 5,438 | 65,251 | CY2023 | 2.77% | 67,058 |
| Directors & Officers | 12/01/22-12/01/23 | Various | 934,260.00 | 919,260 | 76,605 | GT53 | 15.360% | 11,767 | 141,198 | CY2023 | 2.77% | 145,108 |
| | | | | | | | Total Directors & Officers | 26,790 | | | | 330,386 |
| Public Liability | 04/01/23-04/01/24 | National Grid Insurance Company Limited (NGI CL) | 8,500,000 | 8,500,000 | 6,375,000 | Manual | 15.153% | 965,972 | 1,287,963 | FY2024 | 2.15% | 1,315,700 |
| | | | | | | | Total Excess Liability | 965,972 | | | | 1,315,700 |
| Cyber Risk | 04/01/23-04/01/24 | National Grid Insurance USA Ltd. (NGI USA) | 3,643,279 | 3,643,279 | 2,732,459 | Manual | 14.691% | 401,413 | 535,217 | FY2024 | 2.15% | 546,743 |
| | | | | | | | Total Cyber | 401,413 | | | | 546,743 |
| Aviation (UAS) | 04/01/23-04/01/24 | Global Aerospace, Inc. | 261,061 | 118,204 | 118,204 | GT53 | 15.330% | 18,121 | 18,121 | FY2024 | 2.15% | 18,511 |
| | | | | | | | Total Aviation | 18,121 | | | | 18,511 |
| Business Travel Accident | 04/01/23-04/01/26 | National Union Fire Insurance Company of Pittsburgh | 165,240 | 55,080 | 32,130 | N918 | 15.950% | 5,125 | 8,785 | | 0.00% | 8,785 |
| | | | | | | | Total Business Travel Accident | 5,125 | | | | 8,785 |
| Crime | 04/01/23-04/01/24 | National Grid Insurance Company Limited (NGI CL) | 170,649 | 170,649 | 127,987 | Manual | 14.691% | 18,802 | 25,069 | FY2024 | 2.15% | 25,609 |
| | | | | | | | Total Fidelity Bond-Crime | 18,802 | | | | 25,609 |
| Excess General Liability | 04/01/23-04/01/24 | EIM | 2,817,500 | 2,817,500 | 2,113,125 | Manual | 12.326% | 260,464 | 347,285 | FY2024 | 2.15% | 354,764 |
| Public (Excess) Liability | 04/01/23-04/01/24 | National Grid Insurance USA Ltd. (NGI USA) | 4,655,275 | 4,655,275 | 3,491,456 | Manual | 12.326% | 430,357 | 573,809 | FY2024 | 2.15% | 586,166 |
| | | | | | | | Total Excess Liability | 690,820 | | | | 940,930 |
| Professional Indemnity | 04/01/23-04/01/24 | National Grid Insurance Company Limited (NGI CL) | 110,000 | 110,000 | 82,500 | Manual | 6.678% | 5,509 | 7,345 | FY2024 | 2.15% | 7,503 |
| | | | | | | | Total Professional Indemnity | 5,509 | | | | 7,503 |
| Rail Road Protection | 07/01/22-07/01/23 | Stead Fast INS | 194,611 | 194,611 | 194,611 | G225 | 63.970% | 124,493 | 124,493 | Yr Ending Q2 2023 | 4.29% | 129,835 |
| | | | | | | | Total Rail Road Protection | 124,493 | | | | 129,835 |
| Employment Practices | 11/30/22-11/30/23 | Endurance (primary) | 110,000 | 110,000 | 9,167 | N918 | 15.950% | 1,462 | 17,545 | CY2023 | 2.77% | 18,031 |
| Employment Practices | 11/30/22-11/30/23 | National UN-PA (1st Excess) | 71,500 | 71,500 | 5,958 | N918 | 15.950% | 950 | 11,404 | CY2023 | 2.77% | 11,720 |
| Employment Practices | 11/30/22-11/30/23 | Beazley (2nd Excess) | 29,700 | 29,700 | 2,475 | N918 | 15.950% | 395 | 4,737 | CY2023 | 2.77% | 4,868 |
| | | | | | | | Total EPL | 2,807 | | | | 34,619 |
| Fiduciary Liability | 11/30/23-11/30/24 | AEGIS (primary) | 265,200 | 265,200 | 22,100 | N918 | 15.950% | 3,525 | 42,299 | CY2023 | 2.77% | 43,471 |
| Fiduciary Liability | 11/30/23-11/30/24 | EIM (1st Excess) | 155,733 | 155,733 | 12,978 | N918 | 15.950% | 2,070 | 24,839 | CY2023 | 2.77% | 25,527 |
| Fiduciary Liability | 11/30/23-11/30/24 | Ace American Insurance (2nd Excess) | 40,882 | 40,882 | 3,407 | N918 | 15.950% | 543 | 6,521 | CY2023 | 2.77% | 6,701 |
| | | | | | | | Total Fiduciary Liability | 6,138 | | | | 75,699 |
| Excess Workers' Comp | 07/01/22-07/01/23 | Liberty Mutual Insurance Company | 1,968,883 | 1,968,883 | 164,074 | N918 | 14.680% | 24,086 | 24,086 | Yr Ending Q2 2023 | 4.29% | 25,120 |
| Excess Workers' Comp | 07/01/22-07/01/23 | Liberty Mutual Insurance Company | 1,968,883 | 1,968,883 | 820,368 | N918 | 15.950% | 130,849 | 287,867 | Yr Ending Q2 2023 | 4.29% | 300,220 |
| | | | | | | | Total XS Workers' Comp | 154,935 | | | | 325,340 |
| Transgas Audit Results | | Credit to Trans gas | 124,844 | 1,067 | 1,067 | G012 | 13.690% | 146 | | | | |
| Primary Casulty (Unreg) | 04/01/23-04/01/24 | Various | 1,456,159 | 41,637 | 41,637 | GT53 | 15.330% | 6,383 | 6,383 | FY2024 | 2.15% | 6,520 |
| | | | | | | | Total Other INS | 6,529 | | | | 6,520 |
| Tax on Insurance Premiums | | NYS Corp Tax | | | | | | 11,515 | 11,664 | HTY CY22 | 6.59% | 12,433 |
| Tax on Insurance Premiums | | IRS | | | | | | 12,075 | 12,231 | HTY CY22 | 6.59% | 13,036 |
| | | | | | | | Total Tax | 23,590 | | | | 25,469 |
| | | | | | | | Total Insurance Pre. | 3,601,810 | | | | 5,359,047 |

NY Gas Rate Case - Brooklyn Union Gas/KEDNY
Injuries and Damages
Normalized Historical Insurance Data
Insurance Payments Made to NGUSA
Calendar Year 2022
LIST OF INSURANCE POLICIES

| Line of Coverage | Policy Period | Insurer | Total Premium Paid | Calendar Year 2022 NGUSA Share Only | CY22 Alloc. Code | Alloc. % | CY22 Allocated to KEDNY | Annual Premium | Year to start Inflating from | Inflation Rate | FY 2025 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Surety Bonds | CY2022 | Travelers | | | | Total Bonds | 129,249 | 130,922 | HTY CY22 | 6.59% | 139,544 |
| Admin & General | CY2022 | | | | | Total A&G | 478 | 484 | HTY CY22 | 6.59% | 516 |
| Property Inspection | various | Arise Inc.; Global Risk Consultants | | | | Total Property Inspection | 11,043 | 11,186 | HTY CY22 | 6.59% | 11,923 |
| Broker Fee | various | Marsh; McGriff, Seibels & Williams, Inc. | | | | Total Broker Fees | 16,906 | 17,124 | HTY CY22 | 6.59% | 18,252 |
| | | | | | | Total Insurance Pre. & Other Cost | 3,759,486 | | | | 5,529,282 |

*The Company inadvertently neglected to add Q1 2023 inflation actuals which are reflected in WP-2 Insurance Premium Rebutt.

# SCHEDULE 3

Rate Case Expense

The Brooklyn Union Gas Company d/b/a National Grid NY
Rate Case Expense
Additional Public Statement Hearing Cost Adjustment
(Whole Dollars)

| | KEDNY Historic Test Year Jan 2022 - Dec 2022 | KEDLI Historic Test Year Jan 2022 - Dec 2022 | | KEDNY Forecasted Total Rate Case Expense Jan 2022 - Dec 2023 | KEDLI Forecasted Total Rate Case Expense Jan 2022 - Dec 2023 | KEDNY Adjustmen Rate Case Expense Jan 2022 - Dec 2023 | KEDLI Adjustmen Rate Case Expense Jan 2022 - Dec 2023 | KEDNY Forecasted Total Rate Case Expense Jan 2022 - Dec 2023 | KEDLI Forecasted Total Rate Case Expense Jan 2022 - Dec 2023 | Grand Total |
|---|---|---|---|---|---|---|---|---|---|---|
| Regulation and Pricing | | | | | | | | | | |
| HSG Group Inc. - Cost of Service Studies | $8,000 | $8,000 | | $105,000 | $105,000 | | | $105,000 | $105,000 | $210,000 |
| Concentric Energy Advisors - Return on Equity | $0 | $0 | | $67,500 | $67,500 | | | $67,500 | $67,500 | $135,000 |
| Gannett Fleming Valuation and Rate Consultants, LLC - Depreciation | $40,715 | $42,850 | | $82,790 | $82,790 | | | $82,790 | $82,790 | $165,580 |
| Towers Watson - Compensation Study | $0 | $0 | | $146,925 | $146,925 | | | $146,925 | $146,925 | $293,850 |
| Legal | | | | | | | | | | |
| Cullen & Dykman | $34,004 | $34,004 | | $725,000 | $725,000 | | | $725,000 | $725,000 | $1,450,000 |
| Barclay Damon | $0 | $0 | | $130,000 | $130,000 | | | $130,000 | $130,000 | $260,000 |
| Publication Requirement | $0 | $0 | | $175,000 | $115,000 | $55,000 | $20,000 | $230,000 | $135,000 | $365,000 |
| | KEDNY HTY Total | KEDLI HTY Total | | | | | | | | |
| Total Expense | **$82,719** | **$84,853** | | **$1,432,215** | **$1,372,215** | **$55,000** | **$20,000** | **$1,487,215** | **$1,392,215** | **$2,879,430** |
| | | Annual amount for 4 years | $371,804 | | | | | $371,804 | $348,054 | |
| | | HTY Spend | $82,719 | | | | | $0 | $0 | |
| | | Deferred Amount | ($48,715) | | | | | $371,804 | $348,054 | |

*Note: While the workpaper indicates spend in the HTY, ($48,715.25) was deferred in HTY 2022 and ($34,003.60) was removed with normalization adjustment for HTY spend in RRP-3 OM Sch 20 Legal NY23, WP-1.

KEDNY/KEDLI Public Statement Hearing - July 2023 Publication Cost Amounts for each Newspaper

| Newspaper | Company | Cost |
|---|---|---|
| Anton Media | KEDLI | 6,957.00 |
| Newsday | KEDLI | 11,088.00 |
| Queens Chronicle | KEDLI | 1,687.50 |
| | **Sub-Total** | **19,732.50** |
| Newsday | KEDNY | 11,088.00 |
| Queens Chronicle | KEDNY | 1,687.50 |
| Staten Island Advance | KEDNY | 3,297.52 |
| NY Daily News | KEDNY | 29,760.00 |
| Schneps Media | KEDNY | 9,200.00 |
| | **Sub-Total** | **55,033.02** |
| | **Total** | **74,765.52** |

Exhibit_____(RRP-3R)

Rebuttal

Earnings Report/Earnings Capitalization

for the Historic Test Year Ended December 31, 2022

The Brooklyn Union Gas Company d/b/a National Grid NY
Regulatory Earnings Gas Compliance Filing (per Joint Proposal Rate Agreement in Cases 19-G-0309 and 19-G-0310)
For the Historic Test Year Ended December 31, 2022

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The Brooklyn Union Gas Company d/b/a National Grid NY
Gas Earnings Review - Individual Years for Earnings Sharing
($000's)

| | Individual Years | Earnings Year: | Three Year Gas Settlement Year 1 TME Dec 31, 2022 | Year 2 TME Dec 31, 2023 | Year 3 TME Dec 31, 2024 |
|---|---|---|---|---|---|
| 1 | Rate Base | | $ 6,079.2 | | |
| 2 | | | | | |
| 3 | Common Equity (Rate base * The imputed common equity ratio of 48%) | | $ 2,918.0 | | |
| 4 | | | | | |
| 5 | ROE as filed in Earnings Reports to the PSC for each rate year | | 8.63% | | |
| 6 | Subsequent minor revisions (see latest Earnings filing) | | 0.00% | | |
| 7 | Actual ROE used in this filing | | 8.63% | | |
| 8 | | | | | |
| 9 | Actual (calculated) Net Income for CE | | $ 251.8 | | |
| 10 | | | | | |
| 11 | ROE Sharing threshold (per JP - Section 5.3) | | 9.50% | | |
| 12 | | | | | |
| 13 | | | | | |
| 14 | | | | | |
| 15 | Earnings Sharing Calculation: | | | | |
| 16 | | | | | |
| 17 | | | | | |
| 18 | | | | | |
| 19 | | | Year 1 | | |
| 20 | | Earnings Sharing Report is due by | 12/31/22 | | |
| 21 | Actual Net Income | | $ 251.8 | | |
| 22 | Adjustment to exclude amounts previously in excess of Earnings threshold | | $ - | | |
| 23 | Adjusted Net Income | | $ 251.8 | | |
| 24 | Common equity (after exclusion of Goodwill) at a 48% equity ratio - Stub Period | | | | |
| 25 | Operating Revenues Ratio (Apr-Sep) | | | | |
| 26 | Common equity (after exclusion of Goodwill) at a 48% equity ratio | | $ 2,918.0 | | |
| 27 | Actual ROE (Net Income / Equity) | | 8.63% | | |
| 28 | ROE Threshold (weighted avg) | | 9.50% | | |
| 29 | Difference | | -0.87% | | |
| 30 | Actual Common Equity | | $ 2,918.0 | | |
| 31 | After-tax Earnings Between Threshold and 10.0% | | $ - | | |
| 32 | After-tax Earnings Between 10.0% and 10.5% | | $ - | | |
| 33 | After-tax Earnings Over 10.5% | | $ - | | |
| 34 | Deferral of 50% of amount Between Threshold and 10.0%, for benefit of Customers | | $ - | | |
| 35 | Deferral of 75% of amount Between 10.0% and 10.5%, for benefit of Customers | | $ - | | |
| 36 | Deferral of 90% of amount Over 10.5% | | $ - | | |
| 37 | Total Deferral for benefit of Customers (after-tax $) | | $ - | | |
| 38 | Combined Federal & State Income Tax Rate | | 26.14% | | |
| 39 | Deferral grossed up for income taxes (pre-tax $) | | $ - | | |
| 40 | Carrying costs | | $ - | | |
| 41 | Total Deferral Including Carrying Costs | | $ - | | |
| 42 | Cumulative Deferral | | $ - | | |

| | |
|---|---|
| $ - | Customer deferral amount (pre-tax) |
| | Carrying Charges will be recorded in the community account |

Line Notes

| | |
|---|---|
| 3 | Actual ROE calculation will use an imputed common equity ratio of 48% as described in JP Section 5.1 |
| 5 | Original ROE's in annual Gas earnings filings for respective periods |
| 6 | Impacts of ROE revisions shown in filing support (discovered after original filings) |
| 7 | Actual ROE used in the earnings sharing calculation |
| 9 | Line 7 x Line 3 (ROE x CE) |
| 11 | JP - Section 5.3 |
| 21 | Appropriate years line 9 |
| 22 | Adjustment to exclude amounts previously in excess of Earnings threshold (line 37 + Line 40) |
| 23 | Line 21 + Line 22 |
| 24 | Common Equity Ratio for Stub Period |
| 25 | Operating Income Ratio for Stub Period (Apr-Sep) |
| 26 | Appropriate years line 3 (Line 24 * Line 25 for stub period) |
| 27 | Line 23 / Line 26 |
| 28 | weighted average of line 11 |
| 29 | line 27 - line 28 |
| 30 | Appropriate years line 3 (Line 24 * Line 25 for stub period) |
| 31 | Line 27 Between Cap and 10.5% * Line 30 |
| 32 | Line 27 Between 10.0% and 10.5% * Line 30 |
| 33 | Line 27 Greater than 10.5% * Line 30 |
| 34 | Line 31 * 50% |
| 35 | Line 32 * 75% |
| 36 | Line 33 * 90% |
| 37 | Line 34 + Line 35 + Line 36 |
| 38 | Federal rate 21.0% and NYS 6.5% |
| 39 | Line 37 / (1- Line 38) |
| 40 | Carrying Costs at the Pre-Tax WACC on the Deferral Balance Net of Deferred Taxes |

The Brooklyn Union Gas Company d/b/a National Grid NY
Return on Equity Calculation / Capital Structure
For the Historic Test Year Ended December 31, 2022

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| 1 | Capital Structure (Total) | | | | | | |
| 2 | | | ($000's) | | | | |
| 3 | | | Adjusted for CAP * | Weighting | | | Weighted |
| 4 | | Reference | Avg Amount | Percent | Cost | | Cost |
| 5 | Long Term Debt | page 13, line 1 | $ 3,492,142 | 51.76% | 3.92% | | 2.03% |
| 6 | Notes Payable | page 13, line 2 | - | 0.00% | 0.00% | | 0.00% |
| 7 | Gas Supplier Refunds | page 13, line 3 | 165 | 0.00% | 1.73% | | 0.00% |
| 8 | Customer Deposits | page 13, line 4 | 16,174 | 0.24% | 0.00% | | 0.00% |
| 9 | Preferred Stock | page 13, line 5 | 0 | 0.00% | 0.00% | | 0.00% |
| 10 | Common Equity | page 13, line 6 | 3,238,598 | 48.00% | 8.63% | | 4.14% |
| 11 | | | | | | | |
| 12 | Total | | $ 6,747,079 | 100.00% | | | 6.17% |
| 13 | | | | | | | ROR (pg. 3 ln 43) |
| 14 | | | | | | | |
| 15 | Capital Structure (Electric) | | | | | | |
| 16 | 0% Allocation | | | | | | |
| 17 | | | Allocated | Weighting | | | Weighted |
| 18 | | | Amount | Percent | Cost | | Cost |
| 19 | Long Term Debt | | $0 | 0.00% | 0.00% | | 0.00% |
| 20 | Notes Payable | | - | 0.00% | 0.00% | | 0.00% |
| 21 | Gas Supplier Refunds | | - | 0.00% | 0.00% | | 0.00% |
| 22 | Customer Deposits | | - | 0.00% | 0.00% | | 0.00% |
| 23 | Preferred Stock | | - | 0.00% | 0.00% | | 0.00% |
| 24 | Common Equity | | - | 0.00% | 0.00% | | 0.00% |
| 25 | | | | | | | |
| 26 | Total | | $ - | 0.00% | | | 0.00% |
| 27 | | | | | | | ROR (pg. 3 ln 43) |
| 28 | | | | | | | |
| 29 | Capital Structure (Gas) | | | | | | |
| 30 | 100% Allocation | | | | | | |
| 31 | | | Allocated | Weighting | | | Weighted |
| 32 | | | Amount | Percent | Cost | | Cost |
| 33 | Long Term Debt | | $ 3,492,142 | 51.76% | 3.92% | | 2.03% |
| 34 | Notes Payable | | - | 0.00% | 0.00% | | 0.00% |
| 35 | Gas Supplier Refunds | | 165 | 0.00% | 1.73% | | 0.00% |
| 36 | Customer Deposits | | 16,174 | 0.24% | 0.00% | | 0.00% |
| 37 | Preferred Stock | | 0 | 0.00% | 0.00% | | 0.00% |
| 38 | Common Equity | | 3,238,598 | 48.00% | 8.63% | | 4.14% |
| 39 | | | | | | | |
| 40 | Total | | $ 6,747,079 | 100.00% | | | 6.17% |
| 41 | | | | | | | ROR (pg. 3 ln 43) |

The Brooklyn Union Gas Company d/b/a National Grid NY
Income Statement per Books, and Adjusted (before interest)
For the Historic Test Year Ended December 31, 2022
($000's)

| | | Per Books | | | Adjustments | | | As Adjusted | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | | Total | Electric | Gas | Total | Electric | Gas | Total | Electric | Gas |
| 1 | Operating Revenues | | | | | | | | | |
| 2 | Revenue | $ 2,458,489 | $ - | $ 2,458,489 | $ (18,065) | $ - | $ (18,065) | $ 2,440,424 | $ - | $ 2,440,424 |
| 3 | Operating Revenue Deductions | | | | | | | | | |
| 4 | Purchased Power Costs | - | - | 0 | - | 0 | 0 | 0 | 0 | 0 |
| 5 | Purchased Gas Costs | 963,363 | | 963,363 | - | 0 | - | 963,363 | 0 | 963,363 |
| 6 | Revenue Taxes | 72,883 | - | 72,883 | - | 0 | 0 | 72,883 | 0 | 72,883 |
| 7 | Total Deductions | 1,036,247 | 0 | 1,036,247 | 0 | 0 | 0 | 1,036,247 | 0 | 1,036,247 |
| 8 | | | | | | | | | | |
| 9 | Total Gross Margin | 1,422,242 | 0 | 1,422,242 | (18,065) | 0 | (18,065) | 1,404,177 | 0 | 1,404,177 |
| 10 | | | | | | | | | | |
| 11 | Operating Expenses | | | | | | | | | |
| 12 | Departmental Expenses | 543,807 | - | 543,807 | 0 | 0 | 0 | 543,807 | 0 | 543,807 |
| 13 | Bad Debts | 9,313 | - | 9,313 | 0 | 0 | 0 | 9,313 | 0 | 9,313 |
| 14 | EE and DR | 15,786 | - | 15,786 | 0 | 0 | 0 | 15,786 | 0 | 15,786 |
| 15 | Nuclear Fuel Disp Liab Interest | 0 | - | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| 16 | Other | 0 | - | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| 17 | Total Operating Expense | 568,906 | 0 | 568,906 | 0 | 0 | 0 | 568,906 | 0 | 568,906 |
| 18 | | | | | | | | | | |
| 19 | Depreciation | 149,390 | - | 149,390 | 0 | 0 | 0 | 149,390 | 0 | 149,390 |
| 20 | Amortization | 18,521 | - | 18,521 | 0 | 0 | 0 | 18,521 | 0 | 18,521 |
| 21 | Amortization other | 0 | - | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| 22 | (Gain) or Loss on Disposition of Facilities | 0 | - | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| 23 | | | | | | | | | | |
| 24 | Property Taxes | 225,056 | - | 225,056 | (623) | 0 | (623) | 224,432 | 0 | 224,432 |
| 25 | Payroll Taxes | 12,836 | - | 12,836 | 0 | 0 | 0 | 12,836 | 0 | 12,836 |
| 26 | Other | 2,282 | - | 2,282 | 0 | 0 | 0 | 2,282 | 0 | 2,282 |
| 27 | Total Operating Revenue Deductions | 976,991 | 0 | 976,991 | (623) | 0 | (623) | 976,368 | 0 | 976,368 |
| 28 | | | | | | | | | | |
| 29 | Net Operating Revenues | 445,251 | 0 | 445,251 | (17,441) | 0 | (17,441) | 427,810 | 0 | 427,810 |
| 30 | Other Income | 0 | - | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| 31 | Other adjustments | 0 | - | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| 32 | | | | | | | | | | |
| 33 | Oper Income Before Interest & Income Taxes | $ 445,251 | $ - | $ 445,251 | $ (17,441) | $ - | $ (17,441) | $ 427,810 | $ - | $ 427,810 |
| 34 | Income Taxes | | | | | | | | | |
| 35 | Federal Income Tax | | | | | see pg 33 | | 25,843 | 0 | 25,843 |
| 36 | State Income Tax | | | | | see pg 33 | | 27,075 | 0 | 27,075 |
| 37 | Total Income Tax | | | | | | | 52,917 | 0 | 52,917 |
| 38 | | | | | | | | | | |
| 39 | Oper Income After Income Taxes | | | | | | | $ 374,892 | $ - | $ 374,892 |
| 40 | | | | | | | | | | |
| 41 | | | | | | see pg | | | | |
| 42 | | | | | Rate Base | 9 | | $ 6,079,217 | $ - | $ 6,079,217 |
| 43 | | | | | Rate of Return (ROR) | | | 6.17% | 0.00% | 6.17% |
| 44 | | | | | | | | | | |
| 45 | | | | | | | | Total | Electric | Gas |
| 46 | | | | | Return on Equity (ROE) | | | 8.63% | 0.00% | 8.63% |
| 47 | | | | | | | | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
Income Statement Adjustments
For the Historic Test Year Ended December 31, 2022

| | By Inc Stmt line item | Adjustments to be Recognized ($000's) Electric | Gas |
|---|---|---|---|
| 1 | Operating Revenue Adjustments: | | |
| 2 | To exclude Gas Peak Reduction (GPR) EAM | $0 | ($7,589) |
| 3 | To exclude Gas Safety & Reliability Incentives | $0 | ($69) |
| 4 | To exclude Gas capacity incentive (gain) / loss | $0 | ($12,381) |
| 5 | To exclude Gas Safety Violation Penalties | $0 | $1,975 |
| 6 | | | |
| 7 | | | |
| 8 | | | |
| 9 | | | |
| 10 | | | |
| 11 | | | |
| 12 | | | |
| 13 | | | |
| 14 | Total | $0 | ($18,065) |
| 15 | | | |
| 16 | | | |
| 17 | Operating Revenue Deductions Adjustments: | | |
| 18 | | | |
| 19 | Adjust Gas Cost Revenues to exclude LAUF incentive | $0 | $0 |
| 20 | Total | $0 | $0 |
| 21 | | | |
| 22 | Departmental Expense Adjustments: | | |
| 23 | | $0 | $0.00 |
| 24 | | $0 | $0 |
| 25 | Total | $0 | $0 |
| 26 | | | |
| 27 | Non-Departmental Expense Adjustments: | | |
| 28 | Remove 10% Shareholder portion of property Tax Expense (above) / below Cap | $0 | ($623) |
| 29 | | | |
| 30 | | | |
| 31 | Total | $0 | ($623) |
| 32 | | | |
| 33 | Other Income: | | |
| 34 | | $0 | $0 |
| 35 | | | |
| 36 | | | |
| 37 | Income BEFORE tax impact | $0 | ($17,441) |
| 38 | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
Support to Income Statement Adjustments
For the Historic Test Year Ended December 31, 2022

| | | ($000's) | |
|---|---|---|---|
| | | Electric | Gas |
| | Revenue in the P&L related to specific Sharing Incentives: | | |
| 1 | a) Non-Core Gas Revenues and Gas Costs | | |
| 2 | Remove Shareholder portion of Off System Sales | | ($12,381) |
| 3 | | | 0 |
| 4 | | | ($12,381) |
| 5 | | | |
| 6 | | | |
| 7 | | | |
| 8 | | | |
| 9 | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
Income Statement (before Earning Sharing Adj's and before Interest & Income Taxes)
For the Historic Test Year Ended December 31, 2022
($000's)

| | | | Total | Jan-22 | Feb-22 | Mar-22 | Apr-22 | May-22 | Jun-22 | Jul-22 | Aug-22 | Sep-22 | Oct-22 | Nov-22 | Dec-22 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | ELECTRIC | | | | | | | | | | | | | | |
| 1 | Operating Revenues - Electric | | | | | | | | | | | | | | |
| 2 | Operating Revenue | | $ - | | | | | | | | | | | | |
| 3 | Purchased Power Expense | | - | | | | | | | | | | | | |
| 4 | GRT | | - | | | | | | | | | | | | |
| 5 | Electric Gross Margin | | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 6 | | | | | | | | | | | | | | | |
| 7 | Operating Expenses Electric | | | | | | | | | | | | | | |
| 8 | O&M | Departmental Expenses | - | | | | | | | | | | | | |
| 9 | Uncollectible Accounts | | - | | | | | | | | | | | | |
| 10 | Clean Energy Fund & EEPS | | - | | | | | | | | | | | | |
| 11 | Other | | - | | | | | | | | | | | | |
| 12 | Subtotal Operating Expense - Electric | | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 13 | | | | | | | | | | | | | | | |
| 14 | Depreciation | | - | | | | | | | | | | | | |
| 15 | Amortization | | - | | | | | | | | | | | | |
| 16 | Amortization - other | | - | | | | | | | | | | | | |
| 17 | (Gain) or Loss on Disposition of Facilities | | - | | | | | | | | | | | | |
| 18 | | | | | | | | | | | | | | | |
| 19 | Property Taxes | | - | | | | | | | | | | | | |
| 20 | Payroll Taxes | | - | | | | | | | | | | | | |
| 21 | Other Taxes | | - | | | | | | | | | | | | |
| 22 | Total Oper. Rev. Deductions - Electric | | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 23 | | | | | | | | | | | | | | | |
| 24 | Net Operating Income - Electric | | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - |
| 25 | | | | | | | | | | | | | | | |
| 26 | | | | | | | | | | | | | | | |
| 27 | | | | | | | | | | | | | | | |
| 28 | Net Income Before Int & Taxes - Electric | | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - | $ - |
| | GAS | | | | | | | | | | | | | | |
| 29 | Operating Revenues - Gas | | | | | | | | | | | | | | |
| 30 | Operating Revenue | | $ 2,458,489 | 358,995 | 322,553 | 254,812 | 207,683 | 135,346 | 121,727 | 142,979 | 149,267 | 114,545 | 137,596 | 215,172 | 297,813 |
| 31 | Purchased Gas Expense | | 963,363 | 149,241 | 132,768 | 88,365 | 59,400 | 38,649 | 44,191 | 45,985 | 58,900 | 44,891 | 48,893 | 88,244 | 163,837 |
| 32 | GRT | | 72,883 | 9,820 | 10,258 | 11,511 | 8,164 | 5,084 | 4,102 | 2,976 | 1,696 | 2,650 | 3,310 | 5,015 | 8,297 |
| 33 | Gas Gross Margin | | 1,422,242 | 199,935 | 179,527 | 154,936 | 140,119 | 91,613 | 73,434 | 94,017 | 88,672 | 67,004 | 85,393 | 121,913 | 125,679 |
| 34 | | | | | | | | | | | | | | | |
| 35 | Operating Expenses Gas | | | | | | | | | | | | | | |
| 36 | O&M | Departmental Expenses | 543,807 | $ 39,333 | $ 41,988 | $ 49,883 | $ 42,459 | $ 44,148 | $ 40,634 | $ 40,795 | $ 46,079 | $ 48,317 | $ 47,873 | $ 55,519 | $ 46,779 |
| 37 | Uncollectible Accounts | | 9,313 | 10,296 | 6,256 | 2,043 | 3,446 | 4,653 | (2,143) | 7,753 | (886) | (1,065) | 3,082 | 4,198 | (28,319) |
| 38 | EE and DR | | 15,786 | (111) | 1,797 | 1,281 | 1,710 | 1,018 | 749 | 407 | 1,877 | 768 | 958 | 2,244 | 3,087 |
| 39 | Other | | - | | | | | | | | | | | | |
| 40 | Subtotal Operating Expense - Gas | | 568,906 | 49,518 | 50,041 | 53,207 | 47,616 | 49,819 | 39,240 | 48,955 | 47,071 | 48,020 | 51,913 | 61,961 | 21,546 |
| 41 | | | | | | | | | | | | | | | |
| 42 | Depreciation | | 149,390 | 11,995 | 12,098 | 12,222 | 12,329 | 11,747 | 12,477 | 12,554 | 12,624 | 12,667 | 12,805 | 12,950 | 12,922 |
| 43 | Amortization | | 18,521 | 1,543 | 1,543 | 1,543 | 1,543 | 1,543 | 1,543 | 1,543 | 1,543 | 1,543 | 1,543 | 1,543 | 1,543 |
| 44 | Amortization - other | | - | | | | | | | | | | | | |
| 45 | (Gain) or Loss on Dispostiion of Facilities | | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 46 | | | | | | | | | | | | | | | |
| 47 | Property Taxes | | 225,056 | 16,900 | 16,756 | 16,756 | 19,250 | 19,250 | 19,250 | 19,411 | 19,411 | 19,411 | 19,411 | 19,411 | 19,838 |
| 48 | Payroll Taxes | | 12,836 | 1,154 | 1,402 | 947 | 1,016 | 1,009 | 1,038 | 944 | 994 | 1,877 | 1,133 | 1,029 | 294 |
| 49 | Other Taxes | | 2,282 | 205 | 672 | 900 | 6 | 1,086 | 570 | 545 | 546 | 46 | 491 | 545 | (3,329) |
| 50 | Total Oper. Rev. Deductions - Gas | | 976,991 | 81,316 | 82,513 | 85,575 | 81,759 | 84,454 | 74,117 | 83,952 | 82,190 | 83,565 | 87,296 | 97,439 | 52,814 |
| 51 | | | | | | | | | | | | | | | |
| 52 | Net Operating Income - Gas | | $ 445,251 | $ 118,619 | $ 97,015 | $ 69,360 | $ 58,359 | $ 7,158 | $ (683) | $ 10,065 | $ 6,482 | $ (16,561) | $ (1,902) | $ 24,474 | $ 72,865 |
| 53 | | | | | | | | | | | | | | | |
| 54 | | | | | | | | | | | | | | | |
| 55 | | | | | | | | | | | | | | | |
| 56 | Net Income Before Int & Taxes - Gas | | $ 445,251 | $ 118,619 | $ 97,015 | $ 69,360 | $ 58,359 | $ 7,158 | $ (683) | $ 10,065 | $ 6,482 | $ (16,561) | $ (1,902) | $ 24,474 | $ 72,865 |
| 57 | | | | | | | | | | | | | | | |
| 58 | Net Income Before Int & Taxes - E &G | | $ 445,251 | $ 118,619 | $ 97,015 | $ 69,360 | $ 58,359 | $ 7,158 | $ (683) | $ 10,065 | $ 6,482 | $ (16,561) | $ (1,902) | $ 24,474 | $ 72,865 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Comparison of Average Historic Rate Base and Capitalization
For the Historic Test Year Ended December 31, 2022
($000's)

| | | | Reference | TOTAL | ELECTRIC | GAS |
|---|---|---|---|---|---|---|
| 1 | (A) | AVERAGE RATE BASE - PER BOOKS | pg.9 ln 11 | $ 5,891,163 | $ - | $ 5,891,163 |
| 2 | (B) | ADD: Average interest-bearing | | | | |
| 3 | | CWIP | pg.10 ln 15 | 534,285 | - | 534,285 |
| 4 | (C) | TOTAL EARNINGS BASE (A+B) | | $ 6,425,448 | $ - | $ 6,425,448 |
| 5 | | | | | | |
| 6 | | Percent | | 100.00% | 0.00% | 100.00% |
| 7 | (D) | AVERAGE CAPITALIZATION - PER BOOKS | (CE excludes merger Goodwill, and may be adj for TCI if required): | | | |
| 8 | | Long Term Debt | pg.11 ln 18 | $ 3,200,000 | | |
| 9 | | Notes Payable | pg.11 ln 18 | - | | |
| 10 | | Gas Supplier Refunds | pg.12 ln 17 | 151 | | |
| 11 | | Customer Deposits | pg.12 ln 41 | 14,821 | | |
| 12 | | Preferred Stock | pg.14 ln 17 | - | | |
| 13 | | Common Equity (excludes merger GW; incl TCI adj) | pg.14 ln 46 | 3,532,107 [1] | | |
| 14 | | | | | | |
| 15 | | Avg. Allocated to Elec / Gas based on Earnings Base | | $ 6,747,079 | $ - | $ 6,747,079 |
| 16 | (E) | Add dividends declared but unpaid | | | | |
| 17 | | representing the timing difference | | | | |
| 18 | | between declaration and payment | pg.15 ln 17 | - | - | - |
| 19 | (F) | SUBTOTAL (D+E) | | $ 6,747,079 | $ - | $ 6,747,079 |
| 20 | | | | | | |
| 21 | | LESS Average Investments in: | | | | |
| 22 | | Detailed balance sheet accounts | pg.20 ln 226 | $ 172,021 | | |
| 23 | | Accumulated Def Inc Tax Adjustment | pg. 34 ln 17 + 44 | (38,444) | | |
| 24 | | Goodwill | | n/a [1] | | |
| 25 | (G) | Total Deductions | | $ 133,577 | $ - | $ 133,577 |
| 26 | | | | | | |
| 27 | (H) | Capitalization Dedicated to Public | | | | |
| 28 | | Service (F-G) | | $ 6,613,502 | $ - | $ 6,613,502 |
| 29 | (J) | Excess Earnings Base (Total Earnings Base) | | | | |
| 30 | | less Average Capitalization Devoted to | | | | |
| 31 | | Service Current Customers) (C-H) | | $ (188,054) | $ - | $ (188,054) |
| 32 | | | | | | |
| 33 | | [1] Goodwill related to the NM merger with National Grid is excluded from the equity component of capitalization, | | | | |
| 34 | | | | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
Rate Base Summary
For the Historic Test Year Ended December 31, 2022
($000's)

| | | Reference | Total | Electric | Gas |
|---|---|---|---|---|---|
| 1 | Net Utility Plant | pg. 21 ln 15 | $ 6,773,857 | $ - | $ 6,773,857 |
| 2 | | | | | |
| 3 | Regulatory Assets / Liabilities | pg. 27 ln 7 | 53,570 | - | 53,570 |
| 4 | | | | | |
| 5 | Accumulated Deferred Income Taxes - Federal | pg. 34 ln 17 | (1,134,844) | - | (1,134,844) |
| 6 | | | | | |
| 7 | Accumulated Deferred Income Taxes - State | pg. 34 ln 44 | (271,103) | - | (271,103) |
| 8 | | | | | |
| 9 | Working Capital | pg. 28 ln 12 | 469,683 | - | 469,683 |
| 10 | | | | | |
| 11 | Subtotal avg. before EBCAP adj. | | $ 5,891,163 | $ - | $ 5,891,163 |
| 12 | | | | | |
| 13 | Excess Earnings Base | pg. 8 ln 31 | 188,054 | - | 188,054 |
| 14 | | | | | |
| 15 | Total Rate Base | | $ 6,079,217 | $ - | $ 6,079,217 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Adjustment to Earnings Base - Interest Bearing CWIP
For the Historic Test Year Ended December 31, 2022

| | | ($000's) | | |
|---|---|---|---|---|
| | | Total | Electric | Gas |
| 1 | Total avg. CWIP (see below) | $ 505,732 | $ - | $ 505,732 |
| 2 | | | | |
| 3 | PS&I | - | - | - |
| 4 | | 505,732 | - | 505,732 |
| 5 | | | | |
| 6 | Less: | | | |
| 7 | Orders without Allowance (see below) | 28,553 | - | 28,553 |
| 8 | CWIP included in Rate Base | - | - | - |
| 9 | | | | |
| 10 | Avg. Interest Bearing CWIP | 534,285 | - | 534,285 |
| 11 | | | | |
| 12 | Plus: | | | |
| 13 | | - | - | - |
| 14 | | | | |
| 15 | Average Interest Bearing CWIP | $ 534,285 | $ - | $ 534,285 |
| 16 | | | | |
| 17 | | | | |
| 18 | | | | |
| 19 | | | | |
| 20 | | | | |

(Whole $)

| | | Total CWIP | | | Orders without Allowance | | |
|---|---|---|---|---|---|---|---|
| | Elec | Gas | Common | Elec | Gas | Common |
| Reg Account #s: | | 107000 & 107135 | | | | |
| Plant Account #s: | 101.02 | 102.12 | 103.22 | | | |
| Dec-21 | | 533,280,979 | | | (5,920,111) | |
| Jan-22 | | 490,032,264 | | | (24,510,917) | |
| Feb-22 | | 483,541,849 | | | (31,263,631) | |
| Mar-22 | | 508,038,786 | | | (53,986,142) | |
| Apr-22 | | 492,403,272 | | | (31,454,071) | |
| May-22 | | 498,110,259 | | | (25,168,344) | |
| Jun-22 | | 483,271,021 | | | (31,211,403) | |
| Jul-22 | | 489,124,946 | | | (5,216,327) | |
| Aug-22 | | 518,776,677 | | | (46,192,288) | |
| Sep-22 | | 510,418,233 | | | (48,207,265) | |
| Oct-22 | | 535,445,058 | | | (27,047,456) | |
| Nov-22 | | 520,966,395 | | | (20,862,483) | |
| Dec-22 | | 544,024,667 | | | 10,884,425 | |
| | | | | | | |
| 12 month average | $ - | $505,731,799 | $ - | $ - | $ (28,553,181) | $ - |
| | 0.0% | 100.0% | | 0.0% | 100.0% | |
| Alloc of Common | $ - | $ - | $ - | $ - | $ - | $ - |
| | | | | | | |
| Total | $ - | $505,731,799 | $ - | $ - | $ (28,553,181) | $ - |

The Brooklyn Union Gas Company d/b/a National Grid NY
Long Term Debt and Notes Payable
For the Historic Test Year Ended December 31, 2022

| | | Long Term Debt (LTD) (Whole $) | | | | | | | Notes Payable (NP) (Whole $) | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | Total LTD | Less Nuc Fuel Disp | Less Unreg Gen | Adjusted LTD Balances | Mthly Avg LTD Int Rate | Weighted Avg LTD Int Rate | | BlueBook pg 22 or Acctg Nat Grid USA Svc Co. (MP) Notes Payable | Int Rate | Acctg NM Holdings Notes Payable | Int Rate | Total N/P Balance | Avg N/P Int Rate | Weighted Avg N/P Int Rate | |
| 1 | Dec-21 | $ 3,050,000,000 | - | - | $ 3,050,000,000 | *3.73%* | *0.15%* | (1/2 month) | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | (1/2 month) |
| 2 | Jan-22 | 3,050,000,000 | - | - | 3,050,000,000 | *3.62%* | *0.29%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 3 | Feb-22 | 3,050,000,000 | - | - | 3,050,000,000 | *3.26%* | *0.26%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 4 | Mar-22 | 3,050,000,000 | - | - | 3,050,000,000 | *3.99%* | *0.32%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 5 | Apr-22 | 3,050,000,000 | - | - | 3,050,000,000 | *3.53%* | *0.28%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 6 | May-22 | 3,050,000,000 | - | - | 3,050,000,000 | *3.81%* | *0.30%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 7 | Jun-22 | 3,050,000,000 | - | - | 3,050,000,000 | *3.61%* | *0.29%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 8 | Jul-22 | 3,050,000,000 | - | - | 3,050,000,000 | *3.96%* | *0.31%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 9 | Aug-22 | 3,450,000,000 | - | - | 3,450,000,000 | *4.22%* | *0.38%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 10 | Sep-22 | 3,450,000,000 | - | - | 3,450,000,000 | *4.18%* | *0.38%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 11 | Oct-22 | 3,450,000,000 | - | - | 3,450,000,000 | *4.60%* | *0.41%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 12 | Nov-22 | 3,450,000,000 | - | - | 3,450,000,000 | *4.23%* | *0.38%* | | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | |
| 13 | Dec-22 | 3,450,000,000 | - | - | 3,450,000,000 | *3.84%* | *0.17%* | (1/2 month) | $0 | *0.00%* | - | *0.00%* | - | | *0.00%* | (1/2 month) |
| 14 | | | | | | | | | | | | | | | | |
| 15 | Total (Dec @ 1/2) | $ 38,400,000,000 | $ - | $ - | $ 38,400,000,000 | | | | $ - | | $ - | | $ - | | | |
| 16 | | | | | | | | | | | | | | | | |
| 17 | Divided by 12 = | $ 3,200,000,000 | $ - | $ - | $ 3,200,000,000 | | | | $ - | | $ - | | $ - | | | |
| 18 | | | | Rounded ($000's)= | $ 3,200,000 | | *3.92000%* | 12 month % | | | Rounded ($000's)= | | $ - | | *0.00%* | 12 month % |
| 19 | | | | | | | | | | | | | | | | |
| 20 | | | | | | | | | | | | | | | | |

21 Calculation of LTD Interest Expense (Whole $)

| | | Total Int Exp (excl AFUDC #432) | Act# 431xxx Less Other Int Exp | Act# 4300020 Less Money Pool N/P STD Int Exp | Act # 4300060 Less N/P NMH N/P STD Int Exp | Add: Int Exp | Adjusted LTD Int Exp |
|---|---|---|---|---|---|---|---|
| 22 | | | | | | | |
| 23 | | | | | | | |
| 24 | Dec-21 | $ 9,638,860 | $ 156,434 | $ - | $ - | $ - | $ 9,482,426 |
| 25 | Jan-22 | 9,336,697 | 132,396 | 0 | 0 | 0 | 9,204,301 |
| 26 | Feb-22 | 8,403,559 | 119,685 | 0 | 0 | 0 | 8,283,874 |
| 27 | Mar-22 | 10,262,074 | 132,503 | 0 | 0 | 0 | 10,129,571 |
| 28 | Apr-22 | 9,105,216 | 128,335 | 0 | 0 | 0 | 8,976,881 |
| 29 | May-22 | 9,825,243 | 132,498 | 0 | 0 | 0 | 9,692,745 |
| 30 | Jun-22 | 9,309,955 | 128,218 | 0 | 0 | 0 | 9,181,737 |
| 31 | Jul-22 | 10,143,934 | 90,848 | 0 | 0 | 0 | 10,053,086 |
| 32 | Aug-22 | 12,219,874 | 80,994 | 0 | 0 | 0 | 12,138,880 |
| 33 | Sep-22 | 12,230,875 | 206,756 | 0 | 0 | 0 | 12,024,119 |
| 34 | Oct-22 | 13,300,013 | 86,469 | 0 | 0 | 0 | 13,213,545 |
| 35 | Nov-22 | 11,161,737 | (985,459) | 0 | 0 | 0 | 12,147,196 |
| 36 | Dec-22 | 12,307,251 | 1,279,190 | 0 | 0 | 0 | 11,028,061 |
| 37 | | | | | | | |
| 38 | Total Int Exp | $ 137,245,289 | $ 1,688,868 | $ - | $ - | $ - | 135,556,421 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Gas Supplier Refunds and Customer Deposits
For the Historic Test Year Ended December 31, 2022

| | Gas Supplier Refunds | (Whole $) Gas Refunds Bal | Issued by PSC Oth Cust Cap Avg Rate | Weighted Avg Rate | |
|---|---|---|---|---|---|
| 1 | Dec-21 | $ 173,494 | 1.75% | 0.08% | (1/2 month) |
| 2 | Jan-22 | 173,927 | 1.75% | 0.17% | |
| 3 | Feb-22 | 174,934 | 1.75% | 0.17% | |
| 4 | Mar-22 | 157,607 | 1.75% | 0.15% | |
| 5 | Apr-22 | 136,953 | 1.75% | 0.13% | |
| 6 | May-22 | 136,953 | 1.75% | 0.13% | |
| 7 | Jun-22 | 177,067 | 1.75% | 0.17% | |
| 8 | Jul-22 | 146,953 | 1.75% | 0.14% | |
| 9 | Aug-22 | 136,953 | 1.75% | 0.13% | |
| 10 | Sep-22 | 136,953 | 1.75% | 0.13% | |
| 11 | Oct-22 | 136,953 | 1.75% | 0.13% | |
| 12 | Nov-22 | 136,953 | 1.75% | 0.13% | |
| 13 | Dec-22 | 136,953 | 1.75% | 0.07% | (1/2 month) |
| 14 | | | | | |
| 15 | 12 Month Total (Dec @ 1/2) | $ 1,807,429 | | | |
| 16 | | | ($000's) | | |
| 17 | 12 Month Avg Bal. | $ 150,619 | $ 151 | *1.73%* | 12 month % |
| 18 | | | | | |
| 19 | | | | | |
| 20 | | | | | |

| | Customer Deposits | (Whole $) Deposit Bal | Issued by PSC Cust Deposit Avg Rate | Weighted Avg Rate | |
|---|---|---|---|---|---|
| 21 | | | | | |
| 22 | | | | | |
| 23 | | | | | |
| 24 | | | | | |
| 25 | Dec-21 | $ 15,197,998 | 0.00% | 0.00% | (1/2 month) |
| 26 | Jan-22 | 15,040,586 | 0.00% | 0.00% | |
| 27 | Feb-22 | 15,153,109 | 0.00% | 0.00% | |
| 28 | Mar-22 | 15,052,694 | 0.00% | 0.00% | |
| 29 | Apr-22 | 14,894,937 | 0.00% | 0.00% | |
| 30 | May-22 | 14,790,933 | 0.00% | 0.00% | |
| 31 | Jun-22 | 15,119,398 | 0.00% | 0.00% | |
| 32 | Jul-22 | 14,726,035 | 0.00% | 0.00% | |
| 33 | Aug-22 | 14,544,454 | 0.00% | 0.00% | |
| 34 | Sep-22 | 14,479,039 | 0.00% | 0.00% | |
| 35 | Oct-22 | 14,457,115 | 0.00% | 0.00% | |
| 36 | Nov-22 | 14,648,234 | 0.00% | 0.00% | |
| 37 | Dec-22 | 14,687,876 | 0.00% | 0.00% | (1/2 month) |
| 38 | | | | | |
| 39 | 12 Month Total (Dec @ 1/2) | $ 177,849,471 | | | |
| 40 | | | ($000's) | | |
| 41 | 12 Month Avg Bal. | $ 14,820,789 | $ 14,821 | *0.00%* | 12 month % |

The Brooklyn Union Gas Company d/b/a National Grid NY
Capital Structure After Common Equity Adjustments
For the Historic Test Year Ended December 31, 2022

Excess Equity % of Total Capitalization - A Reduction to Common Equity
($000's)

Capital Structure

| | | PER BOOKS (excl GW) Before CAP adj Avg Amount | non-equity % to Total | Required Adjustment (1) | Adjusted for CAP * Avg Capital Excl Funding | Unadjusted Capitalization % | Adjusted Capitalization % |
|---|---|---|---|---|---|---|---|
| 1 | Long Term Debt | $ 3,200,000 | 99.5% | $ 292,142 | $ 3,492,142 | 47.4% | 51.8% |
| 2 | Notes Payable | - | 0.0% | - | - | 0.0% | 0.0% |
| 3 | Gas Supplier Refunds | 151 | 0.0% | 14 | 165 | 0.0% | 0.0% |
| 4 | Customer Deposits | 14,821 | 0.5% | 1,353 | 16,174 | 0.2% | 0.2% |
| 5 | Preferred Stock | - | 0.0% | 0 | 0 | 0.0% | 0.0% |
| 6 | Common Equity (EXCLUDES GW) | 3,532,107 | | (293,509) | 3,238,598 | 52.4% | 48.0% |
| 7 | | | 100.0% | | | | |
| 8 | Total Capitalization | $ 6,747,079 | | $ - | $ 6,747,079 | | |
| 9 | | | | | | | |
| 10 | Equity % of total capitalization | 52.4% | | | 48.0% | | |
| 11 | | | | | | | |
| 12 | % Over (Under) Adjusted Equity Cap | 4.4% | | | | | |
| 13 | | | | | | | |
| 14 | Note: * For both Electric and Gas filing components of book capital have been adjusted based on % to total, to comply with Equity Cap set forth in JP | | | | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
Preferred Stock and Common Equity - per books
For the Historic Test Year Ended December 31, 2022

| | Preferred Stock | | (Whole $) New Balance | | Bluebook pg 21 or NY Acctg Avg Dividend Rate | Weighted Avg | |
|---|---|---|---|---|---|---|---|
| 1 | Dec-21 | | | $1 | *0.00%* | *0.000%* | (1/2 month) |
| 2 | Jan-22 | | | $1 | *0.00%* | *0.000%* | |
| 3 | Feb-22 | | | $1 | *0.00%* | *0.000%* | |
| 4 | Mar-22 | | | $1 | *0.00%* | *0.000%* | |
| 5 | Apr-22 | | | $1 | *0.00%* | *0.000%* | |
| 6 | May-22 | | | $1 | *0.00%* | *0.000%* | |
| 7 | Jun-22 | | | $1 | *0.00%* | *0.000%* | |
| 8 | Jul-22 | | | $1 | *0.00%* | *0.000%* | |
| 9 | Aug-22 | | | $1 | *0.00%* | *0.000%* | |
| 10 | Sep-22 | | | $1 | *0.00%* | *0.000%* | |
| 11 | Oct-22 | | | $1 | *0.00%* | *0.000%* | |
| 12 | Nov-22 | | | $1 | *0.00%* | *0.000%* | |
| 13 | Dec-22 | | | $1 | *0.00%* | *0.000%* | (1/2 month) |
| 14 | | | | | | | |
| 15 | 12 Mo Tot (Dec @ 1/2) | | $ | 12 | | | |
| 16 | 12 Month Avg Bal. | (Whole $) = | $ | 1 | | | |
| 17 | Rounded Avg | ($000's) = | $ | - | | 0.00% | 12 month % |
| 18 | | | | | | | |
| 19 | | | | | | | |
| 20 | | | | | | | |
| 21 | | | | | | | |
| 22 | | | | | | | |
| 23 | | | | | | | |
| 24 | | | | | | | |
| 25 | | | | | | | |

| | Common Equity | Par Value & Premium Common Stock | Paid in Surplus | Retained Earnings | Unaap Undist Sub Earn | Per Books (Whole $) Total | REMOVAL OF GW PD IN SURP | REVISED TOTAL |
|---|---|---|---|---|---|---|---|---|
| 31 | Dec-21 | $ 472,627,082 | $ 2,781,202,942 | $ 2,254,282,716 | $ (716,502,948) | $ 4,791,609,792 | $ (1,451,139,895) | $ 3,340,469,897 |
| 32 | Jan-22 | 472,627,082 | 2,781,202,942 | 2,324,711,266 | (716,502,948) | 4,862,038,342 | (1,451,139,895) | 3,410,898,448 |
| 33 | Feb-22 | 472,627,082 | 2,781,202,942 | 2,387,004,156 | (716,502,948) | 4,924,331,232 | (1,451,139,895) | 3,473,191,338 |
| 34 | Mar-22 | 472,627,082 | 2,781,202,942 | 2,476,224,514 | (716,502,948) | 5,013,551,591 | (1,451,139,895) | 3,562,411,696 |
| 35 | Apr-22 | 472,627,082 | 2,781,202,942 | 2,460,460,512 | (716,502,948) | 4,997,787,588 | (1,451,139,895) | 3,546,647,694 |
| 36 | May-22 | 472,627,082 | 2,781,202,942 | 2,475,383,284 | (716,502,948) | 5,012,710,360 | (1,451,139,895) | 3,561,570,466 |
| 37 | Jun-22 | 472,627,082 | 2,781,202,942 | 2,426,166,605 | (716,502,948) | 4,963,493,681 | (1,451,139,895) | 3,512,353,787 |
| 38 | Jul-22 | 472,627,082 | 2,781,202,942 | 2,477,714,510 | (716,502,948) | 5,015,041,586 | (1,451,139,895) | 3,563,901,691 |
| 39 | Aug-22 | 472,627,082 | 2,781,202,942 | 2,476,128,124 | (716,502,948) | 5,013,455,200 | (1,451,139,895) | 3,562,315,305 |
| 40 | Sep-22 | 472,627,082 | 2,781,202,942 | 2,466,703,664 | (716,502,948) | 5,004,030,740 | (1,451,139,895) | 3,552,890,845 |
| 41 | Oct-22 | 472,627,082 | 2,781,202,942 | 2,459,219,437 | (716,502,948) | 4,996,546,514 | (1,451,139,895) | 3,545,406,619 |
| 42 | Nov-22 | 472,627,082 | 2,781,220,357 | 2,470,654,088 | (716,502,948) | 5,007,998,578 | (1,451,139,895) | 3,556,858,684 |
| 43 | Dec-22 | 472,627,082 | 2,781,333,940 | 1,746,033,176 | 184,339,614 | 5,184,333,811 | (1,451,139,895) | 3,733,193,917 |
| 44 | | | | | | | | |
| 45 | 12 Mo Tot (Dec @ 1/2) | $ 5,671,524,979 | $ 33,374,518,222 | $ 28,900,528,106 | ############ | $ 59,798,957,214 | $ (17,413,678,735) | $ 42,385,278,479 |
| 46 | 12 Month Avg Bal. | $ 472,627,082 | $ 2,781,209,852 | $ 2,408,377,342 | $ (678,967,841) | $ 4,983,246,434 | $ (1,451,139,895) | $ 3,532,106,540 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Timing Difference between Dividends Recorded vs. Paid
For the Historic Test Year Ended December 31, 2022

| | Preferred Dividends | | | | | | |
|---|---|---|---|---|---|---|---|
| | Month Declared (1) | | ($ Whole) Amount (2) | Date Recorded (3) | Date Paid (4) | Number of Days Between Date Recorded and Payment (5) | Number of Units (col 2 x 5) (6) |
| 1 | | (Pref) | | | | 0 | - |
| 2 | | | | | | | |
| 3 | | (Pref) | | | | 0 | - |
| 4 | | | | | | | |
| 5 | | (Pref) | | | | 0 | - |
| 6 | | | | | | | |
| 7 | | (Pref) | | | | 0 | - |
| 8 | | | | | | | |
| 9 | | | | | | | |
| 10 | | | $ - | | | 0 | $ - |
| 11 | | | | | | | |
| 12 | | | | | Weighted Average Days | | 0.0 |
| 13 | | | | | | | |
| 14 | | | | | | | |

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| 15 | COMPUTATION OF AMOUNT REPRESENTED BY TIMING DIFFERENCE | | | | | | |
| 16 | | | | | (Whole $) | | ($000's) |
| 17 | 0.0 | DAYS / 365 DAYS x | $ - | = | $ - | = | $ - |
| 18 | | | | | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

| | General Ledger Account | Description | 13 Mos Ended December 2022 Average Balance |
|---|---|---|---|
| 1 | C1011005 | PM-ARO-101-BegBal | $ 6,313.82 |
| 2 | C1011015 | LB-ARO-101-BegBal | 1,292 |
| 3 | C1012050 | Lease ROUA-Add-LB | 4,648 |
| 4 | C1013015 | LB-ARO-101-Disp | (37) |
| 5 | C1081005 | AD-PM-ARO-BegBal | (3,036) |
| 6 | C1082005 | AD-PM-ARO-Chrg Pd | (68) |
| 7 | C1083005 | AD-PM-ARO-Disp | 40 |
| 8 | C1231000 | Equity investments and other | 11,396 |
| 9 | C1231100 | Inv in Comm Stk-Subs | 84,999 |
| 10 | C1231200 | Inv Equ Ern/Loss-Sub | 124,279 |
| 11 | C1231300 | Inv in Subs-Div/Misc | (66,380) |
| 12 | C1280000 | Postretirement benefits asset-Reclass | 7,866 |
| 13 | C1281009 | FVOCI Eqty Inst Strt | 50 |
| 14 | C1310060 | Depo 1-In LBX/Ck | 0 |
| 15 | C1310070 | Depo 1-In Oth Srce | (3) |
| 16 | C1310100 | Depo 2-Cash | 2,466 |
| 17 | C1310140 | Depo 2-Out Misc | 172 |
| 18 | C1310160 | Depo 2-In LBX/Ck | 152 |
| 19 | C1310170 | Depo 2-In Oth Srce | 7,607 |
| 20 | C1310180 | Depo 2-In Wire | (3,596) |
| 21 | C1310190 | Depo 2-In Misc | 37 |
| 22 | C1315000 | Marg Coll-Cash | 17 |
| 23 | C1319999 | Cash Default account | 3,804 |
| 24 | C1450000 | Moneypool Receivable | 16,597 |
| 25 | C1460000 | IC AR Recon Acct | 148,019 |
| 26 | C1460001 | AR Assoc Co-Adj | (131,909) |
| 27 | C1460010 | IC AR Recon Acct | 271 |
| 28 | C1461031 | AR from PPL | (4) |
| 29 | C1750R03 | Derivative instrument Assets (175) | 58 |
| 30 | C1751000 | Long-Term Portion of Derivative Instrument Assets | (58) |
| 31 | C1823158 | FAS158-Pension | (22,517) |
| 32 | C1823159 | FAS158-OPEB | 4,811 |
| 33 | C1862280 | KS-EnrgyAndAr Loan I | 2,416 |
| 34 | C1866699 | Doc Splitt - Trans | 1,190 |
| 35 | C2272010 | Lease NonCurLiab-Add | (4,635) |
| 36 | C2283R02 | Pension-Benefits Reserve | (1) |
| 37 | C2301011 | ARO Lia-Beg Bal | (15,105) |
| 38 | C2302012 | ARO Liab-Recl to Cur | 12 |
| 39 | C2303011 | ARO Lia-Utilization | 142 |
| 40 | C2303511 | ARO Liab-Unwd Dis | (360) |
| 41 | C2330000 | Moneypool Payable | 28,663 |
| 42 | C2340000 | AP Associate Cos | (131,433) |
| 43 | C2340001 | AP Assoc Cos - Adj | (1,645) |
| 44 | C2340010 | AP Associate Cos | (152) |
| 45 | C2423120 | ARO Liab-BB-Cur | (467) |
| 46 | C2423140 | ARO Liab-Cur | (12) |
| 47 | C2423420 | HW Prov-Beg Bal-Cur | (119,955) |

The Brooklyn Union Gas Company d/b/a National Grid NY
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

| | General Ledger Account | Description | 13 Mos Ended December 2022 Average Balance |
|---|---|---|---|
| 48 | C2423440 | HW Prov-Cur | (23,542) |
| 49 | C2432010 | Lease Curr Liab-Add | (13) |
| 50 | C2440R03 | Derivative Instrument Liab-Current | (164) |
| 51 | C2442000 | Long-Term Portion of Derivative Instrument Liabilitie | 164 |
| 52 | C2530010 | Def Cr-Sales Tax Acc | (1,023) |
| 53 | C2530040 | Def Cr-Sales Tax Int | (431) |
| 54 | C2530270 | Pens Costs-Prov | 4,505 |
| 55 | C2530310 | NQ Pension Prov-Cont | 4 |
| 56 | C2531008 | PRHealth Prov-BB | 70,011 |
| 57 | C2531027 | Pension Prov-Beg Bal | 122,452 |
| 58 | C2531031 | NQ Pension Prov-Beg | 8 |
| 59 | C2531060 | PRHealth Prov-Contri | 770 |
| 60 | C2531120 | FAS112-Beg Bal | (8,590) |
| 61 | C2532006 | HW Prov-Recl to Cur | 23,542 |
| 62 | C2532008 | PRHealth Prov-Curren | 992 |
| 63 | C2532009 | FAS 112-Current Serv | 202 |
| 64 | C2532027 | Pension Prov-Current | 4,113 |
| 65 | C2534710 | Int Accr-LT-FedFIN48 | (2,139) |
| 66 | C2534720 | Int Accr-LT-St FIN48 | (63) |
| 67 | C2534810 | FIN48 FIT -Timing Is | (76,482) |
| 68 | C2534820 | FIN48 SIT -Timing Is | (24,422) |
| 69 | C2534830 | FIN48 FIT-Permanent | (3,003) |
| 70 | C2534840 | FIN48 SIT-Permanent | (990) |
| 71 | C2534850 | FIN48 FIT-NOL | 17,321 |
| 72 | C2534860 | FIN48 SIT-NOL | 25,326 |
| 73 | C2538008 | PRHealth Prv-Oth Mvt | (3,812) |
| 74 | C2538031 | NQ Pension Prov-Oth | $ (1) |
| 75 | C2539410 | Hazwaste Prov-Beg Ba | (171,124) |
| 76 | C2539440 | Hazwaste Prov-Utiliz | 1,728 |
| 77 | C2540217 | EnviroRecoveries | (5) |
| 78 | U1011050 | Lease ROUA-BB-LB | (14,617) |
| 79 | U1011051 | Lease OpA-BB-LB | 50,949 |
| 80 | U1012050 | Lease ROUA-Add-LB | 12,061 |
| 81 | U1013050 | Lease ROUA-Dis-LB | (21,646) |
| 82 | U1080001 | RWIP Reclass | (19,689) |
| 83 | U1081050 | Lease ROUAD-BB-LB | (17,085) |
| 84 | U1081434 | AD-COR-FAS143 | (0) |
| 85 | U1081435 | AD-COR-FAS143 Debit | 19,689 |
| 86 | U1082050 | Lease ROUAD-Add-LB | (3,118) |
| 87 | U1083050 | Lease ROUAD-Dis-LB | 12,995 |
| 88 | U1460000 | IC AR Recon Acct | 1,778 |
| 89 | U1460990 | Accts receivable from affil-Reclass | (235) |
| 90 | U1750090 | Deriv Asset S/T Gas | 52,098 |
| 91 | U1752993 | Derivative L/T Gas | 807 |
| 92 | U1823043 | Asset Ret Obligation | 10,976 |
| 93 | U1823059 | MTA Gross Income | 1,462 |
| 94 | U1823064 | MGP Ins Cost Recovry | 1,750,213 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

| | General Ledger Account | Description | 13 Mos Ended December 2022 Average Balance |
|---|---|---|---|
| 95 | U1823066 | Spl Franch Post 07 | 26,565 |
| 96 | U1823067 | Int on Def Reg Asset | 41,580 |
| 97 | U1823070 | Gas Futures-Supply | 2,270 |
| 98 | U1823074 | Capital Tracker | 47,419 |
| 99 | U1823075 | Temp St Assmnt 18-A | 2,349 |
| 100 | U1823158 | FAS158-Pension | 1,549 |
| 101 | U1823159 | FAS158-OPEB | (63,819) |
| 102 | U1823194 | MFC-Merch Func Charg | 782 |
| 103 | U1823195 | RDM Rev Decoupling | 40,830 |
| 104 | U1823196 | RDM Unbilled | (2,615) |
| 105 | U1823253 | Pension Exp Deferred | 162,435 |
| 106 | U1823274 | Low Income Program | 13,733 |
| 107 | U1823289 | Int Low Inc Subsidy | 494 |
| 108 | U1823290 | Def TC Penalty Chg | 1 |
| 109 | U1823295 | Arrears Ph1-Gas | 15,572 |
| 110 | U1823300 | GAC Imbalance | 2,977 |
| 111 | U1823331 | GSRS Surcharge/Refun | 262 |
| 112 | U1823334 | NY Fac Syst Surch cr | 1,128 |
| 113 | U1823336 | LT Capacity Projects | 40 |
| 114 | U1823338 | Newton Rev Rec Def | 1,716 |
| 115 | U1823347 | Econom Prgm 13-G-001 | 8,056 |
| 116 | U1823353 | LPC Deferral | 16,320 |
| 117 | U1823358 | NYS Tax Deferral | 7,611 |
| 118 | U1823382 | CSC Capital Tracker | 5,136 |
| 119 | U1823383 | Customer Connections | 4,631 |
| 120 | U1823384 | NUPD Capital Tracker | (601) |
| 121 | U1823385 | NonFirm Demand Resp | 54 |
| 122 | U1823386 | Reconnect Fees | 0 |
| 123 | U1823401 | Energy Eff DCSM | 1,259 |
| 124 | U1823666 | Earnings Adj Mech-Ga | 5,906 |
| 125 | U1823702 | Exogenous Event Defe | 103,194 |
| 126 | U1823729 | MFC - Imbalance | 1,552 |
| 127 | U1823731 | Sys Perf Adj (SPA) | 825 |
| 128 | U1823735 | Interest MFC Imb Sur | 25 |
| 129 | U1823738 | Elec Generat Rev Def | 74 |
| 130 | U1823744 | SIR Def 16-G-0058/00 | 102,637 |
| 131 | U1823750 | RDM Interest | 456 |
| 132 | U1823751 | Capital Tracker Def | 18,468 |
| 133 | U1823754 | SIR Exp Def Post 16 | 60,754 |
| 134 | U1823767 | SIRDeferral-CarryChg | 41,238 |
| 135 | U1823768 | Positive Rev Incent | 6,577 |
| 136 | U1823791 | NYF Interest | 10 |
| 137 | U1823795 | GAC Presentation | (3,412) |
| 138 | U1823992 | Regulatory assets - pension-Reclass | 2,525 |
| 139 | U1860991 | Postretirement benefits asset-Reclass | 0 |
| 140 | U2271010 | Lease NonCurLiab-BB | (21,020) |
| 141 | U2272010 | Lease NonCurLiab-Add | (11,873) |

The Brooklyn Union Gas Company d/b/a National Grid NY
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

| | General Ledger Account | Description | 13 Mos Ended December 2022 Average Balance |
|---|---|---|---|
| 142 | U2273010 | Lease NonCurLiab-Dis | $ 10,337 |
| 143 | U2277010 | Lease NonCurLiab-Rec | 3,354 |
| 144 | U2284490 | Haz-Waste Provision | (11,269) |
| 145 | U2284990 | Env Remediation-Recl | (1,579,172) |
| 146 | U2330991 | Intercompany moneypool-Reclass | (392) |
| 147 | U2340000 | A/P Assoc Comp | (7,953) |
| 148 | U2340990 | Accounts Payable to affiliates-Reclass | 628 |
| 149 | U2431010 | Lease Curr Liab-BB | (8,744) |
| 150 | U2432010 | Lease Curr Liab-Add | (188) |
| 151 | U2433010 | Lease Curr Liab-Dis | 8,558 |
| 152 | U2433510 | Lease Curr Liab-Unwd | (300) |
| 153 | U2437010 | Lease Curr Liab-Rec | (3,354) |
| 154 | U2440070 | Deriv Liab S/T Gas | (13,769) |
| 155 | U2441060 | Deriv Liab L/T Gas | (1,283) |
| 156 | U2530485 | Carrying Chgs-PRAs | (1,880) |
| 157 | U2530486 | Reg Asset-PRAs | (15,462) |
| 158 | U2530942 | Hazwaste Prov-chrg | (85,065) |
| 159 | U2530997 | Post Retirement benefits reserves-Recla | (7,865) |
| 160 | U2531008 | PRHealth Prov-BB | 34,027 |
| 161 | U2531027 | Pension Prov-BB | (80,025) |
| 162 | U2531031 | NQ Pension Prov-Beg | (882) |
| 163 | U2535300 | Cap Tracker-Equity | (29,939) |
| 164 | U2535310 | Environ SIR-Equity | (36,344) |
| 165 | U2535320 | Carrying Chg-Equity | (37,349) |
| 166 | U2536306 | PRHealth Prov-Gains | 1,575 |
| 167 | U2536327 | PensProv-Gain Liab | 6,024 |
| 168 | U2538031 | NQ Pension Prov-Oth | 882 |
| 169 | U2539410 | Hazwaste Prov-BegBal | (1,408,048) |
| 170 | U2539440 | Hazwaste Prov-Util | 26,454 |
| 171 | U2539490 | Haz-Waste Provision | 1,590,440 |
| 172 | U2540002 | Energy Efficiency | (2,631) |
| 173 | U2540008 | Interest Deferd GAC | (96) |
| 174 | U2540009 | Int Pipeline Refund | (2) |
| 175 | U2540010 | Int Deferred TAC | (61) |
| 176 | U2540012 | Revenue Decoupling | 3,031 |
| 177 | U2540051 | Pipeline Refunds | (350) |
| 178 | U2540052 | Marketer Pen Ref | (168) |
| 179 | U2540053 | GAC Imbalance Refund | (4,125) |
| 180 | U2540076 | TAC Imbalance Refund | (1,567) |
| 181 | U2540107 | Exc ResvTax Gas | (40,373) |
| 182 | U2540160 | EE Surcharge-Gas | (17,270) |
| 183 | U2540194 | Merchant Func Chrg | (23) |
| 184 | U2540196 | RDM Unbilled | (60,755) |
| 185 | U2540205 | Int on Deferred Item | (44,561) |
| 186 | U2540217 | Env Recoveries | (41,602) |
| 187 | U2540232 | Cap Tracker-Gas | (22,702) |
| 188 | U2540280 | Int SBC Costs Def | (8,157) |

The Brooklyn Union Gas Company d/b/a National Grid NY
Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

| | General Ledger Account | Description | 13 Mos Ended December 2022 Average Balance |
|---|---|---|---|
| 189 | U2540281 | OffSys Sales-Profit | (15,316) |
| 190 | U2540290 | Def TC Penalty Chg | (925) |
| 191 | U2540327 | Low Income Prg 0058/ | (13,523) |
| 192 | U2540333 | Interest Enrgy Affrd | (3,286) |
| 193 | U2540335 | Paving Expense | (21,953) |
| 194 | U2540341 | CC Non Firm Dmd | (260) |
| 195 | U2540342 | NE:NY-LMI Gas | (2,782) |
| 196 | U2540343 | NE:NY-EE Gas | (13,460) |
| 197 | U2540344 | NYSERDA EEPS Gas | (1,185) |
| 198 | U2540345 | INT NYSERDA EEPS Gas | (29) |
| 199 | U2540359 | ServiceLine Deferral | (3,618) |
| 200 | U2540371 | ETIP Cumulative Gas | (1,824) |
| 201 | U2540384 | NUPD Capital Tracker | (5,408) |
| 202 | U2540385 | NonFirm Demand Resp | (408) |
| 203 | U2540386 | Reconnect Fees | (227) |
| 204 | U2540401 | Energy Eff DCSM | 63 |
| 205 | U2540402 | Demand Response DCSM | (1,188) |
| 206 | U2540409 | MW Merchant Func Adj | (654) |
| 207 | U2540489 | MiscellaneousCredits | (24) |
| 208 | U2540553 | Gas Millennium Fund | (1,066) |
| 209 | U2540560 | Int Reserve CarryChg | (15,158) |
| 210 | U2540569 | Gas Futures-Gas Sply | (40,124) |
| 211 | U2540584 | OPEB Exp Defrd-El | (90,494) |
| 212 | U2540605 | Misc Penalties | (8,685) |
| 213 | U2540724 | RatePlan DefCred Gas | (39,309) |
| 214 | U2540731 | Sys Perf Adj (SPA) | (124) |
| 215 | U2540736 | CEF Def-Gas | (9,486) |
| 216 | U2540738 | Elec Generat Rev Def | (260) |
| 217 | U2540746 | Levelization Rate De | (27,011) |
| 218 | U2540749 | Econ Dev 16-G-0058/0 | (6,282) |
| 219 | U2540750 | RDM Interest | (13) |
| 220 | U2540752 | EE Interest | (1,706) |
| 221 | U2540778 | Energy Affordability | (7,518) |
| 222 | U2540780 | Clean Energy Fund Ga | (790) |
| 223 | U2540791 | NYF Interest | (8) |
| 224 | U2540795 | GAC Presentation | 3,412 |
| 225 | U2540993 | RegulatoryLiabs - pension-Reclass | (2,525) |
| 226 | Grand Total | | 172,021.23 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Summary of Net Utility Plant
For the Historic Test Year Ended December 31, 2022
($000's)

| | Description | Reference | Average Monthly Balance Per Books Total | Electric | Gas |
|---|---|---|---|---|---|
| 1 | Gross Utility Plant | pg. 22 ln 22 | $ 8,228,099 | $ - | $ 8,228,099 |
| 2 | | | | | |
| 3 | Non-Interest Bearing CWIP | pg. 23 ln 51 | $ (28,553) | - | (28,553) |
| 4 | | | | | |
| 5 | Total Utility Plant | | $ 8,199,546 | - | 8,199,546 |
| 6 | | | | | |
| 7 | | | | | |
| 8 | Accum. Depreciation Reserve | pg. 24 ln 24 | $ (1,474,968) | - | (1,474,968) |
| 9 | | | | | |
| 10 | Retirement WIP | pg. 25 ln 52 | $ 49,279 | - | 49,279 |
| 11 | | | | | |
| 12 | Net Accumulated Provision for | | | | |
| 13 | Depreciation | | $ (1,425,689) | - | (1,425,689) |
| 14 | | | | | |
| 15 | Total Net Utility Plant | | $ 6,773,857 | $ - | $ 6,773,857 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Gross Utility Plant
For the Historic Test Year Ended December 31, 2022
($000's)

| | Balance at Month End | | Electric Plant in Service (1) | Gas Plant in Service | Common Plant in Service |
|---|---|---|---|---|---|
| 1 | Dec-22 | (1/2 month) | | $ 3,903,370 | |
| 2 | Jan-22 | | | 7,917,319 | |
| 3 | Feb-22 | | | 7,993,207 | |
| 4 | Mar-22 | | | 8,053,937 | |
| 5 | Apr-22 | | | 8,130,110 | |
| 6 | May-22 | | | 8,190,367 | |
| 7 | Jun-22 | | | 8,238,012 | |
| 8 | Jul-22 | | | 8,287,894 | |
| 9 | Aug-22 | | | 8,327,212 | |
| 10 | Sep-22 | | | 8,455,652 | |
| 11 | Oct-22 | | | 8,447,557 | |
| 12 | Nov-22 | | | 8,517,069 | |
| 13 | Dec-22 | (1/2 month) | | 4,275,481 | |
| 14 | | | | | |
| 15 | Total | | - | 98,737,186 | - |
| 16 | | | | | |
| 17 | | | | | |
| 18 | Allocation of Common (1) | | - | - | - |
| 19 | | | | | |
| 20 | Total | | - | 98,737,186 | - |
| 21 | | | | | |
| 22 | Average (12) Monthly Balance | | $ - | $ 8,228,099 | $ - |
| 23 | | | | | |
| 24 | | | | | |
| 25 | | | | | |
| 26 | (1) Electric - 0.0% | | | | |
| 27 | Gas - 100.0% | | | | |
| 28 | | | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Non-Interest Bearing CWIP
For the Historic Test Year Ended December 31, 2022
($000's)

| | Balance at Month End | | Electric (1) | Gas | Common |
|---|---|---|---|---|---|
| 29 | Dec-22 | (1/2 month) | | $ (2,960) | |
| 30 | Jan-22 | | | (24,511) | |
| 31 | Feb-22 | | | (31,264) | |
| 32 | Mar-22 | | | (53,986) | |
| 33 | Apr-22 | | | (31,454) | |
| 34 | May-22 | | | (25,168) | |
| 35 | Jun-22 | | | (31,211) | |
| 36 | Jul-22 | | | (5,216) | |
| 37 | Aug-22 | | | (46,192) | |
| 38 | Sep-22 | | | (48,207) | |
| 39 | Oct-22 | | | (27,047) | |
| 40 | Nov-22 | | | (20,862) | |
| 41 | Dec-22 | (1/2 month) | | 5,442 | |
| 42 | | | | | |
| 43 | Total (including PSI) | | - | (342,638) | - |
| 44 | | | | | |
| 45 | Allocation of Common (1) | | - | - | - |
| 46 | | | | | |
| 47 | | | | | |
| 48 | Total (including PSI) | | - | (342,638) | - |
| 49 | | | | | |
| 50 | | | | | |
| 51 | Average (12) Monthly Balances | | $ - | $ (28,553) | $ - |
| 52 | | | | | |
| 53 | | | | | |
| 54 | | | | | |
| 55 | (1) Electric - 0.0% | | | | |
| 56 | Gas - 100.0% | | | | |
| 57 | | | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Depreciation Reserve
For the Historic Test Year Ended December 31, 2022
($000's)

| | Balance at Month End | | Electric Plant in Service (1) | Gas Plant in Service | Common Plant in Service |
|---|---|---|---|---|---|
| 1 | Dec-22 | (1/2 month) | | $ 720,658 | |
| 2 | Jan-22 | | | 1,452,137 | |
| 3 | Feb-22 | | | 1,462,210 | |
| 4 | Mar-22 | | | 1,463,986 | |
| 5 | Apr-22 | | | 1,473,350 | |
| 6 | May-22 | | | 1,483,018 | |
| 7 | Jun-22 | | | 1,457,048 | |
| 8 | Jul-22 | | | 1,468,352 | |
| 9 | Aug-22 | | | 1,479,847 | |
| 10 | Sep-22 | | | 1,482,609 | |
| 11 | Oct-22 | | | 1,494,153 | |
| 12 | Nov-22 | | | 1,504,930 | |
| 13 | Dec-22 | (1/2 month) | | 757,313 | |
| 14 | | | | | |
| 15 | Total | | - | 17,699,612 | - |
| 16 | | | | | |
| 17 | | | | | |
| 18 | | | | | |
| 19 | Allocation of Common (1) | | - | - | - |
| 20 | | | | | |
| 21 | Total | | - | 17,699,612 | - |
| 22 | | | | | |
| 23 | | | | | |
| 24 | Average (12) Monthly Balance | | $ - | $ 1,474,968 | $ - |
| 25 | | | | | |
| 26 | | | | | |
| 27 | | | | | |
| 28 | (1) Electric - 0.0% | | | | |
| 29 | Gas - 100.0% | | | | |
| 30 | | | | | |

The Brooklyn Union Gas Company d/b/a National Grid NY
Monthly Balances of Retirement Work in Progress
For the Historic Test Year Ended December 31, 2022
($000's)

| | Balance at Month End | | Electric (1) | Gas | Common |
|---|---|---|---|---|---|
| 31 | Dec-22 | (1/2 month) | | $ 28,871 | |
| 32 | Jan-22 | | | 56,272 | |
| 33 | Feb-22 | | | 57,889 | |
| 34 | Mar-22 | | | 49,970 | |
| 35 | Apr-22 | | | 47,244 | |
| 36 | May-22 | | | 48,194 | |
| 37 | Jun-22 | | | 47,484 | |
| 38 | Jul-22 | | | 50,191 | |
| 39 | Aug-22 | | | 50,435 | |
| 40 | Sep-22 | | | 43,476 | |
| 41 | Oct-22 | | | 44,026 | |
| 42 | Nov-22 | | | 44,593 | |
| 43 | Dec-22 | (1/2 month) | | 22,702 | |
| 44 | | | | | |
| 45 | Total | | - | 591,348 | - |
| 46 | | | | | |
| 47 | Allocation of Common (1) | | - | - | - |
| 48 | | | | | |
| 49 | Total | | - | 591,348 | - |
| 50 | | | | | |
| 51 | | | | | |
| 52 | Average (12) Monthly Balance | | $ - | $ 49,279 | $ - |
| 53 | | | | | |
| 54 | | | | | |
| 55 | (1) Electric - 0.0% | | | | |
| 56 | Gas - 100.0% | | | | |
| 57 | | | | | |

| Date | SAP: Utility Plant | Less: ARO Assets | Less: Excluded Projects | Less U101 Lease Accts | NUP Assets | SAP: CWIP | Other Interest Bearing Projects | Less: Excludable IB Projects | Less: Excludable NIB Projects | NUP CWIP | SAP: Accum Depr | Less: ARO Accum Depr | Less: Excluded Projects-Other-AD | Plus: RWIP | Less:U108 Lease Accts | NUP Accum Depr | Total NUP | Increase / (Decrease) | NUP Accum Depr net of RWIP |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| ######## | 7,861,123,679 | 7,616,083 | 10,435,330 | 36,331,824 | 7,806,740,442 | 533,280,979 | 487,828,392 | 51,369,604 | 3,094 | (5,920,111) | (1,461,826,651) | (3,045,580) | (152,226) | 57,742,499 | (17,312,067) | (1,383,574,279) | 6,417,246,052 | 10,141,869 | $ (1,441,316,778) |
| 1/31/2022 | 7,971,704,922 | 7,616,083 | 10,438,127 | 36,331,824 | 7,917,318,888 | 490,032,264 | 461,096,950 | 53,445,641 | 590 | (24,510,917) | (1,473,140,010) | (3,057,696) | (163,098) | 56,272,358 | (17,782,016) | (1,395,864,841) | 6,496,943,130 | 79,697,078 | $ (1,452,137,200) |
| 2/28/2022 | 8,047,593,327 | 7,616,083 | 10,438,464 | 36,331,824 | 7,993,206,956 | 483,541,849 | 454,896,030 | 59,908,973 | 476 | (31,263,631) | (1,483,708,063) | (3,071,954) | (173,971) | 57,889,347 | (18,252,487) | (1,404,320,305) | 6,557,623,021 | 60,679,891 | $ (1,462,209,651) |
| 3/31/2022 | 8,108,297,698 | 7,589,144 | 10,440,050 | 36,331,824 | 8,053,936,681 | 508,038,786 | 498,785,040 | 63,239,330 | 558 | (53,986,142) | (1,485,948,778) | (3,054,915) | (184,845) | 49,970,042 | (18,723,482) | (1,414,015,494) | 6,585,935,044 | 28,312,023 | $ (1,463,985,536) |
| 4/30/2022 | 8,184,333,725 | 7,589,144 | 10,440,050 | 36,194,055 | 8,130,110,476 | 492,403,272 | 458,649,170 | 65,207,754 | 419 | (31,454,071) | (1,495,668,102) | (3,064,885) | (195,719) | 47,243,952 | (19,057,233) | (1,426,106,312) | 6,672,550,093 | 86,615,048 | $ (1,473,350,265) |
| 5/31/2022 | 8,210,113,919 | 7,589,144 | 10,440,589 | 1,717,329 | 8,190,366,857 | 498,110,259 | 455,529,181 | 67,748,986 | 436 | (25,168,344) | (1,486,723,002) | (3,074,855) | (206,595) | 48,193,925 | (423,174) | (1,434,824,454) | 6,730,374,058 | 57,823,966 | $ (1,483,018,379) |
| 6/30/2022 | 8,258,574,926 | 7,589,144 | 10,441,087 | 2,532,648 | 8,238,012,048 | 483,271,021 | 444,882,976 | 69,598,940 | 508 | (31,211,403) | (1,460,810,949) | (3,086,971) | (217,471) | 47,483,693 | (458,018) | (1,409,564,796) | 6,797,235,849 | 66,861,790 | $ (1,457,048,488) |
| 7/31/2022 | 8,308,458,229 | 7,589,144 | 10,442,026 | 2,532,648 | 8,287,894,411 | 489,124,946 | 422,689,117 | 71,219,493 | 432,663 | (5,216,327) | (1,472,172,517) | (3,099,088) | (228,347) | 50,191,314 | (492,935) | (1,418,160,833) | 6,864,517,251 | 67,281,402 | $ (1,468,352,147) |
| 8/31/2022 | 8,347,793,766 | 7,589,144 | 10,460,156 | 2,532,648 | 8,327,211,819 | 518,776,677 | 492,028,818 | 72,507,408 | 432,739 | (46,192,288) | (1,483,725,284) | (3,111,205) | (239,234) | 50,434,848 | (527,923) | (1,429,412,075) | 6,851,607,455 | (12,909,796) | $ (1,479,846,923) |
| 9/30/2022 | 8,476,156,834 | 7,508,389 | 10,464,123 | 2,532,648 | 8,455,651,673 | 510,418,233 | 484,856,463 | 73,336,247 | 432,788 | (48,207,265) | (1,486,453,557) | (3,031,491) | (250,132) | 43,476,434 | (562,983) | (1,439,132,518) | 6,968,311,891 | 116,704,436 | $ (1,482,608,952) |
| ######## | 8,523,821,495 | 7,494,806 | 10,465,210 | 58,304,861 | 8,447,556,619 | 535,445,058 | 487,854,261 | 74,205,486 | 432,768 | (27,047,456) | (1,498,042,569) | (3,030,025) | (261,033) | 44,025,837 | (598,115) | (1,450,127,560) | 6,970,381,603 | 2,069,712 | $ (1,494,153,397) |
| ######## | 8,593,337,793 | 7,494,806 | 10,469,605 | 58,304,861 | 8,517,068,521 | 520,966,395 | 467,845,183 | 73,549,754 | 433,941 | (20,862,483) | (1,508,877,192) | (3,042,141) | (271,936) | 44,592,524 | (633,319) | (1,460,337,272) | 7,035,868,767 | 65,487,164 | $ (1,504,929,796) |
| ######## | 8,627,236,193 | 7,494,806 | 10,474,952 | 58,304,861 | 8,550,961,574 | 544,024,667 | 458,726,953 | 73,980,125 | 433,164 | 10,884,425 | (1,518,627,768) | (3,049,839) | (282,845) | 45,404,991 | (668,596) | (1,469,221,498) | 7,092,624,501 | 56,755,734 | $ (1,514,626,489) |
| | | | | | $ 98,737,185,958 | $ 6,068,781,583 | | | | $ (342,638,170) | | | | $ 591,348,018 | | - | | | $ (17,699,612,367) |
| | | | | 13 month Avg | $ 8,228,098,830 | $ 505,731,799 | | | | $ (28,553,181) | | | | $ 49,279,002 | | | | | $ (1,474,967,697) |

The Brooklyn Union Gas Company d/b/a National Grid NY
Rate Base - Regulatory Assets and Liabilities
For the Historic Test Year Ended December 31, 2022

| | GL Account | Description | Avg Bal ($000's) Total | Electric | Gas |
|---|---|---|---|---|---|
| 1 | C1810000 | Unamortized Debt Exp | $14,736 | | $14,736 |
| 2 | U1810000 | Unamortized Debt Exp | $1,252 | | $1,252 |
| 3 | C1866122 | Cost Sharing Agreemt | $37,132 | | $37,132 |
| 4 | U1823078 | Rate Case Expense | $6 | | $6 |
| 5 | U1823115 | RateCase Exp Current | $537 | | $537 |
| 6 | U2540708 | Rate Case Exp (G) | ($93) | | ($93) |
| 7 | Grand Total | | $53,570 | $0 | $53,570 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Rate Base - Summary of Working Capital
For the Historic Test Year Ended December 31, 2022
($000's)

| | Description | Reference | Total | Electric | Gas |
|---|---|---|---|---|---|
| 1 | Cash Allowance | pg. 29 ln 16 | $ 67,976 | $ - | $ 67,976 |
| 2 | | | | | |
| 3 | Material and Supplies in Stock - General | pg. 30 ln 20 | 17,369 | - | 17,369 |
| 4 | | | | | |
| 5 | Gas Underground Storage | pg. 30 ln 22 | 137,282 | - | 137,282 |
| 6 | | | | | |
| 7 | Deferred Fuel Costs | pg. 30 ln 24 | (10,788) | - | (10,788) |
| 8 | | | | | |
| 9 | Prepayments | pg. 31 ln 16 | 257,844 | - | 257,844 |
| 10 | | | | | |
| 11 | | | | | |
| 12 | Total Working Capital | | $ 469,683 | $ - | $ 469,683 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Working Capital - Cash Allowance
For the Historic Test Year Ended December 31, 2022
($000's)

| | Description | Reference | Total | Electric | Gas |
|---|---|---|---|---|---|
| 1 | Departmental Expense (1) | P&L pg. 4 ln 12 | $ 543,807 | $ - | $ 543,807 |
| 2 | | | 100% | 0% | 100% |
| 3 | | | | | |
| 4 | Remove major non-cash items included Dept expense : | | | | |
| 5 | Other | | - | - | none |
| 6 | | Subtotal | - | - | - |
| 7 | | | | | |
| 8 | Add major cash items not included in Dept expense: | | | | |
| 9 | Other | | - | - | - |
| 10 | | Subtotal | - | - | - |
| 11 | | | | | |
| 12 | | Total Adjustments | - | - | - |
| 13 | | | | | |
| 14 | | Adjusted Amounts | 543,807 | - | 543,807 |
| 15 | | | | | |
| 16 | Departmental Cash Allowance - 1/8 (45 days) | | $ 67,976 | $ - | $ 67,976 |
| 17 | | | | | |

*(1) The Departmental expenses used for cash allowance calculation before adjustments. Bad Debt and CEF/EES are excluded*

The Brooklyn Union Gas Company d/b/a National Grid NY
Working Capital - Materials & Supplies and Gas Storage
For the Historic Test Year Ended December 31, 2022
($000's)

| | Description | | Average Balances Total | Electric | Gas |
|---|---|---|---|---|---|
| 20 | Materials & Supplies | | $ 17,369 | | $ 17,369 |
| 21 | | | | | |
| 22 | Gas Stored Underground - Current | 164000 | $ 137,282 | $ - | $ 137,282 |
| 23 | | | | | |
| 24 | Fuel Costs and Purchased Gas Deferred | 1823201 / 1823202 | $ (10,788) | $ - | $ (10,788) |

The Brooklyn Union Gas Company d/b/a National Grid NY
Working Capital - Prepayments
For the Historic Test Year Ended December 31, 2022
($000's)

| | Description | Activities # 165xxx Prepayments and 236xxx Accrued Taxes | Average Balances ($000's) Total | Electric | Gas |
|---|---|---|---|---|---|
| 1 | Dec-21 | 1/2 month | $ 98,925 | | $ 98,925 |
| 2 | Jan-22 | | 156,247 | | 156,247 |
| 3 | Feb-22 | | 139,578 | | 139,578 |
| 4 | Mar-22 | | 85,757 | | 85,757 |
| 5 | Apr-22 | | 76,729 | | 76,729 |
| 6 | May-22 | | 349,103 | | 349,103 |
| 7 | Jun-22 | | 108,594 | | 108,594 |
| 8 | Jul-22 | | 356,673 | | 356,673 |
| 9 | Aug-22 | | 352,867 | | 352,867 |
| 10 | Sep-22 | | 360,324 | | 360,324 |
| 11 | Oct-22 | | 418,725 | | 418,725 |
| 12 | Nov-22 | | 364,033 | | 364,033 |
| 13 | Dec-22 | 1/2 month | 226,569 | | 226,569 |
| 14 | | 12 mo total | $ 3,094,123 | $ - | $ 3,094,123 |
| 15 | | | | | |
| 16 | Total Prepayments avg bal. | | $ 257,844 | $ - | $ 257,844 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Tax Deduction for Interest Expense
For the Historic Test Year Ended December 31, 2022
($000's)

| | | Reference | Total | Electric | Gas |
|---|---|---|---|---|---|
| 1 | Avg Rate Base Per Books | pg. 8 ln 1 | $ 5,891,163 | $ - | $ 5,891,163 |
| 2 | Less: Excess Earnings Adj (EBCAP) | pg. 8 ln 31 | (188,054) | - | (188,054) |
| 3 | Rate Base | | 6,079,217 | - | 6,079,217 |
| 4 | | | | | |
| 5 | Weighted Cost of LTD Debt | pg. 3 lns 19 & 33 | | 0.00% | 2.03% |
| 6 | Weighted Cost of Notes payable | pg. 3 lns 20 & 34 | | 0.00% | 0.00% |
| | Weighted Cost of Gas Supplier Ref | pg. 3 lns 21 & 35 | | 0.00% | 0.00% |
| 7 | Weighted Cost of Cust Deposits | pg. 3 lns 22 & 36 | | 0.00% | 0.00% |
| 8 | subtotal weighted cost of debt | | | 0.00% | 2.03% |
| 9 | | | | | |
| 10 | Income Tax Interest Deduction | | $ 123,408 | $ - | $ 123,408 |

The Brooklyn Union Gas Company d/b/a National Grid NY
Federal and State Income Taxes
For the Historic Test Year Ended December 31, 2022
(Whole $)

| | Electric Segment | | | ELECTRIC | | | ELECTRIC | | |
|---|---|---|---|---|---|---|---|---|---|
| | Statutory Tax Rate | | | | | | | | |
| 1 | | Source | Federal Gross | Federal Tax | Federal % | State Gross | State Tax | State % |
| 2 | Net Income Before Federal & State Income Taxes | | $ - | $ - | | $ - | $ - | |
| 3 | Interest | | $ - | $ - | | $ - | $ - | |
| 4 | Total Pretax Income / (Loss) | | $ - | $ - | - | $ - | $ - | - |
| 5 | | | | | | | | |
| 6 | New York State Income Taxes / Capital Taxes | | $ - | $ - | - | | $ - | - |
| 7 | Flow-through AFUDC Equity | | | $ - | - | | $ - | - |
| 8 | Flow-through AFUDC Equity Depreciation | | | $ - | - | | $ - | - |
| 9 | Flow-through Unamortized Debt | | | $ - | - | | $ - | - |
| 10 | Flow-through Bond Redemption | | | $ - | - | $ - | $ - | - |
| 11 | Meals and Entertainment | | | $ - | - | $ - | $ - | - |
| 12 | GAIN ON REDEMPTION BONDS | | | $ - | - | | $ - | - |
| 13 | Other -2 | | | $ - | - | | $ - | - |
| 14 | Other - 3 | | | $ - | - | | $ - | - |
| 15 | Tax Only Item - Rate Change | | | | - | | | - |
| 16 | Tax Only Item - State Year 2000 | | | | - | | | - |
| 17 | Tax Only Item - 3 | | | | - | | | - |
| 18 | Total Rate Drivers | | $ - | $ - | - | $ - | $ - | - |
| 19 | | | | | | | | |
| 20 | Total Taxable Income / Tax / Effective Tax Rate | | $ - | $ - | - | $ - | $ - | - |
| 21 | | | | Federal Tax | Federal Rate | | State Tax | State Rate |

| | Gas Segment | | | GAS | | | GAS | |
|---|---|---|---|---|---|---|---|---|
| | Statutory Tax Rate | | 21.00% | | | 9.43% | | |
| 22 | | Source | Federal Gross | Federal Tax | Federal % | State Gross | State Tax | State % |
| 23 | Net Income Before Federal & State Income Taxes | | $ 427,809,621 | $ 89,840,000 | | $ 427,809,621 | $ 40,342,000 | |
| 24 | Interest | | $ (123,408,000) | $ (25,916,000) | | $ (123,408,000) | $ (11,637,000) | |
| 25 | Total Pretax Income / (Loss) | | $ 304,401,621 | $ 63,924,000 | 21.00% | $ 304,401,621 | $ 28,705,000 | 9.43% |
| 26 | | | | | | | | |
| 27 | New York State Income Taxes / Capital Taxes | | $ (27,074,977) | $ (5,686,000) | -8.89% | $ 6,619,870 | $ 624,000 | 2.17% |
| 28 | Flow-through AFUDC Equity | | $ (21,358,779) | $ (4,485,000) | -7.02% | $ (21,358,779) | $ (2,014,000) | -7.02% |
| 29 | Flow-through AFUDC Equity Depreciation | | $ 1,731,372 | $ 364,000 | 0.57% | $ 1,731,372 | $ 163,000 | 0.57% |
| 30 | Flow-through Unamortized Debt | | | $ - | - | | $ - | - |
| 31 | Flow-through Bond Redemption | | | $ - | - | $ - | $ - | - |
| 32 | Meals and Entertainment | | $ 42,345 | $ 9,000 | 0.01% | $ 42,345 | $ 4,000 | 0.01% |
| 33 | GAIN ON REDEMPTION BONDS | | | $ - | - | | $ - | - |
| 34 | Other -2 | | | $ - | - | | $ - | - |
| 35 | Other - 3 | | | $ - | - | | $ - | - |
| 36 | Tax Only Item - Rate Change | | | $ (28,283,500) | -44.25% | | $ (407,023) | -1.42% |
| 37 | Tax Only Item - State Year 2000 | | | | - | | | - |
| 38 | Tax Only Item - 3 | | | | - | | | - |
| 39 | Total Rate Drivers | | $ (46,660,039) | $ (38,081,500) | -59.57% | $ (12,965,192) | $ (1,630,023) | -5.68% |
| 40 | | | | | | | | |
| 41 | Total Taxable Income / Tax / Effective Tax Rate | | $ 257,741,582 | $ 25,842,500 | 8.49% | $ 291,436,429 | $ 27,074,977 | 8.89% |
| | | | | Federal Tax | Federal Rate | | State Tax | State Rate |

The Brooklyn Union Gas Company d/b/a National Grid NY
Accum. Deferred Income Taxes - Rate Base and Capitalization Adjustments
For the Historic Test Year Ended December 31, 2022
($000's)

FEDERAL

| | | ACCUMULATED DEFERRED FEDERAL INCOME TAXES FOR THE YEAR ENDED For the Historic Test Year Ended December 31, 2022 | | | | | | ACCUMULATED DEFERRED FEDERAL INCOME TAXES FOR THE YEAR ENDED For the Historic Test Year Ended December 31, 2022 | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | ACTUAL * | | | FAS 109 BALANCES | | | RATE CASE ADJUSTMENTS | | | RATE CASE | | |
| | | TOTAL | ELEC | GAS | TOTAL | ELEC | GAS | TOTAL | ELEC | GAS | TOTAL | ELEC | GAS |
| 1 | Dec-21 | ($680,460) | | ($680,460) | ($368,014) | | ($368,014) | $18,395 | | $18,395 | ($1,030,080) | $0 | ($1,030,080) |
| 2 | Jan-22 | ($702,041) | | ($702,041) | ($369,360) | | ($369,360) | $17,035 | | $17,035 | ($1,054,366) | $0 | ($1,054,366) |
| 3 | Feb-22 | ($710,046) | | ($710,046) | ($370,388) | | ($370,388) | $20,238 | | $20,238 | ($1,060,196) | $0 | ($1,060,196) |
| 4 | Mar-22 | ($691,182) | | ($691,182) | ($358,808) | | ($358,808) | $11,551 | | $11,551 | ($1,038,438) | $0 | ($1,038,438) |
| 5 | Apr-22 | ($691,182) | | ($691,182) | ($767,780) | | ($358,808) | $17,822 | | $17,822 | ($1,032,168) | $0 | ($1,032,168) |
| 6 | May-22 | ($727,898) | | ($727,898) | ($767,780) | | ($359,421) | $21,757 | | $21,757 | ($1,065,562) | $0 | ($1,065,562) |
| 7 | Jun-22 | ($853,135) | | ($853,135) | ($765,749) | | ($350,260) | $26,542 | | $26,542 | ($1,176,853) | $0 | ($1,176,853) |
| 8 | Jul-22 | ($874,982) | | ($874,982) | ($765,749) | | ($351,440) | $30,856 | | $30,856 | ($1,195,567) | $0 | ($1,195,567) |
| 9 | Aug-22 | ($885,618) | | ($885,618) | ($765,749) | | ($352,422) | $31,429 | | $31,429 | ($1,206,612) | $0 | ($1,206,612) |
| 10 | Sep-22 | ($901,918) | | ($901,918) | ($763,014) | | ($340,936) | $38,269 | | $38,269 | ($1,204,586) | $0 | ($1,204,586) |
| 11 | Oct-22 | ($927,501) | | ($927,501) | ($763,014) | | ($341,622) | $38,838 | | $38,838 | ($1,230,285) | $0 | ($1,230,285) |
| 12 | Nov-22 | ($919,415) | | ($919,415) | ($763,014) | | ($342,025) | $34,784 | | $34,784 | ($1,226,656) | $0 | ($1,226,656) |
| 13 | Dec-22 | ($933,519) | | ($933,519) | ($768,333) | | ($329,715) | $39,643 | | $39,643 | ($1,223,591) | $0 | ($1,223,591) |
| 14 | | | | | | | | | | | | | |
| 15 | Total (Dec @ 1/2) | ($9,691,910) | $0 | ($9,691,910) | ($4,244,354) | $0 | ($4,244,354) | $318,140 | $0 | $318,140 | ($13,618,124) | $0 | ($13,618,124) |
| 16 | | | | | | | | | | | | | |
| 17 | 12 pt Avg | ($807,659) | $0 | ($807,659) | ($353,696) | $0 | ($353,696) | $26,512 | $0 | $26,512 | ($1,134,844) | $0 | ($1,134,844) |
| 18 | | | | | | | | | | | | | |
| 19 | | | | | | | | | | | | | |
| 20 | * Includes FAS 109 DFIT balances. | | | | | | | | | | | | |

STATE

| | | ACCUMULATED DEFERRED STATE INCOME TAXES FOR THE YEAR ENDED For the Historic Test Year Ended December 31, 2022 | | | | | | ACCUMULATED DEFERRED STATE INCOME TAXES FOR THE YEAR ENDED For the Historic Test Year Ended December 31, 2022 | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | ACTUAL * | | | FAS 109 BALANCES | | | RATE CASE ADJUSTMENTS | | | RATE CASE | | |
| | | TOTAL | ELEC | GAS | TOTAL | ELEC | GAS | TOTAL | ELEC | GAS | TOTAL | ELEC | GAS |
| 28 | Dec-21 | ($237,501) | | ($237,501) | $0 | | | $9,129 | | $9,129 | ($228,373) | | ($228,373) |
| 29 | Jan-22 | ($247,692) | | ($247,692) | $0 | | | $8,454 | | $8,454 | ($239,238) | | ($239,238) |
| 30 | Feb-22 | ($255,802) | | ($255,802) | $0 | | | $10,047 | | $10,047 | ($245,755) | | ($245,755) |
| 31 | Mar-22 | ($259,826) | | ($259,826) | $0 | | | $5,736 | | $5,736 | ($254,090) | | ($254,090) |
| 32 | Apr-22 | ($259,826) | | ($259,826) | $0 | | | $7,841 | | $7,841 | ($251,985) | | ($251,985) |
| 33 | May-22 | ($264,774) | | ($264,774) | $0 | | | $9,570 | | $9,570 | ($255,203) | | ($255,203) |
| 34 | Jun-22 | ($287,419) | | ($287,419) | $0 | | | $11,673 | | $11,673 | ($275,746) | | ($275,746) |
| 35 | Jul-22 | ($296,637) | | ($296,637) | $0 | | | $13,569 | | $13,569 | ($283,067) | | ($283,067) |
| 36 | Aug-22 | ($304,308) | | ($304,308) | $0 | | | $13,821 | | $13,821 | ($290,486) | | ($290,486) |
| 37 | Sep-22 | ($306,991) | | ($306,991) | $0 | | | $16,827 | | $16,827 | ($290,163) | | ($290,163) |
| 38 | Oct-22 | ($316,308) | | ($316,308) | $0 | | | $17,078 | | $17,078 | ($299,230) | | ($299,230) |
| 39 | Nov-22 | ($319,449) | | ($319,449) | $0 | | | $15,296 | | $15,296 | ($304,153) | | ($304,153) |
| 40 | Dec-22 | ($317,302) | | ($317,302) | $0 | | | $17,431 | | $17,431 | ($299,870) | | ($299,870) |
| 41 | | | | | | | | | | | | | |
| 42 | Total (Dec @ 1/2) | ($3,396,431) | $0 | ($3,396,431) | $0 | $0 | $0 | $143,194 | $0 | $143,194 | ($3,253,237) | $0 | ($3,253,237) |
| 43 | | | | | | | | | | | | | |
| 44 | 12 pt Avg | ($283,036) | $0 | ($283,036) | $0 | $0 | $0 | $11,933 | $0 | $11,933 | ($271,103) | $0 | ($271,103) |
| 45 | | | | | | | | | | | | | |
| 46 | * Includes FAS 109 DFIT balances. | | | | | | | | | | | | |

Date of Request: May 30, 2023 Request No. DPS-356
Due Date: June 9, 2023 NG Request No. NG-366

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: John Castano

TO: National Grid

SUBJECT: Software

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. For KEDNY, provide a breakdown of Software expense, by month, Vendor, and Cost Type, with the associated dollar amounts by year, for each Calendar Year 2018, 2019, 2020, 2021, and 2022.

2. For KEDNY, provide a listing of invoices by Vendor, Date, Cost Type, Company (e.g., KEDNY, KEDLI, NIMO, Service Company), and Cost Center, supporting the Historic Test Year amount. Explain why a majority of KEDNY's Software expenses originate with the Service Company, and are ultimately allocated to KEDNY.

3. For KEDNY, with reference to the adjustment "Historic Test Year Review," as presented on Exhibit___(RRP-3), Schedule 6, p. 4:

   a. Explain what the adjustments represent.

   b. Explain how the Company derived and/or identified this amount. Provide all supporting documentation, calculations, and rationales.

4. For KEDNY, with reference to the adjustment "Additional Review of Historic Test Year Costs," as presented on Exhibit___(RRP-3), Schedule 6, p. 4:

   a. Explain what the adjustments represent.

   b. Explain how the Company derived and/or identified this amount. Provide all supporting documentation, calculations, and rationales.

Response:

1. Please see Attachment 1 for a breakdown of Software expense for calendar years 2018 to 2022. Calendar Year 2022 ("HTY") contains the unadjusted test year amounts prior to any normalization adjustments. Please note that there is no additional breakdown of Software costs by "Cost Type" because Software is the lowest level of cost type.

2. Please see Attachment 2 for the listing of invoices included in the HTY amount. Software costs typically originate within the Service Company because the software benefits more than one operating company. As with all Service Company costs, each operating company receives a pro rata share of the total Software costs based on an underlying allocation code designed to properly align the costs with the benefits received.

3. a. The Historic Test Year Review adjustments made for Software include: (i) vendor costs that were reviewed and found to have been recorded and allocated incorrectly, and (ii) incorrect CAPEX to OPEX classification where, after reviewing, the Company found that the capital work being performed by the vendor(s) should be reclassified as CAPEX. Additional details regarding how the Company performed the Historic Test Year Review can be found in the Direct Testimony of the Revenue Requirement Panel, Section III "Historic Test Year Cost Review and Trend Analysis."

   b. RRP-2, Schedule 3 shows the total Software expense amount that was used for the HTY review adjustment seen in Exhibit___(RRP-3), Schedule 6, p. 4. Please see Attachment 3 for additional supporting details regarding the adjustment made to Software expense.

4. a. The adjustment represents a normalization of HTY costs based on an additional examination of vendor charges booked to Software.

   b. The Company reviewed HTY costs by vendor and removed certain costs consistent with past precedent. Additional details around how the Company performed the Additional Historic Test Year Review can be found within the Revenue Requirement Panel testimony, Section III "Historic Test Year Cost Review and Trend Analysis." Please refer to Exhibit___(RRP-2), Schedule 1 and Attachment 4 for additional supporting details regarding the adjustment.

Name of Respondent:
Christophe Chirol

Date of Reply:
June 6, 2023

Date of Request: June 7, 2023 Request No. DPS-430
Due Date: June 19, 2023 NG Request No. NG-458

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Anthony DiGiacomo

TO: National Grid

SUBJECT: Hardware

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel, or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. For KEDNY, provide a breakdown of Hardware expense by month, vendor, and cost type, with the associated dollar amounts by year, for each Calendar Year, 2018, 2019, 2020, 2021, Historic Test Year 2022, and Historic Test Year 2022 (Normalized).

2. For KEDNY, provide a listing of Hardware invoices by Vendor, Date, Cost Type, Company (e.g., KEDNY, KEDLI, NIMO, Service Company), and Cost Center, supporting the Historic Test Year amount of $0.90M.

Response:

1. Please see Attachment 1 for a breakdown of Hardware expense for each calendar year as requested. Note that for Historic Test Year ("HTY") 2022 there were no normalization adjustments required. The Company further notes there is no additional breakdown of Hardware costs by "Cost Type" because Hardware is the lowest level of cost type.

2. Please see Attachment 2 for the listing of invoices included in the HTY amount.

Name of Respondent: Date of Reply:
Christophe Chirol June 16, 2023

Date of Request: June 26, 2023 Request No. DPS-528
Due Date: July 6, 2023 NG Request No. NG-619

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case No. 23-G-0225/0226 Data Requests

Request for Information

FROM: Tshepo Simpson

TO: National Grid

SUBJECT: KEDNY Transportation - Lease Expense

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. Referencing pp. 98-99 of KEDNY's GIOP testimony, which states, "[v]endor order cancellations and replacement delays resulted in an aging fleet without incoming replacements. This artificially lowered the lease expense in the Historic Test Year…"

   a. Provide the total number of replacement vehicles and new additions that were budgeted/anticipated to be placed into service during the Historic Test Year.

   b. Provide the number of vehicles anticipated to be in service during the Historic Test Year that were affected by cancellations and schedule delays.

Response:

1.

a. - b. The Company anticipated 155 replacement and additional vehicles being put in service in the Historic Test Year ("HTY"), consistent with the replacement schedule used to set rates in the 2019 KEDNY rate proceeding (Case 19-G-0309).

Due to the rippling effect of supply chain delays caused by the COVID-19 pandemic and the Company's inability to replace fleet vehicles in calendar years 2020 and 2021 at the pace forecast in that rate proceeding, and to close the gap between the forecast and actual replacements, 31 additional replacement vehicles were put in service during the HTY above the forecast of 155.

As shown on the table below, the Company's replacement schedule remains behind the forecast replacement schedule by 288 units through the HTY, which resulted in lower than anticipated lease expense in the HTY. Based on positive manufacturer and vendor sentiment, the outlook going forward supports the Company's representation of continued deliveries through the linking period, Rate Year, and Data Years.

| | **CY20** | **CY21** | **CY22** |
|---|---|---|---|
| *Forecast* | *190* | *270* | *155* |
| Cumulative Forecast | 190 | 460 | 615 |
| | | | |
| *Actual* | *46* | *95* | *186* |
| Cumulative Actual | 46 | 141 | 327 |
| | | | |
| **Cumulative Variance** | **(144)** | **(319)** | **(288)** |

Name of Respondent:
Mark Stiner
Brian Schiavone

Date of Reply:
July 6, 2023

Date of Request: July 13, 2023 Request No. DPS-669
Due Date: July 24, 2023 NG Request No. NG-826

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case No. 23-G-0225/0226 Data Requests

Request for Information

FROM: John Castano

TO: National Grid

SUBJECT: Other Initiatives - IT

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. Per discussion with the Companies, it has been identified that the Historic Test Year amount for the Energy Efficiency (Clean Energy 2.0 & Green Button Connect) as presented in Exhibit___(ITDP-6CU) and Exhibit___(ITDP-7CU) is incorrect. Accordingly, the Companies' Other Initiatives: IT, line is overstated. Provide the following:

   a. The amount that should properly be reflected in the Historic Test Year for the Energy Efficiency (Clean Energy 2.0 & Green Button Connect).

   b. The amount of the adjustment to be reflected in the Other Initiatives: IT, line item for each KEDNY and KEDLI as a result of reflecting the correct the amount provided in 1a above.

Response:

1. a. As indicated in discussions with Staff, the Company noted that there was an error made in Exhibit___(ITDP-6CU) and Exhibit___(ITDP-7CU) for the Historic Test Year actuals for Clean Energy 2.0 operating expense costs. In its Corrections and Updates filing, the Companies inadvertently indicated that Clean Energy 2.0 operating expense costs were $1.5 million. This has been corrected to reflect the correct amount of $3.1 million.

b. Please see Attachment 1 (an updated Exhibit___(ITDP-7CU) tab) for the calculation of the reduction to the Rate Year and Date Years for both KEDNY and KEDLI resulting from this adjustment.

Name of Respondent:
Christophe Chirol

Date of Reply:
July 24, 2023

Date of Request: July 21, 2023 Request No. DPS-823
Due Date: July 31, 2023 NG Request No. NG-1021

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Anthony DiGiacomo

TO: National Grid

SUBJECT: Property Taxes

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to KEDNY's response to DPS-318 Question 2, provide a supplemental response that includes Fiscal Year 2023 (i.e., April 1, 2022 through March 31, 2023) in the calculations.

Response:

Please see Attachment 1 for the list of KEDNY’s property taxes with the effect of obsolescence removed, including a workpaper showing the calculations, which has been updated to now include fiscal years 2023.

Name of Respondent: Date of Reply:
Paula Leaverton July 28, 2023

Date of Request: July 21, 2023 Request No. DPS-866
Due Date: July 31, 2023 NG Request No. NG-1073

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Sara Orsino

TO: National Grid

SUBJECT: KEDNY /KEDLI Operator Qualification Program Pipeline Safety ITS System

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Referring to KEDNY's response to DPS-593 Attachment 4 and Exhibit___(RRP-3), OM Sch 42 Other Initiatives - GIOP&GSP NY23

1. Identify what the capital expenditure/operating expense split is for the Operator Qualifications Program - Pipeline Safety - Industrial Training Services (ITS) System line item.

2. Confirm if the amounts shown in DPS-593 Attachment 4 cells E8 through H8 are supposed to be the same amounts as found in RRP-3 OM Sch 42 Other Initiatives - GIOP&GSP NY23 cells I33 through L33. If yes, explain why DPS-593 Attachment 4 cell E2 shows a capital expenditure and operation and maintenance expense split of 45% capital expenditure and 55% operation and maintenance expense.

3. Explain why the Operator Qualifications Program - Pipeline Safety - Industrial Training Services (ITS) System line item is allocated evenly between KEDNY/KEDLI.

4. How many inhouse employees does KEDNY and KEDLI have that would require the ITS database fee?

    a. Provide a separate amount for each company.

    b. Provide the workpapers (quotes, contracts, bids, license fee) that support the $33 database fee.

5. How many contractors does KEDNY and KEDLI have that would require the ITS license cost?

a. Provide a separate amount for each company.

b. Provide the workpapers (quotes, contracts, bids, license fee) that support the $45 license cost to access contractor series.

6. In the Companies' response to DPS-593 Attachment 4 cell b4, explain what is being represented by '8 hrs per week * 52 weeks * $200.

a. Explain what work will be done.

b. Explain why this cost is capitalized.

c. Explain why this cost is allocated evenly between KEDNY and KEDLI.

d. Provide the workpapers (quotes, contracts, bids, license fee) that support the $200/hr cost.

Response:

1. The capital expenditure/operating expense split for the Operator Qualifications Program - Pipeline Safety - Industrial Training Services ("ITS") System line item is 45 percent Capex, 55 percent Opex.

2. The amounts originally appearing in the Company's response to DPS-593 should not have been the same as what appeared in Exhibit ___ (RRP-3), OM Sch 42 Other Initiatives - GIOP&GSP NY23, cells I33 through L33. The operations and maintenance ("O&M") split was inadvertently calculated using 50 percent as opposed to 55 percent. Therefore, the total in RRP-3 OM Sch 42 should have been 5 percent higher.

3. Both KEDNY and KEDLI utilize ITS as the Operator Qualifications database and for verification of qualifications in the field. A single contract is signed with ITS, hence the cost was evenly distributed between the two Companies. Moreover, there is crossover between jurisdictions for contractors and it is difficult to allocate charges to one specific Company.

4. The number of in-house employees that require the ITS database licensing fee is 1,353 employees for KEDNY and 841 employees for KEDLI.

a. There is not a separate contract for each Company. The lump sum contract with ITS is $345,000 for FY 2024 and included KEDNY and KEDLI, Niagara Mohawk, and the National Grid New England gas companies. If the lump sum contract were to be divided by the number of total users for all Companies, the licensing fee per user would equate to ~$74 per user ($345,0000/4,681).

Please Note: The original breakdown in DPS-589 listed the database fees as $33; however, the ITS database fee is $74. In addition, the total number of users listed

in the calculation erroneously included all NY users, which incorrectly included Upstate New York users. The calculations in Attachment 1 have been updated to only consider KEDNY and KEDLI users.

KEDNY: ($74 x 1,353) x 0.45 Capex = $45,055
KEDLI: ($74 x 841) x 0.45 Capex) = $28,005
Total: ($74 x 2,194) x .45 Capex = $73,060

b. Please see Attachment 2 (Confidential). Attachment 2 is confidential and should be protected from disclosure pursuant to the terms of the Protective Order adopted in these proceedings.

5. The number of contractor employees that require the ITS database licensing fee is 5,104 employees for KEDNY and 2,001 employees for KEDLI, as well as an additional 435 contractor resources that support both Companies, for a total of 7,540 contractor resources. Contractor employees can cross between jurisdictions depending on workload requirements.

Please Note: The original estimate in the Companies' response to DPS-589 included all contractor resources. The calculations in Attachment 1 have been updated to only consider KEDNY and KEDLI contractors.

a. The amounts for KEDNY and KEDLI are estimated below:

KEDNY: ($45 x 5,104) x 0.45 Capex = $103,356
KEDLI: ($45 x 2,001) x 0.45 Capex = $ 40,520
Support Both Region: ($45 x 435) x 0.45 Capex = $8,809
Total: ($45 x 7,540) x .45 Capex = $152,685

b. There is no separate contract for each Company. Please see Attachment 2 (Confidential), Optional Add-ons on page 3 "Contractor Access to National Grid Internal OQ and Training Series" providing for $40 per Student and $175 per Admin -- a weighted average cost of $45 has been used to take into account both line items.

6. This line item represents cost associated with the creation and revision of Written Exams ("Wes") and creation of new Performance Evaluations ("Pes")

a. The new WEs and PEs will be created for new Covered tasks. In-depth review of WEs and PEs is currently being conducted. The existing WEs and PEs will be revised based on the recommendations from the review committee.

b. The cost is split 45 percent Capex and 55 percent Opex.

c. These costs are capitalized because the qualification process is for employees that perform both capex and opex work. The 45 percent Capex and 55 percent Opex splits are based on historical capex/opex splits.

d. The WEs and PEs are the same for both regions, so the cost is split evenly.

e. Please see Attachment 2 (Confidential) page 4 (Custom Series Content Management and Custom System/Integration Development)

In addition to the items noted above, while preparing the response the Companies discovered additional errors in the calculations, specifically shown in Attachment 1, highlighted in yellow. The Companies inadvertently failed to reflect the costs associated with ITS Add on Services – Speech to text, Psychometric Test Analysis, System Improvements in the amount of $132,075, and the New York user database fee in the amount of $40,037.

Regarding the Add on Services – Speech to text, Psychometric Test Analysis, and System Improvements, the Company is in the process of adding improvements/functionalities to the existing ITS system. The improvements/ functionalities included the following:

- Text to Speech is in the process of implementation. $12,500 (CAPEX $5,625) annually is attributed to this function. See Attachment 3 (Confidential). Attachment 3 is confidential and should be protected from disclosure pursuant to the terms of the Protective Order adopted in these proceedings.

- Psychometric Test Analysis – This will involve review of the written exams. $5,800 is for the review of 2 tests. This cost has been extrapolated to include all tests. ($5,800 x 45 (total 90 tests)=$261,000 x 0.45 CAPEX)=$117,450. See Attachment 4 (Confidential). Attachment 4 is confidential and should be protected from disclosure pursuant to the terms of the Protective Order adopted in these proceedings.

- Improvements in Pipeline – Onboard Verify and Onboard Live. There is currently no statement of work, however, a cost of $20,000 ($9,000 CAPEX) is assumed based on the cost of text to speech functionality and a rough approximation of one and a half times the cost.

Regarding the NY user database fee, this fee is in addition to the ITS database fee and was inadvertently omitted from the previous estimate. The Northeast Gas Association (NGA) charges OQ Database Annual Fees ($34 per User) for all the users. The fee has been calculated as such ($34 * 2,194 inhouse employees = $74,596 + $14,375 *45% ($40,037 CAPEX)) for the Gas Technologies Institute (GTI) Membership License Fee. See Attachment 5 (Confidential). Attachment 5 contains confidential information and should be protected from disclosure in accordance with the Protective Order adopted in these proceedings.

Attachment 1 also outlines the changes between the original filing and the updated forecast to be reflected in the Companies' revenue requirements. In addition to the capital updates Attachment 1 also indicates the O&M adjustment to be made in RRP-3 OM Sch 42 Other Initiatives - GIOP&GSP.

| Name of Respondent: | Date of Reply: |
| --- | --- |
| Pragati Singh | July 31, 2023 |

Date of Request: July 27, 2023 Request No. DPS-916
Due Date: August 7, 2023 NG Request No. NG-1192

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Reshma Mathew

TO: National Grid

SUBJECT: Facilities - GP-Guard Booth/ Front Entrance Beautification

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. Referring to KEDNY Exhibit____(GIOP-1) and the Company's response to DPS-481, the Company forecasts spending $1,300,000 in FY 2024 for the project: Facilities - GP - Guard Booth/ Front Entrance Beautification and stated that this project is expected to be in service in the Rate Year. Yet, the Company's response to DPS-481 also indicated that this project is included as part of line item: Facilities - Greenpoint Masterplan - Execution. Explain the reason for this discrepancy and identify if this is a duplication of the project included in the Greenpoint Masterplan - Execution.

Response:

1. The Facilities – GP – Guard Booth/Front Entrance Beautification project was intended to be included in the FY 2024 forecast Facilities – Greenpoint Masterplan – Execution investment but was inadvertently included as a standalone FY 2024 project in Exhibit ___ (GIOP-1). The standalone Facilities – GP – Guard Booth/Front Entrance Beautification project line item should be removed as the project is reflected in the FY 2024 Facilities – Greenpoint Masterplan – Execution line item.

Name of Respondent: Date of Reply:
Steven Doben August 7, 2023

Date of Request: August 8, 2023 Request No. DPS-982
Due Date: August 18, 2023 NG Request No. NG-1331

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Xenia Vega

TO: National Grid

SUBJECT: LMI Marketing and Outreach Budgets

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. Referring to the Companies' response to DPS-474, Question 4.a. The Companies provides Actual Expense for LMI programs in 2023 of $3,078 for KEDLI, and $68,662.44 for KEDNY. Confirm that these actual totals are for 2023.

2. If the values shown in Question 1, above, are for 2022, provide the following information:

   a. Provide a description regarding accounting treatment, including any deferrals, of unspent outreach and education funds collected from ratepayers.

   b. Provide the reason for any under or un-spent funds.

   c. Provide the reason for any $0.00 costs reported.

   d. If the funds are not specific to any incremental program or funding of any previous rate plan, explain how these costs are recovered.

   e. Explain why the "Here to Help" campaign is not included in the Annual O&E budget and provide the planned and actual expenditures of the "Here to Help" campaign.

3. Explain the methodology used to forecast budget costs for outreach and education programs, particularly the budgets mentioned in the Companies' IR 474 Response, 4.a. The Companies state that "the funds were not specific to an incremental program or funding approved in a rate case."

4. Referring to the Companies' response to DPS-474, the Companies provided the National Grid Annual Outreach and Education Plan 2022 KEDLI and KEDNY Actual and Projected costs. In 2022, KEDLI projected Energy Affordability outreach of $17,200 and had an actual spend

of $4,309.30. KEDNY projected Energy Affordability outreach of $60,500 and had an actual spend of $68,662.44.

a. Provide the reason why the Company overspent by $8,162.44.

b. Explain why the Companies projected more costs for New York City area compared to Long Island.

c. Explain why New York City warranted more projected costs over Long Island.

d. Explain why these budgets do not reflect all the costs for energy affordability activities that are reported in the EAP Working Group outreach information (i.e., social media, email campaigns, webinars, etc.).

Response:

1. In the Companies' response to DPS-474, Question 4a., the Companies inadvertently indicated that the actual expenses for outreach and education for the LMI programs was for 2023, when they were actual expenses for 2022. A supplement to DPS-474 will be filed to correct that error.

2. a. The LMI marketing, outreach and education expenses are paid through departmental budgets, which are not directly tied to specific line items of the rate filing. The 2022 costs associated with EAP marketing, outreach and education were not discretely budgeted or forecast directly in the Companies' last rate case, Cases 19-G-0309 and 19-G-0310. Similarly, in this case the costs are spread amongst the various departmental line items forecast in Exhibit_(RRP-3). The Companies do not reconcile unspent budgets and funds are not rolled over into the following year, with the exception of energy efficiency marketing, which is reported as a part of the Companies' system energy efficiency plans.

b. As noted above, the Companies do not reconcile over- or under-spending of these funds and the costs for LMI marketing, outreach and education are included in larger company-wide campaigns, which cannot be accounted for separately at this time. As part of the Annual Outreach and Education Plan, the Companies forecast annual budgets based on historical costs, and any over or underspend is a function of the varying levels of outreach activity in that year.

c. Because the Companies do not have specific budgets for EAP and LMI marketing, outreach and education, the Companies first used low or no-cost marketing channels such as Company-owned social media, email, text, web, and on-bill messaging that did not have any incremental cost to the business areas that support EAP and LMI in 2022. Some EAP and LMI marketing, outreach and education activities are also included as part of larger company-wide campaigns and cannot be accounted for separately.

d. As noted above, LMI marketing, outreach and education activities are part of the normal costs of the departments, which are included in the Historic Test Year, but do not have a discrete and dedicated budget or line item.

e. "Here to Help" is an overarching theme incorporated by the Companies across communications channels during the COVID-19 pandemic and was subsequently used for customer outreach concerning commodity price volatility in 2022 and 2023. "Here to Help" promotes payment assistance, bill management programs and energy-saving information across all customers segments. Seasonal price communications, including "Here to Help," are part of the Companies' annual communications planning and actual costs and estimated spend are tracked in the Annual Outreach and Education Plan. See pp. 34 and 39 of the 2023 Annual Outreach and Education Plan for planned and actual expenditures.

3. As the Companies noted in the response to DPS-474 (as supplemented), actual expenses for marketing, outreach and education specifically for LMI programs in 2022 were $4,309.30 for KEDLI and $68,662.44 for KEDNY. These funds were not specific to any incremental program or funding and were part of the Consumer Advocacy department budget. The planned budgets in the Annual Outreach and Education report are forecast using historical spending. The additional marketing and outreach budget, presented as LMI Marketing and Outreach Program $0.5M in Exhibit__ (CP-1), Schedule 5, proposed to support greater enrollment of customers.

4. a. The overspend in KEDNY was mostly attributable to an increase in administrative fees for the Neighborhood Heating Fund, the Company's fuel fund. In preparing the response, the Company determined that the fees of $60,750 should be adjusted from the Historic Test Year. The Company will reflect the adjustment in its rebuttal testimony.

b. The Companies projected more costs for the New York City area compared to Long Island because a large portion of the projected costs for New York City are costs related to the Company's LMI fuel fund, the Neighborhood Heating Fund. Additionally, KEDNY has a larger customer base in New York City, including a greater number of LMI customers and customers who are potentially LMI.

c. Please see the response to Question 4b.

d. In the Companies' presentation to the EAP Working Group regarding their marketing, outreach, and communications, the Companies mentioned outreach done to EAP customers who were referred to the EmPower NY program and the KEDLI HEAT program, which are LMI energy efficiency programs. Marketing and outreach costs for those activities are covered through energy efficiency funding. Additionally, as mentioned in above responses, the Companies have prioritized either low or no-cost channels or included information about LMI programs and services in larger company-wide campaigns.

Name of Respondent:
Brittney Pietro

Date of Reply:
August 18, 2023

Date of Request: August 8, 2023 Request No. DPS-983
Due Date: August 18, 2023 NG Request No. NG-1332

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: John Castano

TO: National Grid

SUBJECT: Earnings Base Capitalization (EBCAP)

Request:

In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

1. Referring to the Companies' Supplemental response to DPS-374, the Companies' provided a list of balance sheet accounts supporting its Corrections and Updates filing EBCAP adjustment for KEDNY and KEDLI. In the Companies response to DPS-926, the Companies state that "[t]he asset and liability accounts associated with the accounting for Asset Retirement Obligations are netted together for the purpose of treating any residual net balance as a capital adjustment. While these are non-cash transactions, any offsetting difference between the net asset and liability balances has been reflected in the Company's income statement and has impacted capitalization through its adjustment to Retained Earnings. As such, it is appropriate to adjust capitalization for the noncash impact these transactions have had on Retained Earnings by increasing the capitalization dedicated to public service for any net liability balance in excess of assets and conversely decreasing the capitalization dedicated to public service for any net asset balance in excess of liabilities." For each KEDNY and KEDLI:

   a. Identify all accounts associated with non-cash transactions, where any offsetting difference between the net asset and liability balances has been reflected in the Company's income statement and has impacted capitalization through its adjustment to retained earnings, within the Companies' Supplemental response to DPS-374 where any net balance resulted in a capitalization adjustment.

Response:

1. a. See Attachment 1 for KEDLI and Attachment 2 for KEDNY for the schedules provided in the Supplemental response to DPS-374 with additional columns identifying the specific accounts associated with non-cash transactions that have

been classified as Cap Adjustments. In addition, each attachment contains a summary schedule that summarizes these non-cash cap adjustments by "non-cash" category. As noted in the attachments, there were additional non-cash accounts associated with the accounting for Capital Leases that were not appropriately identified as Cap Adjustments in the calculation of the EBCAP adjustment in the C&U filing. Inclusion of these accounts as Cap Adjustments in the EBCAP calculation results in the following required adjustments presented in the table below.

Impact Summary of Required Adjustments:

| (In millions) | **KEDLI** | **KEDNY** |
|---|---|---|
| EBCAP Adjustment per C&U Filing | 187,442 | 212,241 |
| Adjustment for Capital Leases | (917) | (24,186) |
| **Revised EBCAP Adjustment** | **186,525** | **188,054** |
| | | |
| Rate Base per C&U Filing | 3,913,499 | 6,097,818 |
| Adjustment for Capital Leases | (917) | (24,186) |
| **Revised Rate Base** | **3,912,582** | **6,073,632** |

Name of Respondent:
John O'Shaughnessy

Date of Reply:
August 18, 2023

Date of Request: July 25, 2023 Request No. NRDC-036
Due Date: August 4, 2023 NG Request No. NG-1138

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Chris Casey

TO: National Grid

SUBJECT: CLCPA

Request:

On page 36 of the Climate Leadership and Community Protection Act Panel Testimony, lines 14-18, the Company states they were required by the outcome of the 2019 KEDNY and KEDLI Rate Cases to "complete a CLCPA Study to 'analyze[] the scale, timing, costs, and customer bill impacts of achieving significant, quantifiable reductions in carbon emissions from the use of gas delivered by the Companies.'"

a. Did the Clean Energy Vision fulfill the requirement for the development of a CLCPA study? If so, why did the Companies go about a second study? If not, please explain why the Clean Energy Vision did not satisfy the requirements of the 2019 KEDNY and KEDLI Rate Cases.

b. What was the timeline for the development of the CLCPA Study? Please provide all supporting documentation and relevant communications in a searchable format.

c. What was the process for developing the CLCPA Study? Please identify and describe the roles of the teams and individuals who drafted and approved the CLCPA Study, and provide communications relevant to the conceptualization and development of the Study in a searchable format.

d. What instructions or guidance did consultants receive as they developed the Study? Please provide all relevant communications in a searchable format.

e. Did external parties other than Guidehouse employees provide input on the conceptualization or development of the CLCPA Study? If so, please provide all relevant communications in a searchable format.

f. What were the costs associated with the development and promotion of the CLCPA Study? Please provide an itemized breakdown with supporting documentation such as invoices.

Response:

a. The Joint Proposal approved by the Commission August 12, 2021, in Cases 19-G-0309 and 19-G-0310 required the Companies to "complete a study evaluating how their businesses may evolve to support the emission reduction and renewable energy goals of the CLCPA and Local Law 97 (the CLCPA Study)" by the end of Rate Year 3 (March 31, 2023).[1] The CLCPA Study focused on analysis at the operating company level required a different scope and level of specificity than reflected in the Clean Energy Vision analysis, which was developed to provide a high-level overview of National Grid's vision to achieve net zero GHG emissions by 2050 and fully eliminate the use of fossil fuels for the provision of heat to customers in New York and Massachusetts.

b. The Companies object to this information request to the extent that it requests "all supporting documentation and relevant communication" as it is impermissibly vague, overbroad, and unduly burdensome. Notwithstanding this objection, the Companies provide the following summary of key timeline milestones. The Companies issued a formal Request for Proposal ("RFP") for support in preparing the Study in April 2022. Based on results of the RFP, the Companies selected Guidehouse to complete the Study, and commenced work in June 2022. The Companies held the first of four public stakeholder meetings on July 13, 2022 to present a draft scoping plan for the CLCPA Study and receive stakeholder feedback. The second stakeholder meeting was held August 9, 2022, on Modeling Inputs and Assumptions. The third stakeholder meeting was held November 28, 2022, on Modeling Outputs. The fourth and final stakeholder meeting was held January 9, 2023, to discuss stakeholder feedback on the Draft Report. The Companies filed the CLCPA Study with the Commission on March 17, 2023. Stakeholders (including NRDC) participated in the study development process via the public stakeholder process, providing input on study scope, assumptions, modeling results, and the draft report.

c. Please see the response to question b, above.

d. The Companies object to this information request to the extent that it requests "all relevant communications" as it is impermissibly vague, overbroad, and unduly burdensome. Notwithstanding this objection, the Companies respond that the primary guidance for informing the consultant's workplan was reflected in the RFP described in response to question b, above.

e. The Companies object to this information request to the extent that it requests "all relevant communications" as it is impermissibly vague, overbroad, and unduly burdensome. Notwithstanding this objection, the Companies respond that input on the CLCPA Study was provided by external parties as part of the public stakeholder process described in response to question b, above.

[1] Cases 19-G-0309 and 19-G-0310, *Order Approving Joint Proposal, As Modified and Imposing Additional Requirements*, p. 173.

f. The total amount paid to Guidehouse for the Study (which benefitted National Grid's upstate and downstate gas operating companies) was $1,073,564.25. Per the terms of the Joint Proposal and Order in Cases 19-G-0309 and 19-G-0310, the Companies are permitted to defer 50 percent of the third-party costs to conduct the CLCPA Study, up to $500,000 for National Grid's New York gas utilities in the aggregate.

Note in preparing the response to this question the Company discovered it mistakenly included the Guidehouse costs for KEDNY and KEDLI in the revenue requirements. The amounts to be adjusted out of the Historic Yest Year, Rate Year, and Data Years are as follows:

| | KEDNY | KEDLI |
|---|---|---|
| HTY | $456,940 | $259,204 |
| RY | $487,034 | $276,275 |
| DY1 | $496,460 | $281,622 |
| DY2 | $505,526 | $286,765 |
| DY3 | $514,542 | $291,879 |

Name of Respondent:
Meghan McGuinness

Date of Reply:
August 4, 2023

Date of Request: July 26, 2023 Request No. WE ACT- 091
Due Date: August 7, 2023 NG Request No. NG-1152

KeySpan Gas East Corporation d/b/a National Grid
The Brooklyn Union Gas Company d/b/a National Grid NY

KEDNY KEDLI Case 23-G-0225/0226 Data Requests

Request for Information

FROM: Maiyo Saji

TO: National Grid

SUBJECT: General Provisions

Request:

In response to DPS-005, the Company provided an org chart with job titles. On page 816 of the attachment, the Company stated Bryan Grimaldi is the VP of Corporate Affairs in New York and identified his nine direct reports.

a. Please explain how Bryan Grimaldi and his nine direct reports track their time spent on below-the-line activities.

b. Please describe in detail the system that employees on the Corporate Affairs Team of New York use to track time spent on below-the-line activities.

c. Please state which salaries of the Corporate Affairs Team of New York are included in the revenue requirement?

d. If the full salary is not recovered through the revenue requirement, please explain why.

Response:

a. National Grid uses the SAP time entry system to capture daily time. If an employee on the Corporate Affairs team were to engage in a below the line work activity, the employee would charge their time to a below the line time entry code.

b. Please see the response to part a, above.

c. The full salaries of the Corporate Affairs team are included in the revenue requirements, except for that portion of salaries associated with below the line work activity.

In preparing this response, the Companies discovered that a journal entry had been made to reclassify data for reporting purposes. That journal entry requires an adjustment to remove lobbying costs that were inadvertently included in the revenue requirement. The Company will reflect the adjustment in its rebuttal filing.

d. Please see the response to part c, above.

Name of Respondent:
Bryan Grimaldi

Date of Reply:
August 7, 2023